



Audited consolidated financial statements

As of December 31, 2025 and 2024

Global Atlantic Limited (Delaware)

(an indirect subsidiary of

The Global Atlantic Financial Group LLC)



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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Global Atlantic Limited (Delaware)

Opinion

We have audited the consolidated financial statements of Global Atlantic Limited (Delaware) and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of operations, comprehensive income (loss), redeemable non-controlling interests and equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting

from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Debitte & Jucke LLP

March 2, 2026

Consolidated balance sheets

	December 31,		December 31,	
	2025		2024	
(\$ in millions, except share data)				
Assets				
Investments:				
Fixed maturity securities, available-for-sale, at fair value (amortized cost: \$101,867 and \$90,621, respectively; variable interest entities: \$11,427 and \$8,916, respectively; net of allowances: \$289 and \$275, respectively; and related party: \$5,540 and \$5,185, respectively.)	\$	95,672	\$	81,083
Fixed maturity securities, trading, at fair value (amortized cost: \$28,443 and \$24,697, respectively; variable interest entities: \$428 and \$98, respectively; and related party: \$1,355 and \$939, respectively.)		26,420		22,239
Mortgage and other loan receivables (portion at fair value: \$11,155 and \$1,611, respectively; variable interest entities: \$4,461 and \$5,024, respectively; net of allowances: \$609 and \$614, respectively; and related party: \$- and \$11, respectively.)		53,639		52,763
Funds withheld receivable at interest (portion at fair value: \$79 and \$126, respectively.)		2,324		2,538
Real assets (portion at fair value: \$8,723 and \$8,156, respectively, net of accumulated depreciation: \$782 and \$623, respectively; variable interest entities: \$14,203 and \$13,499, respectively; and related party: \$339 and \$332, respectively.)		15,370		14,411
Other investments (portion at fair value: \$4,108 and \$584, respectively; variable interest entities: \$631 and \$65, respectively; and related party: \$2,787 and \$631, respectively.)		6,936		3,097
Total investments		200,361		176,131
Cash and cash equivalents (variable interest entities: \$1,382 and \$853, respectively.)		7,511		6,340
Restricted cash and cash equivalents		212		351
Accrued investment income (variable interest entities: \$303 and \$238, respectively.)		1,777		1,572
Reinsurance recoverable (portion at fair value: \$934 and \$941, respectively; net of allowances: \$20 and \$16, respectively.)		48,023		45,271
Insurance intangibles		5,905		5,199
Other assets (variable interest entities: \$486 and \$526, respectively; market risk benefit assets: \$1 and \$2, respectively.)		5,020		4,871
Separate account assets		3,841		3,981
Total assets	\$	272,650	\$	243,716
Liabilities				
Policy liabilities (portion at fair value: \$1,609 and \$1,280, respectively; market risk benefit liabilities: \$1,350 and \$1,002, respectively.)	\$	205,559	\$	185,205
Debt (variable interest entities: \$197 and \$70, respectively.)		3,820		3,713
Funds withheld payable at interest (portion at fair value: \$(2,276) and \$(2,797), respectively.)		46,823		43,962
Other liabilities (portion at fair value: \$436 and \$389, respectively; variable interest entities: \$566 and \$496, respectively; and related party: \$179 and \$180, respectively.)		3,571		2,362
Reinsurance liabilities		1,219		1,160
Separate account liabilities		3,841		3,981
Total liabilities	\$	264,833	\$	240,383

Consolidated balance sheets

	December 31, 2025	December 31, 2024
(\$ in millions, except share data)		
Commitments and contingencies (Note 19)		
Equity		
Common stock, \$0.01 par value, 1,000 shares authorized, 304 shares issued and outstanding, respectively.	\$ —	\$ —
Additional paid-in capital	11,185	8,309
Retained earnings	311	1,514
Accumulated other comprehensive income (loss)	(4,416)	(6,828)
Total shareholder's equity	7,080	2,995
Non-controlling interests	737	338
Total equity	7,817	3,333
Total liabilities, redeemable non-controlling interests, and equity	\$ 272,650	\$ 243,716

See accompanying notes to consolidated financial statements.

Consolidated statements of operations

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Revenues		
Premiums	\$ 3,397	\$ 7,899
Policy fees	1,351	1,378
Net investment income (related party investment income: \$479 and \$376, respectively; related party investment expense: \$678 and \$562, respectively.)	7,297	6,228
Net investment-related gains (losses) (related party: \$62 and \$33, respectively.)	(953)	(1,395)
Other income	257	238
Total revenues	11,349	14,348
Benefits and expenses		
Policy benefits and claims (market risk benefit loss (gain): \$312 and \$(148), respectively; remeasurement (gain) loss on policy liabilities: \$(83) and \$(75), respectively.)	10,731	13,293
Amortization of policy acquisition costs	309	174
Interest expense	295	272
Insurance expenses	595	742
General, administrative and other expenses (related party: \$10 and \$10, respectively.)	766	755
Total benefits and expenses	12,696	15,236
Income (loss) before income taxes	(1,347)	(888)
Income tax expense (benefit)	(235)	(280)
Net income (loss)	(1,112)	(608)
Less: net income (loss) attributable to non-controlling interests and redeemable non-controlling interests	91	(37)
Net income (loss) attributable to Global Atlantic Limited (Delaware) shareholder	\$ (1,203)	\$ (571)

See accompanying notes to consolidated financial statements.

Consolidated statements of comprehensive income (loss)

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Net income (loss)	\$ (1,112)	\$ (608)
Other comprehensive income (loss), before taxes:		
Unrealized gains (losses) on other investments for the period	1,357	(623)
Reclassification adjustment for gains (losses) on hedging instruments reclassified to other instruments	76	47
Less: reclassification adjustment for gains (losses) included in net income (loss)	(1,926)	(683)
Unrealized gains (losses) on other investments	3,359	107
Unrealized gains (losses) on hedging instruments	18	(242)
Less: reclassification adjustment for gains (losses) on hedging instruments reclassified to other instruments	(76)	(47)
Unrealized gains (losses) on hedging instruments	94	(195)
Net effect of unrealized gains (losses) on policy liabilities	(72)	17
Effect of changes in the fair value of a market risk benefit attributable to a change in the instrument-specific credit risk	(37)	(30)
Effect of changes in the discount rates used to measure traditional and limited-payment long duration insurance contracts	(466)	250
Net effect on policy liabilities	(575)	237
Foreign currency translation adjustment	51	(60)
Other comprehensive income (loss), before taxes	2,929	89
Income tax benefit (expense) related to:		
Net unrealized gains (losses) on other investments	(630)	(36)
Net unrealized gains (losses) on hedging instruments	(20)	41
Net effect of unrealized gains (losses) on policy balances	121	(50)
Net unrealized gains (losses) on foreign currency translation adjustment	(11)	13
Income tax benefit (expense) related to other comprehensive income (loss)	(540)	(32)
Other comprehensive income (loss) before non-controlling interests and redeemable non-controlling interests, net of tax	2,389	57
Comprehensive income (loss)	1,277	(551)
Less: total comprehensive income (loss) attributable to non-controlling interests and redeemable non-controlling interests:		
Net income (loss)	91	(37)
Other comprehensive income (loss)	(23)	10
Total comprehensive income (loss) attributable to non-controlling interests and redeemable non-controlling interests	68	(27)
Comprehensive income (loss) attributable to Global Atlantic Limited (Delaware) shareholder	\$ 1,209	\$ (524)

See accompanying notes to consolidated financial statements.

Consolidated statements of redeemable non-controlling interest and equity

	Redeemable non-controlling interests	Common stock	Additional paid-in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total shareholder's equity	Non-controlling interest	Total equity
(\$ in millions)								
Balance as of December 31, 2023	\$ 48	\$ —	\$ 5,922	\$ 2,085	\$ (6,875)	\$ 1,132	\$ 90	\$ 1,222
Net income (loss)	(31)	—	—	(571)	—	(571)	(6)	(577)
Other comprehensive income (loss)	—	—	—	—	47	47	10	57
Equity-based compensation	—	—	341	—	—	341	—	341
Capital contributions	—	—	2,046	—	—	2,046	—	2,046
Capital contributions from non-controlling interests and redeemable non-controlling interests	—	—	—	—	—	—	242	242
Non-cash contributions from non-controlling interests and redeemable non-controlling interests	—	—	—	—	—	—	17	17
Distributions to non-controlling interests and redeemable non-controlling interests	(8)	—	—	—	—	—	(10)	(10)
Non-cash distributions from non-controlling interests and redeemable non-controlling interests	(9)	—	—	—	—	—	(5)	(5)
Balance as of December 31, 2024	\$ —	\$ —	\$ 8,309	\$ 1,514	\$ (6,828)	\$ 2,995	\$ 338	\$ 3,333

Consolidated statements of redeemable non-controlling interest and equity

	Redeemable non-controlling interests	Common stock	Additional paid-in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total shareholder's equity	Non-controlling interest	Total equity
(\$ in millions)								
Balance as of December 31, 2024	\$ —	\$ —	\$ 8,309	\$ 1,514	\$ (6,828)	\$ 2,995	\$ 338	\$ 3,333
Net income (loss)	—	—	—	(1,203)	—	(1,203)	91	(1,112)
Other comprehensive income (loss)	—	—	—	—	2,412	2,412	(23)	2,389
Equity-based compensation	—	—	48	—	—	48	—	48
Capital contributions	—	—	2,828	—	—	2,828	—	2,828
Capital contributions from non-controlling interests and redeemable non-controlling interests	—	—	—	—	—	—	348	348
Distributions to non-controlling interests and redeemable non-controlling interests	—	—	—	—	—	—	(13)	(13)
Non-cash distributions from non-controlling interests and redeemable non-controlling interests	—	—	—	—	—	—	(4)	(4)
Balance as of December 31, 2025	\$ —	\$ —	\$ 11,185	\$ 311	\$ (4,416)	\$ 7,080	\$ 737	\$ 7,817

See accompanying notes to consolidated financial statements.

Consolidated statements of cash flows

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Cash flows from operating activities		
Net income (loss)	\$ (1,112)	\$ (608)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related gains (losses)	3,162	3,241
Net accretion and amortization (related party: \$5 and \$6, respectively.)	161	230
Interest credited to policy account balances less policy fees	4,990	4,163
Deferred income tax expense (benefit)	(741)	(211)
Changes in operating assets and liabilities:		
Reinsurance transactions and acquisitions, net of cash provided	920	1,026
Change in premiums, notes receivable, and reinsurance recoverable, net of reinsurance premiums payable	409	566
Change in deferred policy acquisition costs	(1,063)	(841)
Change in policy liabilities and accruals, net	1,780	(467)
Other operating activities, net (related party: \$35 and \$18, respectively)	442	(957)
Net cash provided by (used in) operating activities	\$ 8,948	\$ 6,142
Cash flows from investing activities		
Proceeds from disposals of available-for-sale fixed maturity securities (related party: \$336 and \$239, respectively.)	\$ 33,077	\$ 19,832
Proceeds from maturities of available-for-sale fixed maturity securities (related party: \$3,281 and \$2,721, respectively.)	14,201	11,269
Proceeds from disposals and maturities of trading fixed maturity securities (related party: \$77 and \$45, respectively.)	10,737	18,578
Proceeds from disposals of equity securities	5,257	1,235
Proceeds from mortgage and other loan receivables sold, matured, or collected (related party: \$201 and \$16, respectively.)	13,863	6,548
Proceeds from disposals of other investments	3,270	2,420
Purchase of available-for-sale fixed maturity securities (related party: \$(3,827) and \$(5,149), respectively.)	(59,162)	(37,025)
Purchase of trading fixed maturity securities (related party: \$(217) and \$(332), respectively.)	(12,437)	(13,584)
Purchase of equity securities	(6,254)	(1,641)
Purchase of mortgage and other loan receivables (related party: \$(186) and \$(12), respectively.)	(14,563)	(20,805)
Purchase of other investments (related party: \$(1,167) and \$(953), respectively)	(5,452)	(8,872)
Other investing activities, net	(13)	4
Net cash provided by (used in) investing activities	\$ (17,476)	\$ (22,041)

Consolidated statements of cash flows

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Cash flows from financing activities		
Settlement of repurchase agreements	\$ (4,028)	\$ (4,431)
Proceeds from issuance of repurchase agreements	4,431	3,337
Reinsurance transactions, net of cash provided	194	48
Additions to contractholder deposit funds	28,507	28,488
Withdrawals from contractholder deposit funds	(21,483)	(20,569)
Issuance of long-term debt	978	1,636
Payment of debt principal and origination fees	(986)	(439)
Sale of common shares and issuance of employee incentive shares	—	3
Capital contributions	1,680	2,047
Capital contributions from non-controlling interests and redeemable non-controlling interests	348	243
Distribution to non-controlling interests and redeemable non-controlling interests	(13)	(10)
Other financing activity, net	(57)	(56)
Net cash provided by (used in) financing activities	\$ 9,571	\$ 10,297
Effect of exchange rate changes on cash, cash equivalents and restricted cash	(11)	(5)
Net change in cash, cash equivalents and restricted cash	1,032	(5,607)
Cash, cash equivalents and restricted cash, beginning of period	6,691	12,298
Cash, cash equivalents and restricted cash, end of period	\$ 7,723	\$ 6,691
Supplemental cash flow information		
Cash and cash equivalents per consolidated balance sheets	\$ 7,511	\$ 6,340
Restricted cash and cash equivalents per consolidated balance sheets	212	351
Total cash, cash equivalents and restricted cash	\$ 7,723	\$ 6,691
Cash paid for interest	\$ 245	\$ 183
Income tax payments (receipts)	143	161

Non-cash transactions

Available-for-sale fixed maturity securities acquired through reinsurance agreements	\$ 827	\$ 3,184
Trading fixed maturity securities acquired through reinsurance agreements	1,653	8,210
Contractholder deposit funds acquired through reinsurance agreements	2,675	2,048
Available-for-sale fixed maturity securities contributed in-kind from parent	515	—
Trading fixed maturity securities contributed in-kind from parent	42	—
Other investments contributed in-kind from parent	829	—

See accompanying notes to consolidated financial statements.

1. Nature of business

Global Atlantic Limited (Delaware), a Delaware corporation, (together with its subsidiaries, “Global Atlantic,” the “Company,” we, our, or us) is a leading United States, or “U.S.,” retirement and life insurance company focused on delivering meaningful long-term value for our customers and shareholders.

The Company is a leading insurance company meeting the retirement and life insurance needs of individuals and institutions. The Company primarily offers individuals fixed-rate annuities, fixed-indexed annuities, and targeted life products through a network of banks, broker-dealers, and independent marketing organizations.

KKR initial acquisition of Global Atlantic Financial Group Limited

On February 1, 2021, KKR & Co. Inc., or together with its subsidiaries, “KKR,” completed the acquisition of the Company’s ultimate parent, Global Atlantic Financial Group Limited, or “GAFG,” by Magnolia Parent LLC (“Magnolia”), a KKR subsidiary, as contemplated by the Agreement and Plan of Merger, dated July 7, 2020 (as amended, the “2021 Merger Agreement”), by and among GAFG, Global Atlantic Financial Life Limited, or “GAFL,” Magnolia, Magnolia Merger Sub Limited (“Merger Sub”), LAMC LP, and Goldman Sachs & Co. LLC, solely in its capacity as the equity representative, referred to here-in as the “2021 KKR Acquisition.” The total purchase price for the transaction was \$4.7 billion. Upon the conclusion of the acquisition, Magnolia was renamed to The Global Atlantic Financial Group LLC (“TGAFG”).

KKR subsequent acquisition of remaining non-controlling interests in The Global Atlantic Financial Group

On January 2, 2024, KKR completed the merger previously announced on November 29, 2023, as contemplated by the Agreement and Plan Merger, (the “2023 Merger Agreement”) by and among KKR Magnolia Holdings LLC (“Magnolia Holdings”), an indirect subsidiary of KKR, Sweetbay Merger Sub LLC, a direct subsidiary of Magnolia Holdings (“Merger Sub”) and The Global Atlantic Financial Group (“TGAFG”), and together with its subsidiaries, (“Global Atlantic”), pursuant to which KKR acquired the remaining portion of Global Atlantic that KKR did not already own (the “2024 KKR Acquisition”). At the closing of the transaction (the “Closing”), Merger Sub merged with and into TGAFG, with TGAFG surviving the merger, resulting in Global Atlantic becoming a wholly owned subsidiary of KKR.

The total cash purchase price for the portion of Global Atlantic that KKR did not already own was approximately \$2.6 billion, subject to certain post-Closing purchase price adjustments as provided in the 2023 Merger Agreement. Additionally, in connection with the closing, certain Global Atlantic employees who participated in Global Atlantic’s management equity incentive plan, rolled over a majority of their equity interests in Global Atlantic into KKR equity.

The outstanding debt of Global Atlantic will remain outstanding obligations of solely Global Atlantic entities and are not being assumed or guaranteed by KKR.

Following the merger, the Company was re-domesticated from Bermuda to Delaware, and changed its name to Global Atlantic Limited (Delaware) (“GALD”).

2. Significant accounting policies

Basis of presentation and Principles of Consolidation

Upon the acquisition, the Company established a new accounting basis, applying push-down accounting to reflect the Company's assets and liabilities at fair value as of the acquisition date, and recognizing goodwill for any excess of the purchase price over the fair value of net assets assumed by Magnolia in the acquisition. In addition, the Company conformed its accounting policies and procedures to those of its ultimate parent, KKR.

The accompanying consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America, or "U.S. GAAP." The preparation of financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the consolidated financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions.

The most significant estimates are those used in determining valuation of policyholder liabilities, valuation of embedded derivatives, valuation and impairment of investments, amortization of deferred revenues and expenses, and income taxes.

The accompanying consolidated financial statements include the accounts of the Company and all other entities in which the Company has a controlling financial interest and any variable interest entities (VIEs) in which the Company is the primary beneficiary.

A VIE, as defined under US GAAP, is an entity that does not have sufficient equity to finance its own activities without additional financial support or where investors lack certain characteristics of a controlling financial interest. We assess our relationships to determine if we have the ability to direct the activities, or otherwise exert control to evaluate if we are the primary beneficiary of the VIE.

All intercompany accounts and transactions have been eliminated.

Certain prior period amounts in the accompanying notes have been reclassified to conform to the current period's presentation.

Significant accounting policies

The following are the Company's significant accounting policies with references to notes providing additional information on such policies:

Accounting policy	Note
Investments	3, 4 and 5
Investment impairment	3 and 5
Variable interest entities	3 and 5
Derivative instruments	4, 5 and 7
Policy liabilities	5 and 7
Deferred policy acquisition costs	6
Value of business acquired	6
Unearned revenue reserves and unearned front-end loads	6
Closed blocks	8
Reinsurance	9
Debt	10
Equity-based compensation	15
Income taxes	16

Investments

In the normal course of business, Global Atlantic enters into transactions involving various types of investments.

Investments include the following: U.S. government and agency obligations; commercial mortgage-backed securities ("CMBS"), residential mortgage-backed securities ("RMBS"), collateralized loan obligations ("CLOs"), asset-backed securities ("ABS") and other structured securities, consisting primarily of collateralized bond obligations ("CBOs") (collectively, "structured securities"); corporate bonds; state and political subdivision obligations; foreign government obligations; equity securities; mortgage and other loan receivables; policy loans; and other non-derivative investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds, structured securities and redeemable preferred stock) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related losses in the consolidated statements of operations, for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by Global Atlantic that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. Global Atlantic considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. PCD securities also include those AFS fixed maturity securities previously held by Global Atlantic that were similarly assessed at the time when KKR acquired a majority controlling interest in Global Atlantic on February 1, 2021 (the "2021 GA Acquisition"). The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax and insurance intangible amortization, are reported in accumulated other comprehensive income ("AOCI") in the consolidated statements of financial condition. Realized investment gains and losses are recognized on a first-in first-out ("FIFO") basis and are reported in net investment-related gains (losses) in the consolidated statements of operations. The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income in the consolidated statements of operations.

For structured securities, the Company recognizes interest income using a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition with a corresponding charge or credit to net investment income. Prepayment fees are recorded when earned in net investment income in the consolidated statements of operations.

The Company generally suspends accrual of interest for securities that are more than 90 days past due and reverses any related accrued interest to net investment income in the consolidated statements of operations. When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectibility of the security. A security is returned to accrual status when Global Atlantic determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Trading fixed maturity securities

The Company accounts for certain fixed maturity securities as trading at acquisition, based on intent or via the election of the fair value option. Trading securities are generally recorded on a trade-date basis and are carried at fair value, with realized and unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of operations. Interest income from these securities is reported in net investment income. Trading securities, which are primarily used to match asset and liability accounting, back funds withheld payable at interest where the investment performance is ceded to reinsurers under the terms of the respective reinsurance agreements.

Equity securities

The Company accounts for its investments in equity securities (including common stock and non-redeemable preferred stock) that do not require equity method accounting or result in consolidation, at fair value, and are reported in other investments in the consolidated balance sheets. Realized and unrealized investment gains and losses are reported in net investment-related gains (losses) in the consolidated statements of operations.

Mortgage and other loan receivables

The Company purchases and originates mortgage and other loan receivables, and the majority of these loans are carried at cost, less the allowance for credit losses and as adjusted for amortization/accretion of premiums/discounts. Loan premiums or discounts are amortized or accreted using the effective yield method. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of operations or, for PCD mortgage and other loan receivables, by a gross-up recognition of the initial allowance in the consolidated balance sheets.

PCD mortgage and other loan receivables are those purchased by Global Atlantic that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. PCD mortgage and other loan receivables also include those mortgage and other loan receivables previously held by Global Atlantic that were similarly assessed at the time of the 2021 GA Acquisition. The initial amortized cost for a PCD mortgage or other loan receivable equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a method consistent with that used for other similar loans. See further discussion of allowance methods below. After purchase, the accounting for a PCD mortgage or other loan receivable is consistent with that applied to all other mortgage and other loan receivables.

Global Atlantic has elected the fair value option for certain mortgage and other loan receivables, when purchased or originated. Changes in the fair value of these mortgage and other loan receivables are reported in net investment related gains (losses) in the consolidated statements of operations.

Interest income is accrued on the principal balance of each loan based on its contractual interest rate. The accrual of interest is generally suspended when the collection of interest is no longer probable or the collection of any portion of principal is doubtful. The Company generally suspends accrual of interest for loans that are more than 90 days past due and reverses any related accrued interest to net investment income in the consolidated statements of operations. When a loan is in non-accrual status, coupon payments are generally recognized as interest income as cash is received, subject to consideration as to the overall collectibility of the loan. A loan is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses for loans carried at amortized cost excludes accrued interest from the amortized cost basis for which losses are estimated.

Policy loans

Policy loans are loans policyholders take out against their life insurance policies. Each policy loan is fully collateralized by the cash surrender value of the policyholder's life insurance policy. Policy loans are carried at unpaid principal balances. Interest income on such loans is recognized as earned using the contractually agreed upon interest rate and reflected in net investment income in the consolidated statements of operations. Generally, interest is capitalized on the associated policy's anniversary date and is reported in other investments in the consolidated balance sheets.

Real assets and other investments

Real assets consist primarily of investments in real estate assets, transportation assets, energy-related assets (principally renewable energy properties), and infrastructure assets. Other investments include equity securities, limited partnership interests, investments in Federal Home Loan Bank ("FHLB") common stock, and other interests.

Real assets and other investments in the consolidated statements of financial condition include investments in investment partnerships, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements.

The income from the Company's equity method investments is included in net investment income in the consolidated statements of operations. In limited circumstances, the Company elects to apply the fair value option to investment partnerships, which are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of operations. Distributions from investment partnerships that apply equity method accounting are classified as either

investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

Global Atlantic consolidates investment partnerships and other entities when it has a controlling financial interest. The results of certain consolidated investment entities are reported on a one-to-three month lag and intervening events are evaluated for materiality and recognition by disclosure or otherwise, as appropriate.

Included in real assets are Global Atlantic's investments in renewable energy entities, including partnerships and limited liability companies. Respective investments are consolidated when Global Atlantic has a controlling financial interest or are accounted for using the equity method of accounting when Global Atlantic has the ability to exercise significant influence but not control. These investments involve tiered capital structures that facilitate a waterfall of returns and allocations to ensure the efficient use of tax credits. A conventional income statement oriented approach to the equity method of accounting, or to the recognition of noncontrolling interests (when Global Atlantic is consolidating the investment), based on ownership percentages does not accurately reflect the proper allocation of income and cash flows for these investments. Instead, Global Atlantic uses the hypothetical liquidation at book value ("HLBV") method which is a balance sheet oriented approach to the equity method of accounting and to the recognition of noncontrolling interests that allocates income and cash flows based on changes to each investor's claim to net assets assuming a liquidation of the investee as of each reporting date, including an assessment of the likelihood of liquidation in determining the contractual provisions to utilize when applying the HLBV method.

The income, net of the depreciation and other expenses associated with consolidated real assets is reported in net investment income in the consolidated statements of operations. Income on real assets is generally earned from the lease of the assets or, in the case of energy-related assets, from the contracted sale of the energy generated. Real assets carried at depreciated cost, excluding land, are depreciated on a straight-line basis over their estimated useful lives. As appropriate, depreciation is recognized to the estimated salvage value of the respective asset.

Global Atlantic has certain investments in real estate held in consolidated investment companies that account for such real estate at fair value under investment company accounting, and this specialized accounting is retained in consolidation. Real asset investments in real estate are valued using one or a combination of the discounted cash flow analysis, market comparables analysis and direct income capitalization methods, which in each case incorporates significant assumptions and judgments. Certain real estate investments are valued based on ranges of valuations determined by independent valuation firms. Changes in the fair value of real estate in consolidated investment companies are recognized in net investment-related gains (losses) in the consolidated statements of operations.

Investments in equity securities are carried at fair value, with changes recognized in net investment related gains (losses) in the consolidated statements of operations. Investments in FHLB common stock are accounted at cost.

Cash, cash equivalents and restricted cash

Cash and cash equivalents in the consolidated statements of financial condition include short-term highly liquid investments with a maturity of less than 90 days from the date of acquisition. Amounts included are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value. Restricted cash is recognized in both cash and cash equivalents and other assets in the consolidated statements of financial condition and includes cash and cash equivalents that are legally or contractually restricted with respect to withdrawal or use. Global Atlantic's restricted cash principally includes certain cash and cash equivalents held in trusts formed for the benefit of ceding companies or held in connection with open derivative transactions. The carrying values of restricted cash and cash equivalents are considered to be reasonable estimates of their fair values.

Derivative instruments

Derivatives are instruments that derive their values from underlying asset prices, indices, foreign exchange rates, reference rates and other inputs or a combination of these factors. Derivatives may be privately negotiated contracts, which are usually referred to as over-the-counter ("OTC") derivatives, or they may be listed and traded on an exchange ("exchange-traded"). Global Atlantic's derivative instruments are primarily used to hedge certain risks, including interest rate risk, equity market risk and foreign exchange risk. Where certain criteria are met, some of these hedging arrangements may achieve hedge accounting.

Derivative instruments are recognized at estimated fair value in either funds withheld receivable at interest, other assets, funds withheld payable at interest or accrued expenses and other liabilities in the consolidated statements of financial condition, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of operations. Where certain qualifying criteria are met, some derivative instruments are designated as accounting hedges and are recognized at estimated fair value in derivative assets or accrued expenses and other liabilities in the consolidated statements of financial condition. For derivative instruments designated as fair value hedges, changes in fair value are recognized in the consolidated statements of operations, in the same line where the hedged item is reported. For derivative instruments designated as cash flow hedges, changes in fair value are initially recognized in accumulated other comprehensive income (loss) in the consolidated statements of financial condition and subsequently reclassified to the consolidated statements of operations when the hedged item affects earnings, in the same line item where the hedged item is reported. For derivative instruments designated as net investment hedges, changes in fair value are recognized in accumulated other comprehensive income (loss) in the consolidated statements of financial condition, consistent with the translation adjustment for the hedged investment.

Derivative receivables and payables with a counterparty that are subject to an International Swaps and Derivatives Association Master Agreement ("ISDA") or other similar agreement that provides a legal right of setoff, are presented at their net amounts. Where the legal right of setoff exists, Global Atlantic also offsets the fair value of cash collateral received or posted under an ISDA, or other similar agreement with a counterparty, against the related derivative balances as appropriate.

Investment credit losses and impairment

Available-for-sale fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the consolidated statements of operations. Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, Global Atlantic first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If Global Atlantic intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that Global Atlantic does not intend to sell, and will not be required to sell, Global Atlantic bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related losses in the consolidated statements of operations, and non-credit impairments are charged to accumulated other comprehensive income in the consolidated statements of financial condition.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, Global Atlantic continues to monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains in the consolidated statements of income.

Amounts are charged off against the allowance for credit losses when deemed uncollectible or when Global Atlantic determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If Global Atlantic recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Mortgage and other loan receivables

Global Atlantic updates its estimate of the expected credit losses on its investments in mortgage and other loan receivables carried at amortized cost each quarter. For loans that share similar risk characteristics, expected credit losses are measured on a pool basis. For loans that do not share similar risk characteristics, expected credit losses are measured individually. Loans subject to individual evaluation include those loans that are collateral dependent, where the borrower is experiencing financial difficulty. For these collateral dependent loans, expected credit losses are measured as the difference between the fair value of the collateral (less costs to sell, where the collateral is to be sold) and the amortized cost basis of the loan.

For commercial mortgage loans, the current expected credit losses are estimated using a model that evaluates the probability that each loan will default and estimates the amount of loss given the occurrence of such a default over the life of each loan in the portfolio. The model incorporates historical and current data on the relevant property market and projects potential future paths for each loan's collateral, considering both the net income to be generated by the collateral real estate and its market value. The model considers how macroeconomic forecasts (such as gross domestic product, unemployment, and interest rates) influence commercial real estate market factors (including vacancy rates, rental and income growth rates, property value changes), and in turn how commercial real estate market conditions, in combination with loan specific information (including debt service coverage and loan to value), drive commercial mortgage loan credit risk.

For residential mortgage loans and consumer loans, the current expected credit losses are primarily estimated using a discounted cash flow model. The model considers loan-specific information as well as current, historical and forecasted data relevant to the respective loans, including home prices, interest rates and unemployment. Expected cash flows are projected for each loan and are discounted using the effective interest rate of the respective loan. Any shortfalls between the discounted cash flows and the amortized cost of each individual loan are aggregated to determine the total allowances on the residential mortgage loan and consumer loan portfolios. For certain residential mortgage loans secured by single-family rental properties, current expected credit losses are determined using a model consistent with that described above for commercial mortgage loans.

With regard to the use of forecasts in the determination of Global Atlantic's current expected credit losses, the reversion of forecasts to historical data is based on reversion dynamics that depend on the specific variable and its interaction with the other parameters of the respective model; however, the forecasts generally tend to revert to a long-term equilibrium trend within two to three years from the forecast start date.

For the investment in other loan receivables, a variety of methodologies are used to estimate the respective current expected credit losses. These methodologies consider the terms specific to each loan, including the value of any collateral, and evaluate the risk of loss over the life of these loans.

Global Atlantic also assesses and measures an allowance for credit losses arising from off-balance sheet commitments, including loan commitments, that are not unconditionally cancellable by Global Atlantic. This allowance for credit losses for off-balance sheet commitments is determined using methods consistent with those used for the associated mortgage and other loan receivable class, as described above, and is recognized in other liabilities in the consolidated statements of financial condition, since there is no funded asset for the committed amount.

When all or a portion of a loan is deemed uncollectible, the uncollectible portion of the carrying amount of the loan is charged off against the allowance. If Global Atlantic recovers all or a portion of an amount previously written off on a credit impaired loan, the recovery is recognized as a realized investment gain.

Real assets and other investments

The determination of the amount of impairment on other classes of investments also requires significant judgment and is based upon a periodic evaluation and assessment of known and inherent risks associated with the respective asset class. Such assessments are revised as conditions change and new information becomes available.

Impairment of consolidated real assets carried at depreciated cost is assessed whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. When indicators of impairment are present, a recoverability test is performed to determine if the sum of the estimated undiscounted future cash flows attributable to the assets is greater than the carrying amount. If the undiscounted estimated future cash flows are less than the carrying amount, an impairment loss is recognized based on the amount by which the carrying amount exceeds its estimated fair value.

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Goodwill and intangible assets – subject to annual impairment

Goodwill represents the excess of acquisition cost over the fair value of net tangible and intangible assets acquired in connection with an acquisition. Goodwill is assessed for impairment annually in the third

quarter of each fiscal year or more frequently if circumstances indicate impairment may have occurred. Goodwill and other intangible assets are recorded in Other Assets in the accompanying consolidated statements of financial condition.

In accordance with GAAP, the Company has the option to either (i) perform a quantitative impairment test or (ii) first perform a qualitative assessment (commonly known as "step zero") to determine whether it is more likely than not that the fair value of a reporting unit is less than its carrying amount, in which case the quantitative test would then be performed. When performing a quantitative impairment test, the Company compares the fair value of a reporting unit with its carrying amount, including goodwill. If the fair value of the reporting unit is less than its carrying amount, the goodwill impairment loss is equal to the excess of the carrying value over the fair value, limited to the carrying amount of goodwill allocated to that reporting unit. The estimated fair values of the reporting units are derived based on valuation techniques the Company believes market participants would use for each respective reporting unit. The estimated fair values are generally determined by utilizing a discounted cash flow methodology and methodologies that incorporate market multiples of certain comparable companies.

The Company elected to perform step zero for the purposes of its impairment analysis for the goodwill recorded at its reporting units. Based upon these assessments, no goodwill impairment charges were recorded. Factors considered in the qualitative assessment included macroeconomic conditions, industry and market considerations, cost factors, current and projected financial performance, changes in management or strategy and market capitalization.

Deferral and amortization of certain revenues and expenses

Deferrals

Deferred policy acquisition costs ("DAC") consist of commissions and other costs that are directly related to the successful acquisition of new or renewal life insurance or annuity contracts. DAC is estimated using a group approach, instead of on an individual contract level. DAC groups, or cohorts, are by product type and issue year and consistent with the groups used in estimating the associated insurance liability. DAC is recorded in insurance intangibles in the consolidated statements of financial condition.

Value of business acquired ("VOBA") represents the difference between the carrying value of the purchased insurance contract liabilities at the time of the business combination and the estimated fair value of insurance and reinsurance contracts. VOBA can be either positive or negative. Positive VOBA is recorded in insurance intangibles. Negative VOBA is recorded in the same financial statement line in the consolidated statements of financial condition as the associated reserves.

For limited-payment products (e.g., payout annuities), gross premiums received in excess of net premiums are deferred at initial recognition as a deferred profit liability ("DPL"). DPL is measured using assumptions consistent with those used in the measurement of the liability for future policy benefits, including discount rate, mortality, lapses, and expenses. DPL is recorded in policy liabilities in the consolidated statements of financial condition.

For certain preneed contracts, the gross premium is in excess of the benefit reserve plus additional insurance liability. An unearned front-end load ("UFEL") is established to defer the recognition of this front-end load. UFEL is recorded in policy liabilities in the consolidated statements of financial condition.

Amortization

DAC is amortized on a constant level basis for the grouped contracts over the expected economic life of the related contracts. Global Atlantic amortizes DAC for all products on a constant level basis based on policy count, except for DAC for traditional life products that are amortized on a constant level basis based on face amount. The constant level bases used for amortization are projected using mortality and

lapse assumptions that are based on Global Atlantic's experience, industry data, and other factors and are consistent with those used for the liability for future policy benefits. If those projected assumptions change in future periods, they will be reflected in the cohort level amortization basis at that time. Unexpected lapses, due to higher mortality and lapse experience than expected, are recognized in the current period as a reduction of the capitalized balances.

Amortization of DAC is included in amortization of policy acquisition costs in the consolidated statements of operations.

VOBA is generally amortized using the same methodology and assumptions used to amortize DAC.

DPL is amortized and recognized in proportion to insurance in-force for life insurance contracts and expected future benefit payments for annuity contracts. Interest is accreted on the balance of the DPL using the discount rate determined at contract issuance. Global Atlantic reviews and updates its estimates of cash flows for the DPL at the same time as the estimates of cash flows for the liability for future policy benefits. When cash flows are updated, the updated estimates are used to recalculate the DPL at contract issuance. The recalculated DPL as of the beginning of the current reporting period is compared to the carrying amount of the DPL as of the beginning of the current reporting period, and any difference is recognized as either a charge or credit to net policy benefits and claims.

UFEL is amortized consistent with the amortization of DAC on preneed contracts.

The key assumptions used in the calculation of the amortization of these balances are reviewed quarterly and updated if actual experience or other evidence suggests that current assumptions should be revised. In addition, Global Atlantic formally reviews assumptions annually as part of the assumptions review process. The effects of changes in assumptions are recorded in net income in the period in which the changes are made.

Internal replacements

An internal replacement is a modification in product benefits, features, rights, or coverages that occurs by the legal extinguishment of one contract and the issuance of another contract (a contract exchange), or by amendment, endorsement, or rider to a contract, or by the election of a benefit, feature, right, or coverage within a contract. If the modification does not substantially change the contract, the unchanged contract is viewed as a prospective revision and the unamortized DAC is adjusted prospectively. As such, unamortized DAC and other associated balances from the unchanged contract are retained and acquisition costs incurred to modify the contract are not deferred but expensed as incurred. Other balances associated with the unchanged contract, such as any liability for future policyholder benefit or market risk benefits, should similarly be accounted for as if the unchanged contract is a continuation of the original contract. If an internal replacement represents a substantial change, the original contract is considered to be extinguished and any related DAC or other policy balances are charged or credited to income, and any new deferrable costs associated with the replacement contract are deferred.

Debt

In general, the Company recognizes a liability for debt equal to the proceeds received. When the proceeds received are not the same as the amount due at maturity, the debt has been issued at a discount or premium and is recorded as a deduction from the face amount of the note.

Separate accounts

Separate account assets and liabilities represent segregated funds administered and invested by Global Atlantic for the benefit of variable annuities and variable universal life insurance contractholders and certain pension funds. Global Atlantic reports separately, as assets and liabilities, investments held in

the separate accounts and liabilities of separate accounts if: (1) such separate accounts are legally recognized; (2) assets supporting the contract liabilities are legally insulated from Global Atlantic's general account liabilities; (3) investments are directed by the contract owner or participant; and (4) all investment performance, net of contract fees and assessments, is passed through to the contract owner.

Separate account assets consist principally of mutual funds at fair value. The investment income and gains and losses of these accounts generally accrue to the contractholders and therefore, are not included in Global Atlantic's net income. However, Global Atlantic's net income reflects fees assessed and earned on fund values of these contracts which are presented as a component of policy fees in the consolidated statements of operations. Realized investment gains and losses related to separate accounts that meet the conditions for separate account reporting accrue to and are borne by the contractholder.

Policy liabilities

Policy liabilities, or collectively, "reserves," are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. Global Atlantic establishes reserves to pay future policyholder benefits, claims, and certain expenses for its life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policyholder benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. Global Atlantic cannot, however, determine with precision the amount or the timing of actual policyholder benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policyholder benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to Global Atlantic's net income during the period in which excess policyholder benefits are paid or an increase in reserves occurs.

For a majority of Global Atlantic's in-force policies, including its universal life policies and most annuity contracts, the base policy reserve is equal to the account value. For these products, the account value represents Global Atlantic's obligation to repay to the policyholder the amounts held on deposit. However, there are several significant blocks of business where additional policyholder reserves are explicitly calculated, including fixed-indexed annuities, variable annuities, universal life with secondary guarantees, indexed universal life and preneed policies.

Annuity contracts

Fixed-indexed annuities ("FIA")

Policy liabilities for fixed-indexed annuities earning a fixed rate of interest and certain other fixed-rate annuity products are computed under a retrospective deposit method and represent policyholder account balances before applicable surrender charges. For certain fixed-rate annuity products, an additional reserve was established for above market interest rate guarantees upon acquisition. These reserves are amortized on a straight-line basis over the remaining guaranteed interest rate period.

Certain of Global Atlantic's fixed-indexed annuity products enable the policyholder to allocate contract value between a fixed crediting rate and strategies which reflect the change in the value of an

index, such as the S&P 500 Index or other indices. These products are accounted for as investment-type contracts. The liability for these products consists of a combination of the underlying account value and an embedded derivative value. The liability for the underlying account value is primarily based on policy guarantees and its initial value is the difference between the premium payment and the fair value of the embedded derivative. Thereafter, the account value liability is determined in a manner consistent with the accounting for a deposit liability under the "effective yield method." All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method. The embedded derivative component's fair value is based on an estimate of the policyholders' expected participation in future increases in the relevant index. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal and surrender activity, benefit utilization and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the consolidated statements of financial condition, with changes in value of the liabilities recorded in policy benefits and claims in the consolidated statements of operations.

Contractholder deposit funds reserves for certain assumed blocks of fixed-indexed and fixed-rate annuity products are accounted for as investment-type contracts. A net liability (consisting of the benefit reserve plus deferred revenue liability less ceding commission paid between a ceding and assuming reinsurance company) is established at inception and amortized under the effective yield method.

Global Atlantic issues registered index-linked annuity ("RILA") contracts, which are similar to FIAs in offering the policyholder the opportunity to participate in the performance of a market index, subject to a cap or adjusted for a participation rate. In contrast to the FIA, the RILA enables policyholders to earn higher returns but with the risk of loss to principal and related earnings. In particular, if performance of the market indices is negative, the policyholder may potentially absorb losses, subject to downside protection in the form of either a "buffer" or a "floor" specified in the contract. A "buffer" is protection from downside performance up to a certain percentage, typically 10 percent, with uncapped losses thereafter. A "floor" is protection from downside performance in excess of the "floor," e.g., if the floor is 10% then the policyholder absorbs losses up to 10% but not in excess.

The RILA is accounted for similar to the FIA. The RILA host contract is calculated at the inception of the contract as the value of the initial premium minus the value of the index option, which is an embedded derivative. That initial host value is then accreted to the guaranteed surrender value at the end of the surrender charge period. The RILA index option, which is an embedded derivative, is required to be measured at fair value. Fair value represents the policyholders' expected participation in future increases in the relevant index and is calculated as the excess cash flows from the indexed crediting feature above the guaranteed cash flows. The excess cash flows are based on the option budget methodology whereby the indexed account is projected to grow by the option budget. A key difference from a standard FIA product is that the RILA policyholder can lose principal on this investment. Therefore, it is possible that the embedded derivative can become negative. The option budget will be calculated depending on the product type and strategy. The growth in the indexed account will be projected based on the value of the options dependent upon the strategy and associated hedge construction. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal and surrender activity, benefit utilization and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the consolidated statements of financial condition, with changes in value of the liabilities recorded in policy benefits and claims in the consolidated statements of operations.

Variable annuities

Global Atlantic issues and assumes variable annuity contracts for which the liabilities are included in policy liabilities in the consolidated statements of financial condition. The change in the liabilities for these benefits is included in policy benefits and claims in the consolidated statements of operations. Variable

annuity contracts may have certain guarantees that are accounted for as market risk benefits, which are discussed in more detail below.

Funding agreements

Global Atlantic issues funding agreements to certain unaffiliated special purpose entities that have issued debt securities for which payment of interest and principal is secured by such funding agreements. Global Atlantic also has similar obligations to Federal Home Loan Banks. Global Atlantic's funding agreements are considered investment type contracts and liabilities are net deposits plus accrued and unpaid interest. Global Atlantic's obligation is reported in policy liabilities in the consolidated statements of financial condition. Interest expense is calculated using the effective interest method and recorded in policy benefits and claims in the consolidated statements of operations.

Interest-sensitive life products

For universal life policies, the base policy reserve is the policyholder account value.

Policy liabilities for indexed universal life with returns linked to the performance of a specified market index are equal to the sum of two components: (1) the fair value of the embedded derivative; and (2) the host (or guaranteed) component. The fair value of the embedded derivative component is based on the fair value of the policyholders' expected participation in future increases in the relevant index over the life of the contract. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected benefits, benefit utilization and the level and limits on contract participation in any future increases in the respective index option.

The initial host balance is established at the time of premium payment and is equal to the total account value less the embedded derivative component. Thereafter, the balance of the host component is determined in a manner consistent with the accounting for a deposit liability under the "effective yield method." All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method.

Preneed policies

Preneed insurance contracts that feature death benefits with variable growth rates are accounted for as universal life-type contracts, which requires that the retrospective deposit method be used. This includes contracts where Global Atlantic has the discretion to adjust death benefit growth rates up or down, or where death benefit growth rates are tied to inflation as measured by the U.S. Consumer Price Index. The retrospective deposit method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder. This account value is deemed to be equal to the contract's statutory cash surrender value. In addition to the account balance, Global Atlantic establishes an additional reserve for expected future discretionary benefits which is reflected as policy liabilities in the consolidated statements of financial condition.

Preneed insurance contracts without a discretionary death benefit growth rate have death benefits which are fixed and guaranteed. For these contracts, Global Atlantic recognizes a liability for future policy benefits.

Traditional and limited payment contracts

Liability for future policy benefits

A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated

future net premiums to be collected from policyholders, is accrued as premium revenue is recognized. The liability is estimated using current assumptions that include mortality, morbidity, lapses, and expenses. These current assumptions are based on judgments that consider Global Atlantic's historical experience, industry data, and other factors.

For nonparticipating traditional and limited-payment contracts, contracts are grouped into cohorts by contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, Global Atlantic reviews its historical and future cash flow assumptions quarterly and updates the net premium ratio used to calculate the liability each time the assumptions are changed. Global Atlantic has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

Each quarter, Global Atlantic updates its estimate of cash flows expected over the entire life of a group of contracts using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss and is presented parenthetically as a separate component of benefit expense in the consolidated statements of operations.

For nonparticipating traditional and limited-payment contracts, the discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. Global Atlantic uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income. For liability cash flows between two market observable points on the yield curve, Global Atlantic interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, Global Atlantic uses the last market-observable yield level.

Payout annuities

Payout annuities include single premium immediate annuities, annuitizations of deferred annuities, pension risk transfer and structured settlements. These contracts subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life contingent. Non-life contingent annuities are accounted for as investment contracts. For life contingent annuities, Global Atlantic records a liability at the present value of future annuity payments and estimated future expenses calculated using expected mortality and costs, and expense assumptions. Any gross premiums received in excess of the net premium is the DPL and is recognized separately in income in a constant relationship with the discounted amount of the insurance in-force or expected future benefit payments. These liabilities are recorded in policy liabilities in the consolidated statements of financial condition.

Also included under payout annuities are liabilities for disability income benefits which pertain primarily to disability income policies that are already in claim payout status. Liabilities for disability income benefits are calculated as the present value of future disability payments and estimated future expenses using expected mortality and costs, and interest assumptions. The liabilities are recorded in policy liabilities in the consolidated statements of financial condition.

Whole and term life

Global Atlantic has established liabilities for amounts payable under insurance policies, including whole life insurance and term life insurance policies. These policies provide death benefits in exchange for a guaranteed level premium for a specified period of time and, in the case of whole life, a guaranteed minimum cash surrender value. Generally, liabilities for these policies are calculated as the present value

of future expected benefits to be paid, reduced by the present value of future expected net premiums. Current assumptions are used in the establishment of liabilities for future policyholder benefits including mortality, policy lapse, renewal, investment returns, inflation, expenses and other contingent events as appropriate for the respective product. Each quarter, Global Atlantic updates its estimate of cash flows using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss and is presented parenthetically as a separate component of benefit expense in the consolidated statements of operations.

Policy liabilities for participating whole life insurance policies are equal to the aggregate of: (1) net level premium reserves for death and endowment policyholder benefits (calculated based upon the non-forfeiture interest rate, and mortality rated guarantee in calculating the cash surrender values described in such contracts); and (2) the liability for terminal dividends.

Long-term care

Long-term care policies are purchased by individuals to pay for specified personal care costs, typically in the later stage of life at the onset of a loss of ability to perform certain basic activities of daily living. Policyholders pay ongoing premiums to keep the policy in force and receive benefits in the event their health becomes impaired.

Global Atlantic has established liabilities for future policyholder benefits payable under its long-term care policies reinsured. Liabilities for long-term care benefits are calculated as the present value of future expected benefits to be paid reduced by the present value of future expected net premiums. Principal assumptions used in the establishment of liabilities for future policyholder benefits are mortality, morbidity (claim incidence and continuation), lapse, and future interest rates.

Long-term care insurance risks assumed by Global Atlantic have been retroceded to a third-party reinsurer in exchange for fixed cash flows. Net of this reinsurance, the long-term care block has the economic profile of a period certain annuity.

Product guarantees

Market risk benefits

Market risk benefits are contracts or contract features that both provide protection to the policyholder from other-than-nominal capital market risk and expose Global Atlantic to other-than-nominal capital market risk.

Market risk benefits include certain contract features on fixed annuity and variable annuity products. These features include minimum guarantees to policyholders, such as guaranteed minimum death benefits ("GMDBs"), guaranteed minimum withdrawal benefits ("GMWBs"), and long-term care benefits (which are capped at the return of account value plus one or two times the account value). Market risk benefits are measured at fair value using a non-option and option valuation approach based on current net amounts at risk, market data, experience, and other factors. Changes in fair value are recognized in net income each period with the exception of the portion of the change in fair value due to a change in the instrument-specific credit risk, which is recognized in other comprehensive income.

Additional liability for annuitization, death, or other insurance benefits

Global Atlantic establishes additional liabilities for contracts or contract features that provide for potential benefits in addition to the account balance but are not market risk benefits or embedded derivatives. These benefits include annuitization benefits and death or other insurance benefits (e.g.,

universal life secondary guarantees). For these benefits, the liability is the sum of the current benefit ratio multiplied by cumulative assessments and accreted interest, less excess payments.

In particular, Global Atlantic holds additional liabilities for universal life products with secondary guarantees, sometimes referred to as no-lapse guarantees. The additional liabilities are measured using the benefit ratio approach where excess benefits are spread over the life of the contract based on assessments collected from the policyholder. Generally, total expected excess benefit payments are the aggregate of death claims after the policyholder account value is exhausted. The exception is when the cost of insurance charges are insufficient to produce consistently positive earnings in the future. In this case, all death benefits are deemed to be excess benefits. For annuitization benefits, the benefit ratio is the present value of expected annuitization payments to be made less the accrued account balance at the expected annuitization date divided by the present value of expected assessments during the accumulation phase of the contract, discounted at the contract rate. Expected annuitization payments and related incremental claim adjustment expenses, expected assessments, and expected excess payments are calculated using discount rate, mortality, lapse, and expense assumptions.

Global Atlantic recognizes a shadow reserve adjustment for the additional insurance liabilities when unrealized gains and losses are included in the investment margin while calculating the present value of expected assessments for the benefit ratios. Shadow reserve adjustments are recognized in other comprehensive income.

For additional liabilities for death or other insurance benefits, the discount rate assumption is based on the contract rate at inception. The mortality, lapse, and expense assumptions are based on Global Atlantic's experience, industry data, and other factors. Assumptions are reviewed and updated, if necessary, at least annually. When those assumptions are updated, the benefit ratio and the liability are remeasured, with the resulting gain or loss reflected in total benefits expense.

Outstanding claims

Outstanding claims include amounts payable relating to in course of settlement and incurred but not reported claim liabilities. In course of settlement, claim liabilities are established for policies when Global Atlantic is notified of the death of the policyholder, but the claim has not been paid as of the reporting date. Incurred but not reported claim liabilities are determined using studies of past experience and are estimated using actuarial assumptions of historical claims expense, adjusted for current trends and conditions. These estimates are continually reviewed, and the ultimate liability may vary significantly from the amounts initially recognized, which are reflected in net income in the period in which they are determined. Changes in policyholder and contract claims are recorded in policy benefits and claims in the consolidated statements of operations.

Closed blocks

Through its insurance companies, Global Atlantic has acquired several closed blocks of participating life insurance policies. Global Atlantic has elected to account for the closed block policy liabilities using the fair value option.

The assets and cash flow generated by the closed blocks inure solely to the benefit of the holders of policies included in the closed blocks. All closed block assets will ultimately be paid out as policyholder benefits and through policyholder dividends. In the event that the closed blocks' assets are insufficient to meet the benefits of the closed blocks' benefits, general assets of Global Atlantic would be used to meet the contractual benefits to the closed blocks' policyholders.

The closed block liabilities are measured at fair value, which comprises the fair value of the closed block assets plus the present value of projected expenses including commissions and the cost of capital charges associated with the closed blocks. In calculating the present value, Global Atlantic uses a

discount rate based on current U.S. Treasury rates, with a risk margin to reflect uncertainties in the closed block liability and a provision for Global Atlantic's instrument-specific credit risk.

Reinsurance

Consistent with the overall business strategy, Global Atlantic assumes certain policy risks written by other insurance companies on a coinsurance, modified coinsurance or funds withheld coinsurance basis. Reinsurance accounting is applied for these ceded and assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss. Those contracts that do not meet risk transfer requirements are accounted for using deposit accounting. Global Atlantic seeks to diversify risk and limits its overall financial exposure through reinsurance.

With respect to ceded reinsurance, Global Atlantic values reinsurance recoverables on reported claims at the time the underlying claim is recognized in accordance with contract terms. For future policyholder benefits, Global Atlantic estimates the amount of reinsurance recoverables based on the terms of the reinsurance contracts and historical reinsurance recovery information. The reinsurance recoverables are based on what Global Atlantic believes are reasonable estimates and the balance is reported as an asset in the consolidated statements of financial condition. However, the ultimate amount of the reinsurance recoverable is not known until all claims are settled.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, Global Atlantic amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in insurance intangibles and policy liabilities in the consolidated statements of financial condition, respectively. Reinsurance contracts do not relieve Global Atlantic from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to Global Atlantic; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the consolidated statements of operations. Global Atlantic's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, Global Atlantic has the right to receive or obligation to pay the total return on assets supporting the funds withheld receivable at interest or funds withheld payable at interest. This indirectly exposes Global Atlantic to the credit risk of the underlying assets. As a result, funds withheld coinsurance and modified coinsurance agreements are viewed as total return swaps and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value with changes in fair value recognized in net income. Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest or the funds withheld payable at interest on the consolidated statements of financial condition. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to whole life and term life insurance contracts and payout contracts with life contingencies are recognized in premiums in the consolidated statements of operations when due from the contractholders.

Amounts received as payment for universal life and investment-type contracts are reported as deposits to contractholder account balances and recorded in policy liabilities in the consolidated statements of financial condition. Amounts received as payment for Global Atlantic's fixed fund variable annuities are reported as a component of policy liabilities in the consolidated statements of financial condition. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration and surrender charges, and are reported in policy fees in the consolidated statements of operations. Additionally, Global Atlantic earns investment income from the investment of contract deposits in Global Atlantic's insurance companies' general account portfolio, which is reported in net investment income in the consolidated statements of operations.

Fees assessed that represent compensation to Global Atlantic for benefits to be provided in future periods and certain other fees are established as an unearned revenue reserve liability and amortized into revenue over the expected life of the related contracts in a manner consistent with DAC for these contracts. Unearned revenue reserves are reported in policy liabilities in the consolidated statements of financial condition and amortized into policy fees in the consolidated statements of operations. Benefits and expenses for these products include claims in excess of related account balances, expenses for contract administration and interest credited to contractholder account balances in the consolidated statements of operations.

Global Atlantic primarily earns revenues from premiums, policy fees, income from investments, and other administration, management, and distribution fees. For the year ended December 31, 2025, Global Atlantic's revenue was sourced in its entirety from the Americas (100%), based on the geographic region of the reporting subsidiary company. Due to a large block reinsurance transaction during the year ended December 31, 2025, Global Atlantic recognized more than 10% of KKR's total consolidated revenues with one reinsurance counterparty in the period. Predominantly all of Global Atlantic's fixed assets are located in the United States.

Equity-based Compensation

Employees of the Company are eligible for the grant of KKR restricted stock units, or "RSUs," under the terms of KKR's 2019 Equity Incentive Plan. Awards are generally subject to service-based vesting, typically over a three-to-five-year vesting period. Expense associated with these RSUs is based on the closing price of KKR & Co. Inc. common stock on the date of grant, discounted for the lack of participation rights in the expected dividends on unvested shares, and is recognized in general, administrative and other expenses in the consolidated statements of income. Expense is recognized on a straight-line basis over requisite service period, net of an estimated forfeiture rate, for awards expected to vest. For awards with performance-based vesting, expense recognition is deferred until the performance factor occurs or becomes probable.

The Company measures compensation cost for other deferred or cash-based compensation plans using the intrinsic value method, beginning on the date of grant, and remeasures the value at each reporting period until the awards are settled. Accrued compensation expense is recognized in general, administrative, and other expenses in the consolidated statements of income and within accrued expenses and other liabilities in the consolidated balance sheets.

Other income

Other income is primarily comprised of expense allowances on ceded reinsurance, administration fees, management fees and distribution fees.

Insurance expenses

Insurance expenses are primarily comprised of commissions expense, premium taxes, amortization of acquired distribution and trade name intangibles, and other expenses related to insurance products and reinsurance transactions.

General, administrative and other expenses

General, administrative and other expenses are primarily comprised of employee compensation and benefit expenses, administrative and professional services and other operating expenses.

Incentive and other deferred compensation

Global Atlantic measured compensation cost for certain legacy deferred or cash-based compensation plans that were in place prior to 2024 using an intrinsic value method, beginning on the date of grant, and remeasured the value at each reporting period until the awards are settled. Accrued compensation expense is recognized in general, administrative and other expenses in the consolidated statements of operations and within accrued expenses and other liabilities in the consolidated statements of financial condition. See Note 15, "Equity-based compensation", for additional information relating to the modification and replacement of these legacy plans.

Income taxes

The Company operates certain subsidiaries in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. Such temporary differences are primarily due to the tax basis of reserves, DAC, unrealized investment gains/losses, reinsurance balances, embedded derivatives, and net operating loss, or "NOL," carryforwards. Changes in deferred income tax assets and liabilities associated with components of other comprehensive (loss) income are recorded directly to accumulated other comprehensive income (loss) in the consolidated balance sheets.

The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on all available evidence, the Company determines that it is more-likely-than-not that some portion of the tax benefit will not be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized on settlement. A liability is established for differences between positions taken in a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. In the U.S., the enactment date is considered to be the date that the President signs the legislation. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Such tax changes can create disproportionate tax effects, or stranded amounts in other comprehensive income, or "OCI," for AFS debt securities. The Company's accounting policy for clearing disproportionate tax effects relating to AFS debt securities is the aggregate portfolio approach. Under the aggregate portfolio approach, the disproportionate tax effect remains intact as long as the investment portfolio remains.

The tax benefit from investment tax credits generated are recognized under the flow through method, with 50% tax basis adjustment as prescribed under Accounting Standards Codification 740.

The Company reports interest expense related to income tax matters in income tax (benefit) expense, and income tax penalties in general and administrative expenses in the consolidated statements of operations.

Foreign currency

Assets and liabilities denominated in non-U.S. currencies are translated at rates of exchange prevailing on the date of the balance sheet and revenues and expenses are translated at average rates of exchange for the relevant period. Foreign currency re-measurement gains or losses on transactions in non-functional currencies are recognized in net investment-related gains (losses) in the consolidated statements of income. The effects of translating the Company's share of foreign currency-denominated equity method investments are included, net of related qualifying hedge gains and losses, in AOCI.

Adoption of new accounting pronouncements

Scope application of profits interest and similar awards

In March 2024, the FASB issued ASU 2024-01, "Compensation-Stock Compensation (Topic 718): Scope Application of Profits Interest and Similar Awards" ("ASU 2024-01"). ASU 2024-01 amends the guidance in Accounting Standard Codification 718 ("ASC 718") by adding an illustrative example to demonstrate and clarify how to apply the scope guidance to determine whether profits interests and similar awards should be accounted for as a share-based payment arrangement under ASC 718 or another standard. The Company adopted this accounting standard effective for the reporting period ended March 31, 2025. The Company adopted this accounting standard effective for the year ended December 31, 2025, and its adoption did not have a material impact on its consolidated financial statements.

Income tax disclosure improvements

In December 2023, the FASB issued ASU 2023-09, "Income Taxes (Topic 740): Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. Global Atlantic adopted this accounting standard effective for the year ended December 31, 2025 and its adoption did not have a material impact on its consolidated financial statements. Refer to Note 16 "Income Taxes" for the expanded disclosures.

Future application of accounting standards

Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity

In May 2025, the FASB issued ASU 2025-03, "Business Combinations (Topic 805) and Consolidation (Topic 810): Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity" ("ASU 2025-03"). ASU 2025-03 requires an entity involved in an acquisition transaction effected primarily by exchanging equity interests when the legal acquiree is a variable interest entity ("VIE") that meets the definition of a business to consider factors to determine which entity is the

accounting acquirer. The update will be effective for annual periods (and interim periods in annual reporting periods) beginning after December 15, 2026. The Company does not expect the adoption to have a material impact on its consolidated financial statements or disclosures.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements and disclosures.

Targeted Improvements to the Accounting for Internal-Use Software

In September 2025, the FASB issued ASU 2025-06, "Intangibles—Goodwill and Other—Internal-Use Software (Subtopic 350-40): Targeted Improvements to the Accounting for Internal-Use Software" ("ASU 2025-06"). ASU 2025-06 eliminates accounting consideration of software project development stages; requires to begin capitalizing software costs when (1) management has authorized and committed to funding the project and (2) it is 'probable' the project will be completed and the software used to perform its intended function (the 'probable-to-complete' threshold.) ASU 2025-06 also enhances the guidance around the 'probable-to-complete' threshold. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2027. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements and disclosures.

Financial Instruments—Credit Losses (Topic 326): Purchased Loans

In November 2025, the FASB issued ASU 2025-08, "Financial Instruments - Credit Losses (Topic 326) - Purchased Loans" ("ASU 2025-08"). ASU 2025-08 expands the population of purchased financial assets subject to the gross-up approach in Topic 326. As a result of this update, loans (excluding credit cards) acquired without credit deterioration and deemed "seasoned" as defined in the ASU will follow the gross-up approach at acquisition and the initial allowance for credit losses is added to the purchase price to determine the amortized cost basis of the loans. The update is effective for fiscal years beginning after December 15, 2026, including interim periods within those fiscal years, and is to be applied prospectively to loans acquired on or after adoption; early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements and disclosures.

3. Investments

Fixed maturity securities

The cost or amortized cost and fair value for available-for-sale, or “AFS,” fixed maturity securities were as follows:

As of December 31, 2025	Cost or amortized cost	Allowance for credit losses ⁽⁴⁾⁽⁵⁾	Gross unrealized		Fair value
			gains	losses	
(\$ in millions)					
AFS fixed maturity securities portfolio by type:					
U.S. government and agencies	\$ 525	\$ —	\$ 1	\$ (115)	\$ 411
U.S. state, municipal, and political subdivisions	3,171	—	5	(728)	2,448
Corporate ⁽¹⁾	62,838	(108)	592	(5,541)	57,781
Residential mortgage-backed securities, or “RMBS”	13,745	(116)	154	(234)	13,549
Commercial mortgage-backed securities, or “CMBS”	8,277	(56)	71	(173)	8,119
Asset-Backed Securities, or “ABSs” ⁽²⁾ and other structured securities	6,910	(6)	84	(38)	6,950
Collateralized loan obligations, or “CLOs” ⁽³⁾	6,401	(3)	35	(19)	6,414
Total AFS fixed maturity securities	\$ 101,867	\$ (289)	\$ 942	\$ (6,848)	\$ 95,672

(1) Includes related party KKR corporate fixed maturity securities with amortized cost, allowance for credit loss, gross unrealized gains, gross unrealized losses, and fair value of \$4.7 billion, \$0 million, \$14 million, \$(98) million, and \$4.7 billion, respectively.

(2) Includes related party KKR asset-backed and other structured securities with amortized cost, allowance for credit loss, gross unrealized gains, gross unrealized losses, and fair value of \$3 million, \$— million, \$— million, \$(36) thousand, and \$3 million, respectively.

(3) Includes related party KKR collateralized loan obligations with amortized cost, allowance for credit loss, gross unrealized gains, gross unrealized losses, and fair value of \$878 million, \$0 million, \$3 million, \$(2) million, and \$880 million, respectively.

(4) Represents the cumulative amount of credit impairments that have been recognized in the consolidated statements of income (loss) (as net investment gains (losses)) or that were recognized as a gross-up of the purchase price of PCD securities. Amount excludes unrealized losses related to non-credit impairment.

(5) Includes credit loss allowances on purchase-credit deteriorated fixed maturity securities of \$(6) million.

As of December 31, 2024	Cost or amortized cost	Allowance for credit losses ⁽⁴⁾⁽⁵⁾	Gross unrealized		Fair value
			gains	losses	
(\$ in millions)					
AFS fixed maturity securities portfolio by type:					
U.S. government and agencies	\$ 2,576	\$ —	\$ —	\$ (185)	\$ 2,391
U.S. state, municipal, and political subdivisions	4,774	—	6	(1,010)	3,770
Corporate ⁽¹⁾	53,520	(99)	129	(7,141)	46,409
RMBS	10,965	(116)	54	(624)	10,279
CMBS	8,387	(44)	29	(382)	7,990
ABSs ⁽²⁾ and other structured securities	5,942	(9)	23	(167)	5,789
CLOs ⁽³⁾	4,457	(7)	27	(22)	4,455
Total AFS fixed maturity securities	\$ 90,621	\$ (275)	\$ 268	\$ (9,531)	\$ 81,083

(1) Includes related party KKR corporate AFS fixed maturity securities with amortized cost, allowance for credit loss, gross unrealized gains, gross unrealized losses, and fair value of \$5.0 billion, — million, \$13 million, \$(201) million, and \$4.8 billion, respectively.

(2) Includes related party KKR asset-backed and other structured securities with amortized cost, allowance for credit loss, gross unrealized gains, gross unrealized losses, and fair value of \$46 million, \$— million, \$— million, \$(2) million, and \$44 million, respectively.

- (3) Includes related party KKR collateralized loan obligations with amortized cost, allowance for credit loss, gross unrealized gains, gross unrealized losses, and fair value of \$355 million, \$— million, \$2 million, \$(8) thousand, and \$357 million, respectively.
- (4) Represents the cumulative amount of credit impairments that have been recognized in the consolidated statements of income (loss) (as net investment gains (losses)) or that were recognized as a gross-up of the purchase price of PCD securities. Amount excludes unrealized losses related to non-credit impairment.
- (5) Includes credit loss allowances on purchase-credit deteriorated fixed maturity securities of \$(9) million.

The maturity distribution for AFS fixed maturity securities is as follows:

As of December 31, 2025	Cost or amortized cost (net of allowance)	Fair value
(\$ in millions)		
Due in one year or less	\$ 828	\$ 818
Due after one year through five years	13,496	13,365
Due after five years through ten years	16,167	16,329
Due after ten years	35,935	30,128
Subtotal⁽¹⁾	66,426	60,640
RMBS	13,629	13,549
CMBS	8,221	8,119
ABSs ⁽²⁾ and other structured securities	6,904	6,950
CLOs ⁽³⁾	6,398	6,414
Total AFS fixed maturity securities	\$ 101,578	\$ 95,672

(1) Includes related party KKR corporate fixed maturity securities with amortized cost and fair value both of \$4.7 billion.

(2) Includes related party KKR asset-backed and other structured securities with amortized cost and fair value of both \$3 million.

(3) Includes related party KKR collateralized loan obligations with amortized cost and fair value of \$878 million and \$880 million, respectively.

Actual maturities may differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties, or the Company may have the right to put or sell the obligations back to the issuers. Structured securities are shown separately as they have periodic payments and are not due at a single maturity.

Securities in a continuous unrealized loss position

The following tables provide information about AFS fixed maturity securities that have been continuously in an unrealized loss position:

As of December 31, 2025	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in millions)						
AFS fixed maturity securities portfolio by type:						
U.S. government and agencies	\$ 6	\$ —	\$ 309	\$ (115)	\$ 315	\$ (115)
U.S. state, municipal, and political subdivisions	63	(3)	2,219	(725)	2,282	(728)
Corporate	11,165	(331)	17,730	(5,210)	28,895	(5,541)
RMBS	924	(11)	2,394	(223)	3,318	(234)
CMBS	648	(8)	1,358	(165)	2,006	(173)
ABSs and other structured securities	920	(9)	633	(29)	1,553	(38)
CLOs	600	(8)	175	(11)	775	(19)
Total AFS fixed maturity securities in a continuous loss position	\$ 14,326	\$ (370)	\$ 24,818	\$ (6,478)	\$ 39,144	\$ (6,848)

As of December 31, 2024	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in millions)						
AFS fixed maturity securities portfolio by type:						
U.S. government and agencies	\$ 2,151	\$ (110)	\$ 204	\$ (75)	\$ 2,355	\$ (185)
U.S. state, municipal, and political subdivisions	251	(5)	3,305	(1,005)	3,556	(1,010)
Corporate	13,655	(535)	20,203	(6,606)	33,858	(7,141)
RMBS	2,436	(62)	3,999	(562)	6,435	(624)
CMBS	1,006	(5)	3,738	(377)	4,744	(382)
ABSs and other structured securities	740	(6)	3,714	(161)	4,454	(167)
CLOs	316	(2)	293	(20)	609	(22)
Total AFS fixed maturity securities in a continuous loss position	\$ 20,555	\$ (725)	\$ 35,456	\$ (8,806)	\$ 56,011	\$ (9,531)

Unrealized gains and losses can be created by changing interest rates or several other factors, including changing credit spreads. The Company had gross unrealized losses on below investment grade AFS fixed maturity securities of \$280 million and \$557 million as of December 31, 2025, and December 31, 2024, respectively. The single largest unrealized loss on AFS fixed maturity securities was \$44 million and \$74 million as of December 31, 2025, and December 31, 2024, respectively. The Company had 4,308 and 5,979 securities in an unrealized loss position as of December 31, 2025, and December 31, 2024, respectively.

As of December 31, 2025, AFS fixed maturity securities in an unrealized loss position for 12 months or more consisted of 2,818 fixed maturity securities. AFS fixed maturity securities in an unrealized loss position for 12 months or more with an allowance for credit losses had a fair value and gross unrealized losses of \$1.4 billion and \$125 million, respectively, as of December 31, 2025. These fixed maturity securities primarily relate to Corporate, RMBS, and U.S. state, municipal, and political subdivisions fixed maturity securities, which have depressed values due primarily to an increase in interest rates since the purchase of these securities. Unrealized losses were not recognized in net income (loss) on these fixed maturity securities since the Company neither intends to sell the securities nor does it believe that it is more likely than not that it will be required to sell these securities before recovery of their cost or

amortized cost basis. For securities with significant declines in value, individual security level analysis was performed utilizing underlying collateral default expectations, market data, and industry analyst reports.

Allowance for credit losses on fixed maturity securities

The table below presents a roll-forward of the allowance for credit losses recognized for fixed maturity securities held by the Company:

	Year ended December 31, 2025			Year ended December 31, 2024		
	Corporate	Structured	Total	Corporate	Structured	Total
(\$ in millions)						
Balance, as of beginning of period	\$ 99	\$ 176	\$ 275	\$ 49	\$ 221	\$ 270
Initial credit loss allowance recognized on securities with no previously recognized allowance	70	22	92	106	3	109
Accretion of initial credit loss allowance on PCD securities	—	1	1	—	1	1
Reductions due to sales (or maturities, pay downs or prepayments) during the period of securities with a previously recognized credit loss allowance	(1)	(36)	(37)	(1)	(20)	(21)
Net additions / reductions for securities with a previously recognized credit loss allowance	28	18	46	22	(16)	6
Balances charged off	(88)	—	(88)	(77)	(13)	(90)
Balance, as of end of period	\$ 108	\$ 181	\$ 289	\$ 99	\$ 176	\$ 275

Mortgage and other loan receivables

Mortgage and other loan receivables consist of the following:

	December 31, 2025	December 31, 2024
(\$ in millions)		
Commercial mortgage loans ⁽¹⁾	\$ 27,024	\$ 25,263
Residential mortgage loans ⁽¹⁾	21,697	21,582
Consumer loans ⁽¹⁾	3,928	4,848
Other loan receivables ⁽¹⁾⁽²⁾⁽⁴⁾	1,599	1,684
Total mortgage and other loan receivables	\$ 54,248	\$ 53,377
Allowance for credit losses ⁽³⁾	(609)	(614)
Total mortgage and other loan receivables, net of allowance for credit losses	\$ 53,639	\$ 52,763

- (1) Includes \$11.2 billion and \$1.6 billion of loans carried at fair value using the fair value option as of December 31, 2025, and December 31, 2024, respectively. These loans had unpaid principal balances of \$11.3 billion and \$1.8 billion as of December 31, 2025, and December 31, 2024, respectively.
- (2) As of December 31, 2025, other loan receivables consisted primarily of business loans, warehouse facility loans backed by agricultural mortgages, renewable energy development loans, loans collateralized by aircraft, and loans collateralized by residential mortgages, of \$416 million, \$369 million, \$347 million, \$246 million, \$200 million, and respectively. As of December 31, 2024, other loan receivables consisted primarily of renewable energy development loans, warehouse facility loans backed by agricultural mortgages, loans collateralized by aircraft, and loans collateralized by residential mortgages of \$547 million, \$503 million, \$271 million and \$200 million, respectively.

- (3) Includes credit loss allowances on purchase-credit deteriorated mortgage and other loan receivables of \$(42) million and \$(72) million as of December 31, 2025, and December 31, 2024, respectively.
- (4) Includes related party balance of \$0 million and \$11 million as of December 31, 2025 and December 31, 2024, respectively.

The maturity distribution for residential and commercial mortgage loans was as follows as of December 31, 2025:

Years	Residential	Commercial	Total mortgage loans
(\$ in millions)			
2026	311	7,928	8,239
2027	502	8,746	9,248
2028	303	3,149	3,452
2029	8	2,012	2,020
2030	10	707	717
Thereafter	20,563	4,482	25,045
Total	\$ 21,697	\$ 27,024	\$ 48,721

Actual maturities could differ from contractual maturities because borrowers may have the right to prepay (with or without prepayment penalties) and loans may be refinanced.

The Company diversifies its mortgage loan portfolio by both geographic region and property type to reduce concentration risk. The following tables present the mortgage loans by geographic region and property type:

	December 31,		December 31,		
Mortgage loans - carrying value by geographic region	2025		2024		
(\$ in millions)					
South Atlantic	\$	12,800	26.3 %	\$ 13,215	28.2 %
Pacific		11,597	23.8 %	11,739	25.1 %
Middle Atlantic		6,367	13.1 %	5,842	12.5 %
West South Central		5,653	11.6 %	5,396	11.5 %
Mountain		4,071	8.4 %	4,001	8.5 %
New England		1,746	3.6 %	1,679	3.6 %
East North Central		1,500	3.1 %	1,506	3.2 %
East South Central		1,000	2.1 %	986	2.1 %
West North Central		430	0.9 %	456	1.0 %
International		2,648	5.4 %	—	— %
Other regions		909	1.7 %	2,025	4.3 %
Total by geographic region	\$	48,721	100.0 %	\$ 46,845	100.0 %

Mortgage loans - carrying value by property type	December 31,		December 31,			
	2025		2024			
(\$ in millions)						
Residential	\$	21,697	44.5 %	\$	21,582	46.1 %
Multi-family		13,168	27.0 %		12,793	27.3 %
Industrial		6,565	13.5 %		6,357	13.6 %
Office building		4,678	9.6 %		4,468	9.5 %
Other property types		1,609	3.3 %		805	1.7 %
Retail		869	1.8 %		505	1.1 %
Warehouse		135	0.3 %		335	0.7 %
Total by property type	\$	48,721	100.0 %	\$	46,845	100.0 %

Allowance for credit losses

Changes in the allowance for credit losses are summarized below:

	Year ended December 31, 2025				Year ended December 31, 2024			
	Commercial mortgage loans	Residential mortgage loans	Consumer and other loan receivables	Total	Commercial mortgage loans	Residential mortgage loans	Consumer and other loan receivables	Total
(\$ in millions)								
Balance, as of beginning of period	\$ 326	\$ 109	\$ 179	\$ 614	\$ 319	\$ 109	\$ 174	\$ 602
Net provision (release)	93	(28)	61	126	164	6	136	306
Charge-offs	(12)	(8)	(135)	(155)	(164)	(6)	(154)	(324)
Recoveries of amounts previously charged-off	—	—	24	24	7	—	23	30
Balance, as of end of period	\$ 407	\$ 73	\$ 129	\$ 609	\$ 326	\$ 109	\$ 179	\$ 614

Credit quality indicators

Mortgage and consumer loan receivable performance status

The following table represents our portfolio of mortgage and consumer loan receivables by origination year and performance status:

Performance status as of December 31, 2025	By year of origination						
	2025	2024	2023	2022	2021	Prior	Total
(\$ in millions)							
Commercial mortgage loans							
Gross charge-offs for the year ended December 31, 2025	\$ —	\$ —	\$ —	\$ —	\$ (2)	\$ (10)	\$ (12)
Current	\$ 3,851	\$ 5,016	\$ 3,215	\$ 5,163	\$ 5,911	\$ 3,823	\$ 26,979
30 to 59 days past due	—	—	—	—	—	—	—
60 to 89 days past due	—	—	—	—	—	—	—
90 days or more past due or in process of foreclosure	—	—	—	—	—	45	45
Total commercial mortgage loans	\$ 3,851	\$ 5,016	\$ 3,215	\$ 5,163	\$ 5,911	\$ 3,868	\$ 27,024

Performance status as of December 31, 2025	By year of origination						
	2025	2024	2023	2022	2021	Prior	Total
(\$ in millions)							
Residential mortgage loans							
Gross charge-offs for the year ended December 31, 2025	\$ —	\$ (1)	\$ (1)	\$ (1)	\$ —	\$ (5)	\$ (8)
Current	\$ 4,977	\$ 6,335	\$ 2,981	\$ 1,689	\$ 3,628	\$ 1,357	\$ 20,967
30 to 59 days past due	52	118	79	24	34	40	347
60 to 89 days past due	17	42	17	6	12	16	110
90 days or more past due or in process of foreclosure	8	112	48	30	42	33	273
Total residential mortgage loans	\$ 5,054	\$ 6,607	\$ 3,125	\$ 1,749	\$ 3,716	\$ 1,446	\$ 21,697
Consumer loans							
Gross charge-offs for the year ended December 31, 2025	\$ —	\$ (7)	\$ (14)	\$ (18)	\$ (55)	\$ (41)	\$ (135)
Current	\$ 31	\$ 355	\$ 385	\$ 618	\$ 1,124	\$ 1,311	\$ 3,824
30 to 59 days past due	—	3	4	5	16	17	45
60 to 89 days past due	—	2	3	4	8	9	26
90 days or more past due or in process of foreclosure	—	3	4	6	8	12	33
Total consumer loans	\$ 31	\$ 363	\$ 396	\$ 633	\$ 1,156	\$ 1,349	\$ 3,928
Total mortgage and consumer loan receivables	\$ 8,936	\$ 11,986	\$ 6,736	\$ 7,545	\$ 10,783	\$ 6,663	\$ 52,649

Performance status as of December 31, 2024	By year of origination						
	2024	2023	2022	2021	2020	Prior	Total
(\$ in millions)							
Commercial mortgage loans							
Gross charge-offs for the year ended December 31, 2024	\$ —	\$ —	\$ (20)	\$ (81)	\$ (11)	\$ (52)	\$ (164)
Current	\$ 4,627	\$ 3,575	\$ 6,013	\$ 6,415	\$ 560	\$ 3,899	\$ 25,089
30 to 59 days past due	—	—	—	—	—	—	—
60 to 89 days past due	—	—	—	—	—	42	42
90 days or more past due or in process of foreclosure	—	—	—	97	—	35	132
Total commercial mortgage loans	\$ 4,627	\$ 3,575	\$ 6,013	\$ 6,512	\$ 560	\$ 3,976	\$ 25,263

Performance status as of December 31, 2024	By year of origination						
	2024	2023	2022	2021	2020	Prior	Total
(\$ in millions)							
Residential mortgage loans							
Gross charge-offs for the year ended December 31, 2024	\$ —	\$ —	\$ (1)	\$ (3)	\$ (1)	\$ (1)	(6)
Current	\$ 8,278	\$ 3,959	\$ 1,949	\$ 4,010	\$ 1,192	\$ 1,470	\$ 20,858
30 to 59 days past due	68	89	64	39	6	91	357
60 to 89 days past due	20	24	10	12	—	24	90
90 days or more past due or in process of foreclosure	10	43	36	65	9	114	277
Total residential mortgage loans	\$ 8,376	\$ 4,115	\$ 2,059	\$ 4,126	\$ 1,207	\$ 1,699	\$ 21,582
Consumer loans							
Gross charge-offs for the year ended December 31, 2024	\$ (1)	\$ (7)	\$ (23)	\$ (74)	\$ (20)	\$ (29)	(154)
Current	\$ 593	\$ 455	\$ 691	\$ 1,394	\$ 566	\$ 1,050	\$ 4,749
30 to 59 days past due	1	2	3	22	4	15	47
60 to 89 days past due	1	1	2	10	2	8	24
90 days or more past due or in process of foreclosure	—	2	3	10	3	10	28
Total consumer loans	\$ 595	\$ 460	\$ 699	\$ 1,436	\$ 575	\$ 1,083	\$ 4,848
Total mortgage and consumer loan receivables	\$ 13,598	\$ 8,150	\$ 8,771	\$ 12,074	\$ 2,342	\$ 6,758	\$ 51,693

Loan-to-value ratio on mortgage loans

The loan-to-value ratio is expressed as a percentage of the current amount of the loan relative to the value of the underlying collateral. The following table summarizes the Company's loan-to-value ratios for its commercial mortgage loans as of December 31, 2025, and December 31, 2024:

Loan-to-value as of December 31, 2025, by year of origination	Carrying value loan-to-value 70% and less	Carrying value loan-to-value 71% - 90%	Carrying value loan-to-value over 90%	Total carrying value
(\$ in millions)				
2025	\$ 3,662	\$ 189	\$ —	\$ 3,851
2024	4,865	151	—	5,016
2023	3,215	—	—	3,215
2022	4,719	409	35	5,163
2021	4,428	1,285	198	5,911
2020	377	90	33	500
Prior	3,058	83	227	3,368
Total commercial mortgage loans	\$ 24,324	\$ 2,207	\$ 493	\$ 27,024

Loan-to-value as of December 31, 2024, by year of origination	Carrying value loan-to-value 70% and less	Carrying value loan-to-value 71% - 90%	Carrying value loan-to-value over 90%	Total carrying value
(\$ in millions)				
2024	\$ 4,488	\$ 139	\$ —	\$ 4,627
2023	3,575	—	—	3,575
2022	5,647	366	—	6,013
2021	4,932	1,430	150	6,512
2020	433	92	35	560
2019	1,145	55	39	1,239
Prior	2,539	54	144	2,737
Total commercial mortgage loans	\$ 22,759	\$ 2,136	\$ 368	\$ 25,263

Changing economic conditions and updated assumptions affect the Company's assessment of the collectibility of commercial mortgage loans. Changing vacancies and rents are incorporated into the analysis that the Company performs to measure the allowance for credit losses. In addition, the Company continuously monitors its commercial mortgage loan portfolio to identify risk. Areas of emphasis are properties that have exposure to specific geographic events or have deteriorating credit.

The weighted average loan-to-value ratio for the Company's residential mortgage loans was 64% and 63% as of December 31, 2025, and December 31, 2024, respectively.

Loan modifications

The Company may modify the terms of a loan when the borrower is experiencing financial difficulties, as a means to optimize recovery of amounts due on the loan. Modifications may involve temporary relief, such as payment forbearance for a short period of time (where interest continues to accrue) or may involve more substantive changes to a loan. Changes to the terms of a loan, pursuant to a modification agreement, are factored into the analysis of the loan's expected credit losses, under the allowance model applicable to the loan.

For commercial mortgage loans, modifications for borrowers experiencing financial difficulty are tailored for individual loans and may include interest rate relief, maturity extensions or, less frequently, principal forgiveness. For both residential mortgage loans and consumer loans, the most common modifications for borrowers experiencing financial difficulty, aside from insignificant delays in payment, typically involve deferral of missed payments to the end of the loan term, interest rate relief, or maturity extensions.

The tables below present the carrying value of loans to borrowers experiencing financial difficulty, for which modifications have been granted during the year ended December 31, 2025, and 2024:

Year ended December 31, 2025, by loan type	Deferral of Amounts Due	Interest Rate Relief	Maturity Extension	Combination ⁽¹⁾	Total	Percentage of total carrying value outstanding
(\$ in millions)						
Commercial mortgage loans	\$ —	\$ 190	\$ 37	\$ 69	\$ 296	1.09 %
Residential mortgage loans	3	—	—	2	5	0.02 %
Consumer loans	9	—	19	23	51	1.29 %
Total	\$ 12	\$ 190	\$ 56	\$ 94	\$ 352	

(1) Includes modifications involving a combination of deferral of amounts due, interest rate relief, or maturity extension.

Year ended December 31, 2024, by loan type	Deferral of Amounts Due	Interest Rate Relief	Maturity Extension	Combination ⁽¹⁾	Total	Percentage of total carrying value outstanding
(\$ in millions)						
Commercial mortgage loans	\$ —	\$ —	\$ —	\$ 388	\$ 388	1.54 %
Residential mortgage loans	5	—	—	14	19	0.09 %
Consumer loans	3	1	30	51	85	1.74 %
Total	\$ 8	\$ 1	\$ 30	\$ 453	\$ 492	

(1) Includes modifications involving a combination of deferral of amounts due, interest rate relief, or maturity extension.

All of the commercial mortgage loans that had a combination of modifications had both interest rate relief and maturity extensions. For commercial mortgage loans granted interest rate relief, this relief generally involved either a change from a floating rate or a decrease in fixed rate to a weighted average rate of 4.2% and 4.9% for the year ended December 31, 2025, and 2024, respectively. The maturity extensions for commercial mortgage loans added a weighted-average of 1.9 years and 2.9 years to the life of the loans, for the year ended December 31, 2025, and 2024, respectively. As of December 31, 2025, the Company has commitments to lend additional funds of \$17 million for the modified commercial mortgage loans disclosed above.

The table below presents the performance status of the loans modified during the twelve months ended December 31, 2025:

Performance status as of December 31, 2025, by loan type	Current	30-59 days past due	60-89 days past due	90 days or more past due or in process of foreclosure	Total
(\$ in millions)					
Commercial mortgage loans	\$ 296	\$ —	\$ —	\$ —	\$ 296
Residential mortgage loans	4	—	—	1	5
Consumer loans	36	8	4	3	51
Total⁽¹⁾	\$ 336	\$ 8	\$ 4	\$ 4	\$ 352

(1) Loans may have been modified more than once during the twelve months period; in this circumstance, the loan is only included once in this table. Modified loans that were subsequently repaid are excluded.

Equity method investments

Real assets of \$1.4 billion as of both December 31, 2025, and December 31, 2024, and other investments of \$855 million and \$683 million as of December 31, 2025, and December 31, 2024, respectively, are accounted for using the equity method of accounting.

In addition, the Company has investments that would otherwise require the equity method of accounting for which the fair value option has been elected. The carrying amount of real assets and other investments for which the fair value option has been elected was \$732 million and \$2.2 billion, respectively, as of December 31, 2025, and the carrying amount of these investments was \$473 million and \$5 million, respectively, as of December 31, 2024.

The Company's maximum exposure to loss related to equity method investments, including those for which fair value has been elected, is limited to the carrying value of these investments plus unfunded commitments of \$447 million and \$23 million as of December 31, 2025, and December 31, 2024, respectively.

Variable interest entities

The Company has formed certain VIEs to either (i) hold investments, including fixed maturity securities, consumer and other loans, and real assets, or (ii) to conduct certain reinsurance activities with third party commitments. These VIEs issue beneficial interests primarily to the Company's insurance companies and the Company maintains the power to direct the activities of the VIEs that most significantly impact their economic performance and bears the obligation to absorb losses or receive benefits from the VIEs that could potentially be significant. Accordingly, the Company is the primary beneficiary of these VIEs, which are consolidated. Where these VIEs or entities consolidated by these VIEs issue beneficial interests to third-parties, they are reported as non-controlling interests by the Company.

The following table illustrates the Company's consolidated VIE positions:

	December 31, 2025	December 31, 2024
(\$ in millions)		
Assets of consolidated variable interest entities:		
Investments:		
AFS fixed maturity securities, at fair value	\$ 11,427	\$ 8,916
Trading fixed maturity securities, at fair value	428	98
Mortgage and other loan receivables	4,461	5,024
Real assets	14,203	13,499
Other investments	631	65
Cash and cash equivalents	1,382	853
Accrued investment income	303	238
Other assets	486	526
Total assets of consolidated variable interest entities	\$ 33,321	\$ 29,219
Liabilities of consolidated variable interest entities:		
Debt	\$ 197	\$ 70
Other liabilities	566	496
Total liabilities of consolidated variable interest entities	\$ 763	\$ 566

The carrying amount and maximum exposure to loss relating to VIEs in which the Company holds a significant variable interest but is not the primary beneficiary and which have not been consolidated were as follows:

	December 31, 2025		December 31, 2024	
	Carrying amount	Maximum exposure to loss ⁽¹⁾	Carrying amount	Maximum exposure to loss ⁽¹⁾
(\$ in millions)				
Real assets	\$ 418	\$ 418	\$ 457	\$ 457
Other investments	2,462	2,462	665	665
Total	\$ 2,880	\$ 2,880	\$ 1,122	\$ 1,122

- (1) The maximum exposure to loss relating to other investments and renewable energy partnership interests is equal to the carrying amounts. The Company also has unfunded commitments of \$447 million and \$26 million as of December 31, 2025, and December 31, 2024, respectively.

Repurchase agreement transactions

As of December 31, 2025, and December 31, 2024, the Company participated in repurchase agreements with a notional value of \$664 million and \$261 million, respectively. As collateral for these transactions, the Company typically posts AFS fixed maturity securities and/or mortgage and other loan receivables, which are included in investments in the consolidated balance sheets. The gross obligation for repurchase agreements is reported in other liabilities in the consolidated balance sheets.

The carrying value of assets pledged for repurchase agreements by type of collateral and remaining contractual maturity of the repurchase agreements as of December 31, 2025, and December 31, 2024 is presented in the following tables:

As of December 31, 2025	Overnight		<30 Days		30 - 90 Days		>90 Days		Total	
(\$ in millions)										
Residential mortgage loans	\$	—	\$	9	\$	312	\$	391	\$	712
Total assets pledged	\$	—	\$	9	\$	312	\$	391	\$	712

As of December 31, 2024	Overnight		<30 Days		30 - 90 Days		>90 Days		Total	
(\$ in millions)										
Residential mortgage loans	\$	—	\$	4	\$	71	\$	196	\$	271
Total assets pledged	\$	—	\$	4	\$	71	\$	196	\$	271

Other pledges and restrictions

Certain of the Company's subsidiaries are members of regional banks in the FHLB system and such membership requires the members to own stock in these FHLBs. We own an aggregate of \$122 million and \$118 million (accounted for at cost basis) of stock in FHLBs as of December 31, 2025, and December 31, 2024, respectively. In addition, the Company's insurance subsidiaries have entered into funding agreements with the FHLB, which require that the Company pledge eligible assets, such as fixed maturity securities and mortgage loans, as collateral. Assets pledged as collateral for these funding agreements had a carrying value of \$7.1 billion and \$4.6 billion as of December 31, 2025, and December 31, 2024, respectively.

The capital stock of one of our equity method investments has been pledged as collateral security for the due payment and performance of the debt obligations of the investee. Our investment subject to this pledge had a carrying value of \$874 million and \$834 million as of December 31, 2025 and December 31, 2024, respectively.

Insurance – statutory deposits

As of December 31, 2025, and December 31, 2024, the carrying value of the assets on deposit with various state and U.S. governmental authorities were \$145 million and \$141 million, respectively.

Net investment income

Net investment income is comprised primarily of (i) interest income, including amortization of premiums and accretion of discounts, (ii) dividend income from common and preferred stock, (iii) earnings from investments accounted for under equity method accounting, and (iv) lease income on real assets.

The components of net investment income were as follows:

	Years ended	
	December 31,	December 31,
	2025	2024
(\$ in millions)		
Fixed maturity securities	\$ 6,629	\$ 5,903
Mortgage and other loan receivables	3,120	2,682
Real assets	1,063	815
Income assumed from funds withheld receivable at interest	75	81
Income ceded to funds withheld payable at interest	(2,574)	(2,392)
Policy loans	81	84
Short-term and other investment income	619	492
Total investment income⁽¹⁾	\$ 9,013	\$ 7,665
Less investment expenses:		
Investment management and administration ⁽²⁾	1,364	1,129
Real asset depreciation and maintenance	251	205
Interest expense on derivative collateral and repurchase agreements	101	103
Net investment income	\$ 7,297	\$ 6,228

(1) Includes income from related parties of \$479 million and \$376 million for the year ended December 31, 2025, and 2024, respectively.

(2) Includes investment management fees paid to KKR, a related party, of \$674 million and \$536 million for the year ended December 31, 2025, and 2024, respectively.

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended	
	December 31,	December 31,
	2025	2024
(\$ in millions)		
Realized gains (losses) on available-for-sale fixed maturity securities	\$ (1,789)	\$ (568)
Credit loss allowances on available-for-sale securities	(138)	(115)
Credit loss allowances on mortgage and other loan receivables	(126)	(306)
Credit loss allowances on unfunded commitments	(13)	31
Unrealized gains (losses) on fixed maturity securities classified as trading ⁽¹⁾	433	(707)
Unrealized gains (losses) on other investments recognized under the fair-value option and equity investments	234	10
Unrealized gains (losses) on real assets	72	(168)
Realized gains (losses) on real assets	14	11
Net gains (losses) on derivative instruments	203	420
Realized gains (losses) on funds withheld at interest, payable	117	126
Realized gains (losses) on funds withheld at interest, receivable	(89)	(62)
Foreign exchange gains (losses) on non-USD denominated investments	221	(69)
Other realized gains (losses)	(92)	2
Net investment-related gains (losses)	\$ (953)	\$ (1,395)

(1) Includes gains (losses) from related party KKR trading corporate fixed maturity securities of \$(55) million and \$32 million for the year ended December 31, 2025, and 2024, respectively.

Proceeds and gross gains and losses from voluntary sales

The proceeds from voluntary sales and the gross gains and losses on those sales of available-for-sale ("AFS") fixed maturity securities were as follows:

	Years ended	
	December 31,	December 31,
	2025	2024
(\$ in millions)		
AFS fixed maturity securities:		
Proceeds from voluntary sales	\$ 33,687	\$ 19,610
Gross gains	\$ 169	\$ 112
Gross losses	\$ (1,865)	\$ (644)

4. Derivative instruments

The Company holds derivative instruments that are primarily used in its hedge program. The Company has established a hedge program that seeks to mitigate economic impacts primarily from interest rate and equity price movements, while taking into consideration accounting and capital impacts.

The Company hedges interest rate and equity market risks associated with its insurance liabilities including fixed-indexed annuities, indexed universal life policies, variable annuity policies, and variable universal life policies, among others. For fixed-indexed annuities and indexed universal life policies, the Company generally seeks to use static hedges to offset the exposure primarily created by changes in its embedded derivative balances. The Company generally purchases options which replicate the crediting rate strategies, often in the form of call spreads. Call spreads are the purchase of a call option matched by the sale of a different call option. For variable annuities and variable universal life policies, the Company generally seeks to dynamically hedge its exposure to changes in the value of the guarantee it provides to policyholders. Doing so requires the active trading of several financial instruments to respond to changes in market conditions. In addition, the Company enters into inflation swaps to manage inflation risk associated with inflation-indexed preneed policies.

In the context of specific reinsurance transactions in the institutional channel or acquisitions, the Company may also enter into hedges which are designed to limit short-term market risks to the economic value of the target assets. From time to time, the Company also enters into hedges designed to mitigate interest rate and credit risk in investment income, interest expense, and fair value of assets and liabilities. In addition, the Company enters into currency swaps and forwards to manage any foreign exchange rate risks that may arise from investments and policy liabilities denominated in foreign currencies.

The Company attempts to mitigate the risk of loss due to ineffectiveness under these derivative investments through a regular monitoring process which evaluates the program's effectiveness. Management monitors the Company's derivative activities by reviewing portfolio activities and risk levels. Management also oversees all derivative transactions to ensure that the types of transactions entered into and the results obtained from those transactions are consistent with both the Company's risk management strategy and the Company's policies and procedures.

The restricted cash which was held in connection with open derivative transactions with exchange brokers was \$50 million and \$136 million as of December 31, 2025, and December 31, 2024, respectively.

The Company also has embedded derivatives related to reinsurance contracts that are accounted for on a modified coinsurance and funds withheld basis. An embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. These embedded derivatives are included in funds withheld receivable and payable at interest in the consolidated balance sheets.

Credit Risk

The Company may be exposed to credit-related losses in the event of nonperformance by its counterparties to derivatives. Generally, the current credit exposure of the Company's derivatives is limited to the positive fair value of derivatives less any collateral received from the counterparty.

The Company manages the credit risk on its derivatives by entering into derivative transactions with highly rated financial institutions and other creditworthy counterparties and, where feasible, by trading through central clearing counterparties. The Company further manages its credit risk on derivatives via the use of master netting agreements, which require the daily posting of collateral by the party in a liability position. Counterparty credit exposure and collateral values are monitored regularly and measured against counterparty exposure limits. The provisions of derivative transactions may allow for the termination and settlement of a transaction if there is a downgrade to the Company's financial strength ratings below a specified level.

The fair value and notional value of the derivative assets and liabilities were as follows:

	December 31, 2025			
	Fair Value			
	Gross Notional	Assets	Liabilities	
(\$ in millions)				
Derivatives designated as hedge accounting instruments:				
Interest rate contracts	\$ 13,456	\$ 74	\$ 317	
Foreign currency contracts	6,075	27	112	
Total derivatives designated as hedge accounting instruments	\$ 19,531	\$ 101	\$ 429	
Derivatives not designated as hedge accounting instruments:				
Interest rate contracts	\$ 17,525	\$ 311	\$ 322	
Equity market contracts	41,859	2,676	118	
Foreign currency contracts	4,326	32	224	
Other contracts	4	9	5	
Total derivatives not designated as hedge accounting instruments	\$ 63,714	\$ 3,028	\$ 669	
Counterparty netting ⁽²⁾	—	(615)	(616)	
Cash collateral	—	(2,208)	(46)	
Total derivatives after collateral⁽¹⁾	\$ 83,245	\$ 306	\$ 436	

(1) Excludes embedded derivatives. The fair value of these embedded derivatives related to assets was \$79 million and the fair value of these embedded derivatives related to liabilities was \$5.6 billion.

(2) Represents netting of derivative exposures covered by qualifying master netting agreements.

	December 31, 2024					
	Fair Value					
	Gross Notional	Assets	Liabilities			
(\$ in millions)						
Derivatives designated as hedge accounting instruments:						
Interest rate contracts	\$	15,491	\$	42	\$	511
Foreign currency contracts		2,541		67		29
Total derivatives designated as hedge accounting instruments	\$	18,032	\$	109	\$	540
Derivatives not designated as hedge accounting instruments:						
Interest rate contracts	\$	29,211	\$	206	\$	561
Equity market contracts		37,151		1,921		144
Foreign currency contracts		2,887		109		55
Other contracts		62		2		—
Total derivatives not designated as hedge accounting instruments	\$	69,311	\$	2,238	\$	760
Counterparty netting ⁽²⁾		—		(649)		(649)
Cash collateral		—		(1,637)		(262)
Total derivatives after collateral ⁽¹⁾	\$	87,343	\$	61	\$	389

(1) Excludes embedded derivatives. The fair value of these embedded derivatives related to assets was \$126 million and the fair value of these embedded derivatives related to liabilities was \$3.2 billion.

(2) Represents netting of derivative exposures covered by qualifying master netting agreements.

Derivatives designated as accounting hedges

Where the Company has derivative instruments that are designated and qualify as accounting hedges, these derivative instruments receive hedge accounting.

Fair value hedges

The Company has designated foreign exchange derivative contracts, including forwards and swaps, to hedge the foreign currency risk associated with foreign currency-denominated bonds in fair value hedges. These foreign currency-denominated bonds are accounted for as AFS fixed maturity securities. Changes in the fair value of the hedged AFS fixed maturity securities due to changes in spot exchange rates are reclassified from AOCI to earnings, which offsets the earnings impact of the spot changes of the foreign exchange derivative contracts, both of which are recognized within investment-related gains (losses). The effectiveness of these hedges is assessed using the spot method. Changes in the fair value of the foreign exchange derivative contracts related to changes in the spot-forward difference are excluded from the assessment of hedge effectiveness and are deferred in AOCI and recognized in earnings using a systematic and rational method over the life of the foreign exchange derivative contracts. The amortized cost of the AFS fixed maturity securities in qualifying foreign exchange fair value hedges was \$3.7 billion and \$2.1 billion as of December 31, 2025, and December 31, 2024, respectively.

The Company has designated interest rate swaps to hedge the interest rate risk associated with certain debt and policy liabilities. These fair value hedges generally qualify for the shortcut method of assessing hedge effectiveness. The following table presents the financial statement classification, carrying amount, and cumulative fair value hedging adjustments for qualifying hedged debt and policy liabilities:

	Carrying Amount of Hedged Liabilities		Cumulative Amount of Fair Value Hedging Adjustments Included in the Carrying Amount of Hedged Liabilities ⁽¹⁾	
	December 31, 2025	December 31, 2024	December 31, 2025	December 31, 2024
(\$ in millions)				
Debt	\$ 3,572	\$ 2,279	\$ (124)	\$ (233)
Policy liabilities	3,647	4,454	(99)	(204)

(1) Includes \$155 million and \$193 million of hedging adjustments on discontinued hedging relationships as of December 31, 2025, and December 31, 2024, respectively.

Cash flow hedges

The Company has designated bond forwards to hedge the interest rate risk associated with the planned purchase of AFS fixed maturity securities in cash flow hedges. These arrangements are hedging purchases through January 2036 and are expected to affect earnings until 2057. Regression analysis is used to assess the effectiveness of these hedges.

As of December 31, 2025, and December 31, 2024, there was a cumulative loss of \$(214) million and \$(250) million, respectively, on the currently designated bond forwards recorded in accumulated other comprehensive income (loss). Amounts deferred in accumulated other comprehensive income (loss) are reclassified to net investment income following the qualifying purchases of AFS securities, as an adjustment to the yield earned over the life of the purchased securities, using the effective interest method.

The Company has designated interest rate swaps to hedge the interest rate risk associated with floating rate investments, including AFS fixed maturity securities and commercial mortgage loans. Regression analysis is used to assess the effectiveness of these hedges.

As of December 31, 2025 and December 31, 2024, there was a cumulative gain (loss) of \$(22) million and \$(61) million on the currently designated interest rate swaps recorded in accumulated other comprehensive loss, respectively. Amounts deferred in accumulated other comprehensive loss are reclassified to net investment income in the same period during which the hedged investments affect earnings.

The Company has designated foreign exchange swaps to hedge the foreign exchange risk associated with certain policy liabilities in cash flow hedges. The critical terms of the swaps match those of the hedged liabilities, such that the respective hedging relationship is expected to be perfectly effective (pursuant to ASC 815-20-25-84).

As of December 31, 2025, there was a cumulative gain (loss) of \$(2) million on the currently designated foreign exchange swaps recorded in accumulated other comprehensive income (loss). Amounts deferred in accumulated other comprehensive income (loss) are reclassified to net policy benefits and claims in the same period during which the hedged policy liabilities affect earnings due to changes in spot foreign exchange rates. The amount reclassified from accumulated other comprehensive income (loss) for the swap designated in the hedge comprises changes in its fair value due to changes in spot exchange rates and an allocated portion of its initial spot-forward difference.

For all cash flow hedges, the Company estimates that the amount of gains/losses in accumulated other comprehensive income (loss) to be reclassified into earnings in the next 12 months will not be material.

Net investment hedges

The Company has designated cross currency swaps to hedge the foreign currency risk associated with certain foreign currency-denominated equity method investments in net investment hedges. The effectiveness of these hedges is assessed based on changes in spot rates.

Changes in the fair value of the swaps are recognized in other comprehensive income (OCI), consistent with the translation adjustment for the hedged investment. The component comprising the difference between forward rates and spot rates is amortized to net investment income over the life of the swaps. As of December 31, 2025 and December 31, 2024, the cumulative foreign currency translation gain (loss) recorded in accumulated other comprehensive income (AOCI) related to net investment hedges was \$(14) million and \$(25) million, respectively.

Derivative results

The following table presents the financial statement classification and amount of gains (losses) recognized on derivative instruments and related hedged items, where applicable:

	Year ended December 31, 2025					
	Net Investment-related Gains (Losses)	Net Investment Income	Policy Benefits (Claims)	Interest Expense	Change in AOCI	
(\$ in millions)						
Derivatives Designated as Hedge Accounting Instruments						
Fair Value Hedges						
<i>Gains (losses) on derivatives designated as hedge instruments:</i>						
Interest rate contracts	\$ —	\$ —	\$ 22	\$ 64	\$ —	
Foreign currency contracts	(287)	4	—	—	21	
Total gains (losses) on derivatives designated as hedge instruments	\$ (287)	\$ 4	\$ 22	\$ 64	\$ 21	
<i>Gains (losses) on hedged items:</i>						
Interest rate contracts	\$ —	\$ —	\$ (22)	\$ (64)	\$ —	
Foreign currency contracts	288	—	—	—	—	
Total gains (losses) on hedged items	\$ 288	\$ —	\$ (22)	\$ (64)	\$ —	
<i>Amortization for gains (losses) excluded from assessment of effectiveness:</i>						
Foreign currency contracts	\$ 23	\$ —	\$ —	\$ —	\$ —	
Total amortization for gains (losses) excluded from assessment of effectiveness	\$ 23	\$ —	\$ —	\$ —	\$ —	
Total gains (losses) on fair value hedges, net of hedged items	\$ 24	\$ 4	\$ —	\$ —	\$ 21	
Cash Flow Hedges						
Foreign currency contracts	\$ —	\$ —	\$ (9)	\$ —	\$ (2)	
Interest rate contracts	—	(11)	—	—	74	
Total gains (losses) on cash flow hedges	\$ —	\$ (11)	\$ (9)	\$ —	\$ 72	

	Year ended December 31, 2025				
	Net Investment-related Gains (Losses)	Net Investment Income	Policy Benefits (Claims)	Interest Expense	Change in AOCI
(\$ in millions)					
Net investment hedges					
Gains (losses) on derivatives designated as hedge instruments	\$ —	\$ 2	\$ —	\$ —	\$ 11
Total gains (losses) on net investment hedges	\$ —	\$ 2	\$ —	\$ —	\$ 11
Derivatives Not Designated as Hedge Accounting Instruments					
Interest rate contracts	\$ 86	\$ —	\$ —	\$ —	\$ —
Foreign exchange and other derivative contracts	(214)	—	—	—	—
Equity index options	927	—	—	—	—
Equity futures contracts	(51)	—	—	—	—
Embedded derivatives - funds withheld payable	(521)	—	—	—	—
Embedded derivatives - funds withheld receivable	(48)	—	—	—	—
Total gains (losses) on derivatives not designated as hedge accounting instruments	\$ 179	\$ —	\$ —	\$ —	\$ —
Total	\$ 203	\$ (5)	\$ (9)	\$ —	\$ 104

	Year ended December 31, 2024				
	Net Investment-related Gains (Losses)	Net Investment Income	Policy Benefits (Claims)	Interest Expense	Change in AOCI
(\$ in millions)					
Derivatives Designated as Hedge Accounting Instruments					
Fair Value Hedges					
<i>Gains (losses) on derivatives designated as hedge instruments:</i>					
Interest rate contracts	\$ —	\$ —	\$ (109)	\$ (135)	\$ —
Foreign currency contracts	120	5	—	—	(11)
Total gains (losses) on derivatives designated as hedge instruments	\$ 120	\$ 5	\$ (109)	\$ (135)	\$ (11)
<i>Gains (losses) on hedged items:</i>					
Interest rate contracts	\$ —	\$ —	\$ 109	\$ 135	\$ —
Foreign currency contracts	(117)	—	—	—	—
Total gains (losses) on hedged items	\$ (117)	\$ —	\$ 109	\$ 135	\$ —
<i>Amortization for gains (losses) excluded from assessment of effectiveness:</i>					
Foreign currency contracts	\$ 20	\$ —	\$ —	\$ —	\$ —
Total amortization for gains (losses) excluded from assessment of effectiveness	\$ 20	\$ —	\$ —	\$ —	\$ —
Total gains (losses) on fair value hedges, net of hedged items	\$ 23	\$ 5	\$ —	\$ —	\$ (11)

	Year ended December 31, 2024					
	Net Investment-related Gains (Losses)	Net Investment Income	Policy Benefits (Claims)	Interest Expense	Change in AOCI	
(\$ in millions)						
Cash Flow Hedges						
Interest rate contracts	\$ —	\$ (6)	\$ —	\$ —	\$ —	(184)
Total gains (losses) on cash flow hedges	\$ —	\$ (6)	\$ —	\$ —	\$ —	(184)
Net investment hedges						
Gains (losses) on derivatives designated as hedge instruments	\$ —	\$ 1	\$ —	\$ —	\$ —	(25)
Total gains (losses) on net investment hedges	\$ —	\$ 1	\$ —	\$ —	\$ —	(25)
Derivatives Not Designated as Hedge Accounting Instruments						
Interest rate contracts	\$ (569)	\$ —	\$ —	\$ —	\$ —	—
Foreign exchange and other derivative contracts	98	—	—	—	—	—
Equity index options	568	—	—	—	—	—
Equity futures contracts	(87)	—	—	—	—	—
Embedded derivatives - funds withheld payable	350	—	—	—	—	—
Embedded derivatives - funds withheld receivable	37	—	—	—	—	—
Total gains (losses) on derivatives not designated as hedge accounting instruments	\$ 397	\$ —	\$ —	\$ —	\$ —	—
Total	\$ 420	\$ —	\$ —	\$ —	\$ —	(220)

Collateral

The amount of the Company's net derivative assets and liabilities after consideration of collateral received or pledged were as follows:

	Gross amount recognized	Gross amounts offset in the consolidated balance sheets ⁽¹⁾	Net amounts presented in the consolidated balance sheets	Collateral (received) / pledged	Net amount after collateral
As of December 31, 2025					
(\$ in millions)					
Derivative assets (excluding embedded derivatives)	\$ 3,129	\$ (2,823)	\$ 306	\$ (511)	\$ (205)
Derivative liabilities (excluding embedded derivatives)	\$ 1,099	\$ (663)	\$ 436	\$ 724	\$ (288)

(1) Represents netting of derivative exposures covered by qualifying master netting agreements.

As of December 31, 2024	Gross amount recognized	Gross amounts offset in the consolidated balance sheets ⁽¹⁾	Net amounts presented in the consolidated balance sheets	Collateral (received) / pledged	Net amount after collateral
(\$ in millions)					
Derivative assets (excluding embedded derivatives)	\$ 2,347	\$ (2,285)	\$ 62	\$ (158)	\$ (96)
Derivative liabilities (excluding embedded derivatives)	\$ 1,299	\$ (910)	\$ 389	\$ 505	\$ (116)

(1) Represents netting of derivative exposures covered by qualifying master netting agreements.

5. Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants as of the measurement date ("the exit price"). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect our market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access as of the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the Company's hierarchy for its assets and liabilities measured and reported at fair value by the fair value hierarchy on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total
(\$ in millions)							
Assets:							
AFS fixed maturity securities:							
U.S. government and agencies	\$	—	\$	411	\$	—	\$ 411
U.S. state, municipal, and political subdivisions		—		2,448		—	2,448
Corporate ⁽¹⁾		—		38,861		18,920	57,781
Structured securities ⁽²⁾⁽⁴⁾		—		30,811		4,221	35,032
Total AFS fixed maturity securities	\$	—	\$	72,531	\$	23,141	\$ 95,672
Trading fixed maturity securities ⁽³⁾⁽⁴⁾		—		22,010		4,410	26,420
Mortgage and other loan receivables		—		—		11,155	11,155
Real assets ⁽⁵⁾		—		—		8,697	8,697
Other investments ⁽⁵⁾		1,035		525		472	2,032
Funds withheld receivable at interest		—		—		79	79
Reinsurance recoverable		—		—		934	934
Derivative assets ⁽⁷⁾		1		305		—	306
Separate account assets		3,841		—		—	3,841
Total assets at fair value	\$	4,877	\$	95,371	\$	48,888	\$ 149,136
Liabilities:							
Policy liabilities ⁽⁶⁾ (including market risk benefits)	\$	—	\$	—	\$	1,609	\$ 1,609
Closed block policy liabilities		—		—		983	983
Funds withheld payable at interest		—		—		(2,276)	(2,276)
Derivative instruments payable ⁽⁷⁾		—		436		—	436
Embedded derivative – interest-sensitive life products		—		—		485	485
Embedded derivative – annuity products		—		—		7,355	7,355
Total liabilities at fair value	\$	—	\$	436	\$	8,156	\$ 8,592

(1) Includes related party KKR AFS corporate fixed maturity securities of \$4,658 million.

(2) Includes related party KKR AFS structured securities of \$0.9 billion.

(3) Includes related party KKR trading corporate fixed maturity securities of \$855 million.

(4) Includes related party KKR trading structured securities of \$0.5 billion.

(5) Real assets and other investments excluded from the fair value hierarchy table include certain funds for which fair value is measured at net asset value per share as a practical expedient. As of December 31, 2025, the fair value of these real assets and other investments were \$26 million and \$2.1 billion, respectively. These fund investments have strategies primarily focused on real assets (primarily real estate) or other investments and are subject to certain restrictions on redemption. As of December 31, 2025, there was \$1 million of unfunded commitments associated with both real assets and other investments.

(6) Includes market risk benefit of \$1.3 billion.

(7) Includes netting of derivative exposures covered by qualifying master netting agreements.

As of December 31, 2024	Level 1		Level 2		Level 3		Total
(\$ in millions)							
Assets:							
AFS fixed maturity securities:							
U.S. government and agencies	\$	—	\$	2,391	\$	—	\$ 2,391
U.S. state, municipal, and political subdivisions		—		3,770		—	3,770
Corporate ⁽¹⁾		—		32,606		13,803	46,409
Structured securities ⁽²⁾		—		26,195		2,318	28,513
Total AFS fixed maturity securities	\$	—	\$	64,962	\$	16,121	\$ 81,083

As of December 31, 2024	Level 1	Level 2	Level 3	Total
(\$ in millions)				
Trading fixed maturity securities ⁽³⁾⁽⁴⁾	—	19,424	2,815	22,239
Mortgage and other loan receivables	—	—	1,611	1,611
Real assets ⁽⁵⁾	—	—	8,121	8,121
Other investments ⁽⁵⁾	207	269	104	580
Funds withheld receivable at interest	—	—	126	126
Reinsurance recoverable	—	—	941	941
Derivative assets ⁽⁷⁾	5	56	—	61
Separate account assets	3,981	—	—	3,981
Total assets at fair value	\$ 4,193	\$ 84,711	\$ 29,839	\$ 118,743

Liabilities:

Policy liabilities ⁽⁶⁾ (including market risk benefits)	\$ —	\$ —	\$ 1,280	\$ 1,280
Closed block policy liabilities	—	—	988	988
Funds withheld payable at interest	—	—	(2,797)	(2,797)
Derivative instruments payable ⁽⁷⁾	1	388	—	389
Embedded derivative – interest-sensitive life products	—	—	492	492
Embedded derivative – annuity products	—	—	5,481	5,481
Total liabilities at fair value	\$ 1	\$ 388	\$ 5,444	\$ 5,833

(1) Includes related party KKR AFS corporate fixed maturity securities of \$4,785 million.

(2) Includes related party KKR AFS structured securities of \$0.4 billion.

(3) Includes related party KKR trading corporate fixed maturity securities of \$800 million.

(4) Includes related party KKR trading structured securities of \$140 million.

(5) Real assets and other investments excluded from the fair value hierarchy table include certain funds for which fair value is measured at net asset value per share as a practical expedient. As of December 31, 2024, the fair value of these real assets and other investments were \$35 million and \$4 million, respectively. These fund investments have strategies primarily focused on real assets (primarily real estate) or other investments and are subject to certain restrictions on redemption. As of December 31, 2024, there were \$1 million and \$2 million of unfunded commitments associated with real assets and other investments, respectively.

(6) Includes market risk benefit of \$1.0 billion.

(7) Includes netting of derivative exposures covered by qualifying master netting agreements.

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability. Also refer to Note 2—"Significant accounting policies" for additional information regarding valuation techniques used for the respective reported balances.

Investments

Investments in U.S. Treasury, government and agency securities, foreign government securities, short-term money market securities, and mutual funds held in separate accounts are valued using quoted market prices for identical unrestricted instruments in active markets. Investments such as fixed maturity securities for which quoted market prices from active markets are not available are priced using observable inputs, which can be verified to quoted prices, recent trading activity for identical or similar instruments, broker or dealer quotations or alternative pricing sources with reasonable levels of price transparency. Consideration is given to the nature of the quotations and the relationship of recent market activity to the prices provided from alternative pricing sources. Investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is

considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Derivative instruments

Derivative instruments such as exchange-traded futures and options are valued at their quoted market price. Most of the over-the-counter derivative instruments used by the Company are those for which all significant valuation inputs are corroborated by market evidence. These derivative instruments are principally valued using an income approach. The Company calculates the fair value of derivative assets by discounting future cash flows at a rate that incorporates counterparty credit spreads and the fair value of derivative liabilities by discounting future cash flows at a rate that incorporates the Company's own credit spreads. When appropriate, valuations are adjusted for various factors such as liquidity, bid/offer spreads, and credit considerations. Such adjustments are generally based on available market evidence.

Valuations for non-option based interest rate derivatives are based on present value techniques, which utilize significant inputs that may include the swap yield curve, LIBOR basis curves, and repurchase rates. Valuations for option based interest rate derivatives are based on option pricing models, which utilize significant inputs that may include the swap yield curve, LIBOR basis curves, and interest rate volatility.

Prices for foreign currency derivatives based on the exchange rates of leading industrialized nations, including those with longer tenors, are generally observable. The valuation of other derivative instruments including credit derivatives and equity market derivatives have significant unobservable inputs, such as equity volatility inputs for options that are very long dated, and are principally valued using an income approach.

Funds withheld at interest, reinsurance assets, and policy liabilities

The funds withheld receivable at interest carried at fair value is primarily valued based on the fair value of the underlying investments, which have quoted prices or other observable inputs to pricing. A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives and is valued using present value techniques that consider inputs including contractholder persistency and contract duration. Reinsurance recoverables carried at fair value are valued using present value techniques that consider inputs including mortality and surrender rates for the associated policies, as well as estimates of policy expenses and the cost of capital held in support of the related closed block policy liabilities.

Policy liabilities carried at fair value are valued using present value techniques that discount estimated liability cash flows at a rate that reflects the riskiness of those cash flows and also consider policyholder behavior (lapse rates, surrender rates and mortality). Market risk benefits liability is valued at fair value using a non-option and option valuation approach based on current net amounts at risk, market data, Company experience, and other factors. Closed block policy liabilities carried at fair value are valued using present value techniques that consider inputs including mortality and surrender rates for the respective policies, as well as estimates of policy expenses and the cost of capital held in support of the liabilities. The funds withheld payable at interest carried at fair value represents embedded derivatives and is valued based on the change in the fair value of the assets supporting the payable. Other embedded derivative liabilities are related to our fixed-indexed annuity and interest-sensitive life products, which contain equity-indexed features. We calculate the embedded derivative liabilities as the present value of future projected benefits in excess of the projected guaranteed benefits, using an option budget as the indexed account value growth rate and considering an adjustment to reflect the risk of nonperformance on our obligation and inputs such as projected withdrawal and surrender activity, and

mortality. We calculate instrument-specific credit risk using a blend of observable peer holding company credit spreads, adjusted to reflect the claims paying ability of our insurance entities, as well as an adjustment to reflect the priority of policy claims. See details in the table below.

Fair value of assets and liabilities

Significant unobservable inputs

The tables below present the ranges of significant unobservable inputs used to value the Company's Level 3 financial assets and liabilities, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value. These ranges represent the significant unobservable inputs that were used in the valuation of each type of financial asset and liability. Weighted averages in the tables below are calculated by weighting each input by the relative fair value of the respective financial instruments. The ranges and weighted averages of these inputs are not representative of the appropriate inputs to use when calculating the fair value of any one financial asset or liability. Accordingly, the ranges of inputs presented below do not represent uncertainty in, or possible ranges of, fair value measurements of the Company's Level 3 financial assets and liabilities as of December 31, 2025, and December 31, 2024. Also refer to Note 2—"Significant accounting policies" for additional information on valuation techniques used for the respective reported balances.

As of December 31, 2025				
Level 3 assets ⁽¹⁾	Level 3 assets (\$ in millions)	Valuation techniques and significant unobservable inputs	Range of significant unobservable inputs (weighted average, or "WA")	Impact of an increase in the input on fair value
Corporate fixed maturity securities (AFS and trading)	\$ 22,132	Discounted cash flows - discount spread	0.3% - 5.2% (WA 2.7%)	Decrease
Structured securities (AFS and trading)	5,419	Discounted cash flows - discount spread	1.4% - 5.2% (WA 2.2%)	Decrease
Mortgage and other loan receivables	11,155	Discounted cash flows - discount spread	0.6% - 4.5% (WA 2.6%)	Decrease
Real assets	8,697	Discounted cash flows - discount rate	6.5% - 8.2% (WA 7.2%)	Decrease
		Discounted cash flows - terminal capitalization rate	5.0% - 7.3% (WA 5.8%)	Decrease
Reinsurance recoverable	934	Present value of expenses paid from the open block plus the cost of capital held in support of the liabilities.	The average expense assumption is between \$8.2 and \$78.0 per policy (WA \$17.3), increased by inflation. The annual inflation rate was increased by 2.5%.	Increase
		Unobservable inputs are a market participant's view of the expenses, a risk margin on the uncertainty of the level of expenses, and a cost of capital on the capital held in support of the liabilities.	Expense risk margin: 9.4%	Decrease
			Cost of Capital: 3.7% - 13.9% (WA 9.5%)	Increase
		Discounted cash flow - mortality rate	5.7%	Increase
		Discounted cash flow - surrender rate	2%	Increase

(1) The funds withheld receivable at interest has been excluded from the above table. As discussed in Note 9 – Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in

trusts for the benefit of the Company. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the funds withheld reinsurance agreements.

As of December 31, 2024				
Level 3 assets ⁽¹⁾	Level 3 assets (\$ in millions)	Valuation techniques and significant unobservable inputs	Range of significant unobservable inputs (WA)	Impact of an increase in the input on fair value
Corporate fixed maturity securities (AFS and trading)	\$ 15,804	Discounted cash flows -discount spread	0.2% - 5.2% (WA 2.8%)	Decrease
Structured securities (AFS and trading)	3,131	Discounted cash flows -discount spread	1.3% - 4.4% (WA 2.3%)	Decrease
		Discounted cash flows - constant prepayment rate	10% - 15% (WA 13.6%)	Increase/ Decrease
		Discounted cash flows - constant default rate	0% - 3% (WA 0.3%)	Decrease
		Discounted cash flows - loss severity	0% - 95% (WA 9.4%)	Decrease
Mortgage and other loan receivables	1,611	Discounted cash flows -discount spread	0.7% - 4.7% (WA 2.6%)	Decrease
Real assets	8,121	Discounted cash flows — discount rate	6.5% - 8.3% (WA 7.4%)	Decrease
		Discounted cash flows -terminal capitalization rate	5% - 7.3% (WA 5.8%)	Decrease
Reinsurance recoverable	941	Present value of expenses paid from the open block plus the cost of capital held in support of the liabilities.	The average expense assumption is between \$8.2 and \$78 per policy (WA \$17.3), increased by inflation. The annual inflation rate was increased by 2.5%.	Increase
		Unobservable inputs are a market participant's view of the expenses, a risk margin on the uncertainty of the level of expenses, and a cost of capital on the capital held in support of the liabilities.	Expense risk margin: 9.4%	Decrease
			Cost of capital: 3.7% - 13.9% (WA 9.7%)	Increase
		Discounted cash flow - mortality rate	5.7%	Increase
		Discounted cash flow - surrender rate	2%	Increase

- (1) The funds withheld receivable at interest has been excluded from the above table. As discussed in Note 9 – Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts for the benefit of the Company. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the funds withheld reinsurance agreements.

As of December 31, 2025				
Level 3 liabilities ⁽¹⁾	Level 3 liabilities (\$ in millions)	Valuation techniques and significant unobservable inputs	Range of significant unobservable inputs (WA)	Impact of an increase in the input on fair value
Policy liabilities	\$ 1,609	<i>Policy liabilities under fair value option:</i> Present value of best estimate liability cash flows. Unobservable inputs include a market participant view of the risk margin included in the discount rate which reflects the variability of the cash flows. Policyholder behavior is also a significant unobservable input, including lapse, surrender and mortality. <i>Market risk benefit:</i> 10 and 30 year instrument-specific credit risk Policyholder behavior is also a significant unobservable input, including lapse, surrender, and mortality.	Risk Margin Rate: 0.4% - 0.7% (WA 0.6%) Surrender Rate: 4.2% - 7.9% (WA 6.4%) Mortality Rate: 3.5% - 9.1% (WA 4.9%) 0.6% / 0.6% Mortality Rate: 0.5% - 28.0% (WA 2.6%) Surrender Rate: 0.1% - 36.0% (WA 3.7%)	Decrease Decrease Increase Decrease Decrease Decrease
Closed block policy liabilities	983	Present value of expenses paid from the open block plus the cost of capital held in support of the liabilities. Instrument-specific credit risk Unobservable inputs are a market participant's view of the expenses, a risk margin on the uncertainty of the level of expenses, and a cost of capital on the capital held in support of the liabilities.	The average expense assumption is between \$8.2 and \$78.0 per policy (WA \$17.3), increased by inflation. The annual inflation rate was increased by 2.5%. 0.4% - 0.6% (WA 0.5%) Expense risk margin: 9.4% Cost of Capital: 3.7% - 13.9% (WA 9.5%) 5.7% 2%	Increase Decrease Decrease Increase Increase Increase
Embedded derivative – interest-sensitive life products	485	Policy persistency is a significant unobservable input. Future costs for options used to hedge the contract obligations Instrument-specific credit risk	Lapse Rate: 3.2% Mortality Rate: 0.9% Option Budget Assumption: 3.5% 0.4% - 0.6% (WA 0.5%)	Decrease Decrease Increase Decrease
Embedded derivative – annuity products	7,355	Policyholder behavior is a significant unobservable input, including utilization and lapse.	Utilization: Fixed-Indexed Annuity WA 96.5%	Increase

As of December 31, 2025				
Level 3 liabilities ⁽¹⁾	Level 3 liabilities (\$ in millions)	Valuation techniques and significant unobservable inputs	Range of significant unobservable inputs (WA)	Impact of an increase in the input on fair value
			Surrender Rate: Retail FIA WA 13.4%; Institutional FIA WA 20.5%	Retail: Increase Institutional: Decrease
			Mortality Rate: Retail FIA WA 2.8%; Institutional FIA WA 1.7%	Retail: Decrease Institutional: Decrease
		Future costs for options used to hedge the contract obligations	Option Budget Assumption: Retail FIA WA 3.1%; Institutional FIA WA 3.9%	Retail: Increase Institutional: Increase
		Instrument-specific credit risk	0.4% - 0.6% (WA 0.5%)	Decrease

- (1) The fair value of the embedded derivative component of the funds withheld payable at interest has been excluded from the above table. The investments supporting the funds withheld payable at interest balance are held in a trust by the Company. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the investments supporting the reinsurance cession agreements.

As of December 31, 2024				
Level 3 liabilities ⁽¹⁾	Level 3 liabilities (\$ in millions)	Valuation techniques and significant unobservable inputs	Range of significant unobservable inputs (WA)	Impact of an increase in the input on fair value
Policy liabilities	\$ 1,280	<i>Policy liabilities under fair value option:</i> Present value of best estimate liability cash flows. Unobservable inputs include a market participant view of the risk margin included in the discount rate which reflects the variability of the cash flows. Policyholder behavior is also a significant unobservable input, including lapse, surrender and mortality. <i>Market risk benefit:</i> 10 and 30 year instrument-specific credit risk Policyholder behavior is also a significant unobservable input, including lapse, surrender, and mortality.	Risk margin rate: 0.4% - 0.8% (WA 0.6%) Surrender rate: 3.7% - 7.6% (WA 6.4%) Mortality rate: 3.5% - 9.1% (WA 4.8%) 0.6% / 0.7% Mortality rate: 0.6% - 28.0% (WA 2.6%) Surrender rate: 0.1% - 39.5% (WA 4.1%)	Decrease Decrease Increase Decrease Decrease
Closed block policy liabilities	988	Present value of expenses paid from the open block plus the cost of capital held in support of the liabilities. Instrument-specific credit risk	The average expense assumption is between \$8.2 and \$78 per policy (WA \$17.3), increased by inflation. The annual inflation rate was increased by 2.5%. 0.4% - 0.7% (WA 0.6%)	Increase Decrease

As of December 31, 2024				
Level 3 liabilities ⁽¹⁾	Level 3 liabilities (\$ in millions)	Valuation techniques and significant unobservable inputs	Range of significant unobservable inputs (WA)	Impact of an increase in the input on fair value
Embedded derivative – interest- sensitive life products	492	Unobservable inputs are a market participant's view of the expenses, a risk margin on the uncertainty of the level of expenses, and a cost of capital on the capital held in support of the liabilities.	Expense risk margin: 9.4%	Decrease
			Cost of capital: 3.7% - 13.9% (WA 9.7%)	Increase
		Discounted cash flow - mortality rate	5.7%	Increase
		Discounted cash flow - surrender rate	2%	Increase
		Policy persistency is a significant unobservable input.	Lapse rate: 3.2%	Decrease
Embedded derivative – annuity products	5,481		Mortality rate: 0.8%	Decrease
		Future costs for options used to hedge the contract obligations	Option budget assumption: 3.6%	Increase
		Instrument-specific credit risk	0.4% - 0.7% (WA 0.6%)	Decrease
		Policyholder behavior is a significant unobservable input, including utilization and lapse.	Utilization: Fixed-indexed annuity WA 96.5%	Increase
			Surrender rate: Retail FIA WA 13.9%; Institutional FIA WA 18.6%	Retail: Increase Institutional: Decrease
			Mortality rate: Retail FIA WA 2.7%; Institutional FIA WA 1.9%	Retail: Decrease Institutional: Decrease
		Future costs for options used to hedge the contract obligations	Option budget assumption: Retail FIA WA 3.1%; Institutional FIA WA 3.7%	Retail: Increase Institutional: Increase
		Instrument-specific credit risk	0.4% - 0.7% (WA 0.6%)	Decrease

- (1) The fair value of the embedded derivative component of the funds withheld payable at interest has been excluded from the above table. The investments supporting the funds withheld payable at interest balance are held in a trust by the Company. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the investments supporting the reinsurance cession agreements.

Transfers between levels

Overall, transfers into and out of Level 3 are attributable to a change in the observability of inputs. Assets and liabilities are transferred into Level 3 when a significant input cannot be corroborated with market observable data. This occurs when market activity decreases significantly and underlying inputs cannot be observed, current prices are not available, and when there are significant variances in quoted prices, thereby affecting transparency. Assets and liabilities are transferred out of Level 3 when circumstances change such that a significant input can be corroborated with market observable data. This may be due to a significant increase in market activity, a specific event, or one or more significant input(s) becoming observable.

The tables below set forth a summary of changes in the fair value of the Company's Level 3 assets and liabilities for the years ended December 31, 2025, and 2024. The tables reflect gains and losses for all assets and liabilities categorized as Level 3 for the years ended December 31, 2025, and 2024:

Year ended December 31, 2025									
	Net realized and unrealized gains / losses included in						Total unrealized gains / losses included in		
	Beginning balance	Income	OCI	Net settlements / purchases	Transfers into / (out) of Level 3	Ending balance	Income ⁽¹⁾	OCI ⁽¹⁾	
(\$ in millions)									
Assets:									
AFS fixed maturity securities:									
Corporate fixed maturity securities ⁽²⁾	\$ 13,803	\$ 120	\$ 223	\$ 4,416	\$ 358	\$ 18,920	\$ —	\$ 187	
Structured securities ⁽³⁾	2,318	30	67	1,875	(69)	4,221	—	58	
Total AFS fixed maturity securities	\$ 16,121	\$ 150	\$ 290	\$ 6,291	\$ 289	\$ 23,141	\$ —	\$ 245	
Trading fixed maturity securities ⁽⁴⁾⁽⁵⁾	2,815	(71)	—	1,577	89	4,410	(73)	—	
Mortgage and other loan receivables	1,611	195	—	9,349	—	11,155	137	—	
Real assets	8,121	109	—	467	—	8,697	90	—	
Other investments	104	(22)	—	390	—	472	(32)	—	
Funds withheld receivable at interest	127	(48)	—	—	—	79	—	—	
Reinsurance recoverable	941	(1)	—	(6)	—	934	—	—	
Total assets	\$ 29,840	\$ 312	\$ 290	\$ 18,068	\$ 378	\$ 48,888	\$ 122	\$ 245	
Liabilities:									
Policy liabilities	\$ 1,280	\$ 195	\$ 37	\$ 97	\$ —	\$ 1,609	\$ —	\$ —	
Closed block policy liabilities	988	(11)	(2)	8	—	983	—	—	
Funds withheld payable at interest	(2,797)	521	—	—	—	(2,276)	—	—	
Embedded derivative – interest-sensitive life products	492	116	—	(123)	—	485	—	—	
Embedded derivative – annuity products	5,481	1,192	—	682	—	7,355	—	—	
Total liabilities	\$ 5,444	\$ 2,013	\$ 35	\$ 664	\$ —	\$ 8,156	\$ —	\$ —	

(1) As related to financial instruments still held as of the end of the period.

(2) Includes related party KKR AFS corporate fixed maturity securities of \$4.5 billion.

(3) Includes related party KKR AFS structured securities of \$3 million.

(4) Includes related party KKR trading corporate fixed maturity securities of \$735 million.

(5) Includes related party KKR trading structured securities of \$285 million.

Year ended December 31, 2024									
	Beginning balance	Net realized and unrealized gains / losses included in		Net settlements / purchases	Transfers into / (out) of Level 3	Ending balance	Total unrealized gains / losses included in		
		Income	OCI				Income ⁽¹⁾	OCI ⁽¹⁾	
(\$ in millions)									
Assets:									
AFS fixed maturity securities:									
Corporate fixed maturity securities ⁽²⁾	\$ 11,106	\$ (140)	\$ 239	\$ 2,598	\$ —	\$ 13,803	\$ —	\$ 173	
Structured securities ⁽³⁾	1,837	35	53	350	43	2,318	—	69	
Total AFS fixed maturity securities	\$ 12,943	\$ (105)	\$ 292	\$ 2,948	\$ 43	\$ 16,121	\$ —	\$ 242	
Trading fixed maturity securities ⁽⁴⁾⁽⁵⁾	1,798	127	—	832	58	2,815	68	—	
Mortgage and other loan receivables	697	36	—	878	—	1,611	45	—	
Real assets	4,815	(107)	—	3,413	—	8,121	(118)	—	
Other investments	127	(27)	—	4	—	104	(53)	—	
Funds withheld receivable at interest	89	37	—	—	—	126	—	—	
Reinsurance recoverable	926	20	—	(5)	—	941	—	—	
Total assets	\$ 21,395	\$ (19)	\$ 292	\$ 8,070	\$ 101	\$ 29,839	\$ (58)	\$ 242	
Liabilities:									
Policy liabilities	\$ 1,475	\$ (268)	\$ 28	\$ 45	\$ —	\$ 1,280	\$ —	\$ —	
Closed block policy liabilities	969	16	(3)	6	—	988	—	—	
Funds withheld payable at interest	(2,447)	(350)	—	—	—	(2,797)	—	—	
Embedded derivative – interest-sensitive life products	458	135	—	(101)	—	492	—	—	
Embedded derivative – annuity products	3,587	785	—	1,109	—	5,481	—	—	
Total liabilities	\$ 4,042	\$ 318	\$ 25	\$ 1,059	\$ —	\$ 5,444	\$ —	\$ —	

(1) As related to financial instruments still held as of the end of the period.

(2) Includes related party KKR AFS corporate fixed maturity securities of \$4.6 billion.

(3) Includes related party KKR AFS structured securities of \$12 million.

(4) Includes related party KKR trading corporate fixed maturity securities of \$679 million.

(5) Includes related party KKR trading structured securities of \$54 million.

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in millions)					
Assets:					
AFS fixed maturity securities:					
Corporate fixed maturity securities ⁽¹⁾	\$ 10,447	\$ —	\$ (994)	\$ (5,037)	\$ 4,416
Structured securities ⁽³⁾	2,930	—	(113)	(942)	1,875
Total AFS fixed maturity securities	\$ 13,377	\$ —	\$ (1,107)	\$ (5,979)	\$ 6,291
Trading fixed maturity securities ⁽²⁾⁽⁴⁾	2,258	—	(383)	(298)	1,577
Mortgage and other loan receivables	12,670	—	(2,915)	(406)	9,349
Real assets	524	—	(57)	—	467
Other investments	420	—	(30)	—	390
Reinsurance recoverable	—	—	—	(6)	(6)
Total assets	\$ 29,249	\$ —	\$ (4,492)	\$ (6,689)	\$ 18,068
Liabilities:					
Policy liabilities	\$ —	\$ 114	\$ —	\$ (17)	\$ 97
Closed block policy liabilities	—	8	—	—	8
Embedded derivative – interest-sensitive life products	—	—	—	(123)	(123)
Embedded derivative – annuity products	—	1,053	—	(371)	682
Total liabilities	\$ —	\$ 1,175	\$ —	\$ (511)	\$ 664

(1) Includes related party KKR AFS corporate fixed maturity securities with net purchases of \$(185) million.

(2) Includes related party KKR trading corporate fixed maturity securities with net purchases of \$33 million.

(3) Includes related party KKR AFS structured securities with net purchases of \$(9) million.

(4) Includes related party KKR trading structured securities with net purchases of \$305 million.

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in millions)					
Assets:					
AFS fixed maturity securities:					
Corporate fixed maturity securities ⁽¹⁾	\$ 8,499	\$ —	\$ (1,414)	\$ (4,487)	\$ 2,598
Structured securities ⁽³⁾	998	—	(12)	(636)	350
Total AFS fixed maturity securities	\$ 9,497	\$ —	\$ (1,426)	\$ (5,123)	\$ 2,948
Trading fixed maturity securities ⁽²⁾⁽⁴⁾	1,668	—	(434)	(402)	832
Mortgage and other loan receivables	1,066	—	(2)	(186)	878
Real assets	3,432	—	(19)	—	3,413
Other investments	4	—	—	—	4
Reinsurance recoverable	—	—	—	(5)	(5)
Total assets	\$ 15,667	\$ —	\$ (1,881)	\$ (5,716)	\$ 8,070
Liabilities:					
Policy liabilities	\$ —	\$ 59	\$ —	\$ (14)	\$ 45
Closed block policy liabilities	—	6	—	—	6
Embedded derivative – interest-sensitive life products	—	—	—	(101)	(101)
Embedded derivative – annuity products	—	1,375	—	(266)	1,109
Total liabilities	\$ —	\$ 1,440	\$ —	\$ (381)	\$ 1,059

(1) Includes related party KKR AFS corporate fixed maturity securities with net purchases of \$1.9 billion.

- (2) Includes related party KKR trading corporate fixed maturity securities with net purchases of \$156 million.
- (3) Includes related party KKR AFS structured securities with net purchases of \$2.5 million.
- (4) Includes related party KKR trading structured securities with net purchases of \$280 thousand.

Fair-value option

The following table summarizes financial instruments for which the fair value option has been elected:

	December 31, 2025	December 31, 2024
(\$ in millions)		
Assets		
Fixed maturity securities	\$ 689	\$ 100
Mortgage and other loan receivables	11,155	1,611
Real assets	732	473
Other investments	2,458	48
Reinsurance recoverable	934	941
Total assets	\$ 15,968	\$ 3,173
Liabilities		
Policy liabilities	\$ 1,243	\$ 1,266
Total liabilities	\$ 1,243	\$ 1,266

The following table summarizes the net realized and unrealized gains and losses recognized on financial instruments for which the fair value option has been elected:

	Years ended December 31,			Years ended December 31,		
	2025			2024		
	Net Realized Gains (Losses)	Net Unrealized Gains (Losses)	Total	Net Realized Gains (Losses)	Net Unrealized Gains (Losses)	Total
(\$ in millions)						
Assets						
Fixed maturity securities	\$ —	\$ (152)	\$ (152)	\$ —	\$ —	\$ —
Mortgage and other loan receivables	17	148	165	—	43	43
Real assets	1	9	10	16	(30)	(14)
Other investments	—	90	90	—	(15)	(15)
Total assets	\$ 18	\$ 95	\$ 113	\$ 16	\$ (2)	\$ 14
Liabilities						
Policy liabilities	\$ —	\$ 18	\$ 18	\$ —	\$ 85	\$ 85
Total liabilities	\$ —	\$ 18	\$ 18	\$ —	\$ 85	\$ 85

6. Insurance intangibles assets and liabilities

The following reflects the reconciliation of the components of insurance intangibles to the total balance reported in the consolidated balance sheets as of December 31, 2025, and December 31, 2024:

	December 31,		December 31,	
	2025		2024	
(\$ in millions)				
Deferred acquisition costs, or "DAC"	\$	2,366	\$	1,731
Value of business acquired		1,080		1,165
Cost-of-reinsurance intangibles		2,309		2,303
Deferred Sales Inducements, or "DSI"		150		—
Total insurance intangible assets	\$	5,905	\$	5,199

Deferred acquisition costs

The following tables reflect the deferred acquisition costs roll-forward by product category for the years ended December 31, 2025, and 2024:

Year ended December 31, 2025						
(\$ in millions)	Fixed rate annuities	Fixed indexed annuities	Interest sensitive life	Other	Total	
Balance, as of the beginning of the period	\$ 464	\$ 787	\$ 131	\$ 349	\$	1,731
Capitalizations	152	415	8	389		964
Amortization expense	(125)	(150)	(9)	(45)		(329)
Balance, as of the end of the period	\$ 491	\$ 1,052	\$ 130	\$ 693	\$	2,366

Year ended December 31, 2024						
(\$ in millions)	Fixed rate annuities	Fixed indexed annuities	Interest sensitive life	Other	Total	
Balance, as of the beginning of the period	\$ 374	\$ 482	\$ 132	\$ 167	\$	1,155
Capitalizations	198	404	8	201		811
Amortization expense	(108)	(99)	(9)	(19)		(235)
Balance, as of the end of the period	\$ 464	\$ 787	\$ 131	\$ 349	\$	1,731

Value of business acquired

The following tables reflect the value of business acquired, or “VOBA” asset roll-forward by product category for the years ended December 31, 2025, and 2024:

Year ended December 31, 2025						
(\$ in millions)	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
Balance, as of the beginning of the period	\$ 41	\$ 578	\$ 224	\$ 249	\$ 73	\$ 1,165
Amortization expense	(3)	(43)	(19)	(13)	(7)	(85)
Balance, as of the end of the period	\$ 38	\$ 535	\$ 205	\$ 236	\$ 66	\$ 1,080

Year ended December 31, 2024						
(\$ in millions)	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
Balance, as of the beginning of the period	\$ 45	\$ 621	\$ 245	\$ 263	\$ 79	\$ 1,253
Amortization expense	(4)	(43)	(21)	(14)	(6)	(88)
Balance, as of the end of the period	\$ 41	\$ 578	\$ 224	\$ 249	\$ 73	\$ 1,165

The following tables reflect the negative value of business acquired, or “negative VOBA” liability roll-forward by product category for the years ended December 31, 2025, and 2024:

Year ended December 31, 2025						
(\$ in millions)	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
Balance, as of the beginning of the period	\$ 44	\$ 76	\$ 86	\$ 393	\$ 167	\$ 766
Amortization expense	(12)	(22)	(7)	(34)	(13)	(88)
Balance, as of the end of the period	\$ 32	\$ 54	\$ 79	\$ 359	\$ 154	\$ 678

Year ended December 31, 2024						
(\$ in millions)	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
Balance, as of the beginning of the period	\$ 66	\$ 107	\$ 92	\$ 422	\$ 181	\$ 868
Amortization expense	(22)	(31)	(6)	(29)	(14)	(102)
Balance, as of the end of the period	\$ 44	\$ 76	\$ 86	\$ 393	\$ 167	\$ 766

Estimated future amortization of VOBA and Negative VOBA as of December 31, 2025, is as follows:

Years (\$ in millions)	VOBA	Negative VOBA	Total, net
2026	\$ 80	\$ (72)	\$ 8
2027	74	(61)	13
2028	70	(53)	17
2029	66	(47)	19
2030	62	(42)	20
Thereafter	728	(403)	325
Total	\$ 1,080	\$ (678)	\$ 402

Unearned revenue reserves and unearned front-end loads

The following tables reflect unearned revenue reserves and unearned front-end loads liability roll-forward by product category for the years ended December 31, 2025, and 2024:

	Years ended December 31,	
	2025	2024
	Preneed	
(\$ in millions)		
Balance, as of the beginning of the period	\$ 230	\$ 178
Deferral	69	69
Amortized to income during the period	(21)	(17)
Balance, as of the end of the period	\$ 278	\$ 230

Significant inputs, judgments, assumptions for insurance intangibles and related amortization amounts

The Company considers surrender rates, mortality rates, and other relevant policy decrements in determining the expected life of the contract. As a part of our actual experience update for the years ended December 31, 2025, and 2024, we concluded that there was no material change in relevant inputs, judgments, or assumptions requiring an update of the amortization rate for insurance intangibles and related amortization amounts.

7. Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the consolidated balance sheets as of December 31, 2025, and December 31, 2024:

	December 31,	
	2025	2024
(\$ in millions)		
Policyholders' account balances	\$ 151,485	\$ 137,882
Liability for future policy benefits	30,646	26,795
Additional liability for annuitization, death, or other insurance benefits	7,924	7,492
Market risk benefit liability	1,350	1,002
Other policy-related liabilities ⁽¹⁾	14,154	12,034
Total policy liabilities	\$ 205,559	\$ 185,205

- (1) Other policy-related liabilities as of December 31, 2025, and December 31, 2024 primarily consist of embedded derivatives associated with contractholder deposit funds (\$7.8 billion and \$6.0 billion, respectively), cost-of-reinsurance liabilities (both \$3.1 billion), policy liabilities accounted under a fair value option (\$1.1 billion and \$1.2 billion, respectively), negative VOBA (\$678 million and \$766 million, respectively) and outstanding claims (\$356 million and \$304 million, respectively).

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward for the years ended December 31, 2025, and 2024, and the policyholders' account balances weighted average interest rates, net amount at risk, and cash surrender value as of those dates:

(\$ in millions)	Year ended December 31, 2025					
	Fixed rate annuities	Fixed indexed annuities	Interest sensitive life	Funding agreements	Other ⁽¹⁾	Total
Balance as of beginning of period	\$ 65,087	\$ 33,719	\$ 22,175	\$ 7,157	\$ 9,744	\$ 137,882
Issuances and premiums received	12,001	7,201	1,116	7,710	3,154	31,182
Benefit payments, surrenders, and withdrawals	(10,729)	(4,912)	(1,638)	(3,140)	(1,398)	(21,817)
Interest ⁽²⁾	2,820	1,014	723	415	339	5,311
Other activity ⁽³⁾	(353)	(3)	(906)	102	87	(1,073)
Balance as of end of period	\$ 68,826	\$ 37,019	\$ 21,470	\$ 12,244	\$ 11,926	\$ 151,485
Less: reinsurance recoverable	(12,769)	(2,931)	(7,300)	—	(3,203)	(26,203)
Balance as of end of period, net of reinsurance recoverable	\$ 56,057	\$ 34,088	\$ 14,170	\$ 12,244	\$ 8,723	\$ 125,282
Average interest rate	4.43 %	2.96 %	3.29 %	4.18 %	3.34 %	3.82 %
Net amount at risk, gross of reinsurance ⁽⁴⁾	\$ —	\$ —	\$ 105,008	\$ —	\$ 1,119	\$ 106,127
Cash surrender value ⁽⁵⁾	\$ 53,074	\$ 38,920	\$ 13,638	\$ —	\$ 4,329	\$ 109,961

- (1) "Other" consists of activity related to payout annuities without life contingencies, preneed, variable annuities, and life products.
- (2) Interest includes interest credited to policyholders' account values, and interest accreted in other components of the policyholder account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, funding agreements, and other associated reserves.

- (3) "Other activity" includes policy charges, fees and commissions, transfers, assumption changes, fair value changes, and the impact of hedge fair value adjustments.
- (4) Net amount at risk represents the difference between the face value of the insurance policy and the reserve accumulated under that same policy.
- (5) Cash surrender values are reported net of any applicable surrender charges, net of reinsurance.

(\$ in millions)	Year ended December 31, 2024					
	Fixed rate annuities	Fixed indexed annuities	Interest sensitive life	Funding agreements	Other ⁽¹⁾	Total
Balance as of beginning of period	\$ 56,763	\$ 30,168	\$ 21,968	\$ 7,015	\$ 9,273	\$ 125,187
Issuances and premiums received	16,454	8,098	1,991	2,373	1,612	30,528
Benefit payments, surrenders, and withdrawals	(10,039)	(5,211)	(1,453)	(2,553)	(1,580)	(20,836)
Interest ⁽²⁾	2,306	774	723	277	343	4,423
Other activity ⁽³⁾	(397)	(110)	(1,054)	45	96	(1,420)
Balance as of end of period	\$ 65,087	\$ 33,719	\$ 22,175	\$ 7,157	\$ 9,744	\$ 137,882
Less: reinsurance recoverable	(11,665)	(3,074)	(7,505)	—	(3,532)	(25,776)
Balance as of end of period, net of reinsurance recoverable	\$ 53,422	\$ 30,645	\$ 14,670	\$ 7,157	\$ 6,212	\$ 112,106
Average interest rate	4.05 %	2.74 %	3.29 %	4.21 %	3.31 %	3.56 %
Net amount at risk, gross of reinsurance ⁽⁴⁾	\$ —	\$ —	\$ 111,883	\$ —	\$ 1,141	\$ 113,024
Cash surrender value ⁽⁵⁾	\$ 50,421	\$ 33,929	\$ 13,975	\$ —	\$ 4,459	\$ 102,784

- (1) "Other" consists of activity related to payout annuities without life contingencies, preneed, variable annuities, and life products.
- (2) Interest includes interest credited to policyholders' account values, and interest accreted in other components of the policyholder account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, funding agreements, and other associated reserves.
- (3) "Other activity" includes policy charges, fees and commissions, transfers, assumption changes, fair value changes, and the impact of hedge fair value adjustments.
- (4) Net amount at risk represents the difference between the face value of the insurance policy, and the reserve accumulated under that same policy.
- (5) Cash surrender values are reported net of any applicable surrender charges, net of reinsurance.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of differences, in basis points, between rates being credited to policyholders and the respective guaranteed minimums. Account values, as disclosed below, differ from policyholder account balances as they exclude balances associated with index credits, contractholder deposit fund host balances, funding agreements, and other associated reserves. In addition, policyholder account balances include discounts and premiums on assumed business which are not reflected in account values.

Range of guaranteed minimum crediting rates:	As of December 31, 2025						Total
	Account values with adjustable crediting rates subject to guaranteed minimums:						
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum		
(\$ in millions, except for percentages)							
Less than 1.00%	\$ 2,618	\$ 351	\$ 374	\$ 269	\$ 31,783	\$ 35,395	
1.00% - 1.99%	1,205	501	644	1,741	13,614	17,705	
2.00% - 2.99%	913	29	22	99	5,945	7,008	
3.00% - 4.00%	10,146	1,075	477	1,285	3,016	15,999	
Greater than 4.00%	12,506	1,305	61	6	—	13,878	
Total	\$ 27,388	\$ 3,261	\$ 1,578	\$ 3,400	\$ 54,358	\$ 89,985	
Percentage of total	30 %	4 %	2 %	4 %	60 %	100 %	

Range of guaranteed minimum crediting rates:	As of December 31, 2024						
	Account values with adjustable crediting rates subject to guaranteed minimums:						
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total	
(\$ in millions, except for percentages)							
Less than 1.00%	\$ 3,479	\$ 36	\$ 357	\$ 741	\$ 32,675	\$ 37,288	
1.00% - 1.99%	1,305	739	805	1,867	10,903	15,619	
2.00% - 2.99%	769	37	57	697	3,672	5,232	
3.00% - 4.00%	10,303	1,619	475	1,254	1,478	15,129	
Greater than 4.00%	11,786	1,354	77	7	—	13,224	
Total	\$ 27,642	\$ 3,785	\$ 1,771	\$ 4,566	\$ 48,728	\$ 86,492	
Percentage of total	32 %	4 %	2 %	5 %	57 %	100 %	

Liability for future policy benefits

The following tables summarize the balances of, and changes in, the liability for future policy benefits for traditional and limited-payment contracts for the years ended December 31, 2025, and 2024:

	Years ended					
	December 31, 2025			December 31, 2024		
	Payout annuities ⁽¹⁾	Other ⁽²⁾	Total	Payout annuities ⁽¹⁾	Other ⁽²⁾	Total
(\$ in millions)						
Present value of expected net premiums						
Balance as of beginning of period	\$ —	\$ (1,399)	\$ (1,399)	\$ —	\$ (207)	\$ (207)
Balance at original discount rate	\$ —	\$ (1,444)	\$ (1,444)	\$ —	\$ (240)	\$ (240)
Effect of changes in cash flow assumptions	—	(45)	(45)	—	—	—
Effect of actual variances from expected experience	—	(50)	(50)	—	(100)	(100)
Adjusted beginning of period balance	\$ —	\$ (1,539)	\$ (1,539)	\$ —	\$ (340)	\$ (340)

	Years ended					
	December 31, 2025			December 31, 2024		
	Payout annuities ⁽¹⁾	Other ⁽²⁾	Total	Payout annuities ⁽¹⁾	Other ⁽²⁾	Total
(\$ in millions)						
Issuances	—	(285)	(285)	—	(1,277)	(1,277)
Interest	—	(70)	(70)	—	(49)	(49)
Net premiums collected	—	311	311	—	222	222
Ending balance at original discount rate	\$ —	\$ (1,583)	\$ (1,583)	\$ —	\$ (1,444)	\$ (1,444)
Effect of changes in discount rate assumptions	—	6	6	—	45	45
Balance as of end of period	\$ —	\$ (1,577)	\$ (1,577)	\$ —	\$ (1,399)	\$ (1,399)

Present value of expected future policy benefits

Balance as of beginning of period	\$ 19,067	\$ 9,127	\$ 28,194	\$ 17,426	\$ 605	\$ 18,031
Balance at original discount rate	\$ 22,116	\$ 9,337	\$ 31,453	\$ 20,039	\$ 702	\$ 20,741
Effect of changes in cash flow assumptions	(34)	131	97	(28)	—	(28)
Effect of actual variances from expected experience	18	(11)	7	18	(34)	(16)
Adjusted beginning of period balance	\$ 22,100	\$ 9,457	\$ 31,557	\$ 20,029	\$ 668	\$ 20,697
Issuances	\$ 4,247	\$ 463	\$ 4,710	\$ 3,308	\$ 9,008	\$ 12,316
Interest	778	452	1,230	645	345	990
Benefit payments	(2,000)	(905)	(2,905)	(1,866)	(684)	(2,550)
Ending balance at original discount rate	\$ 25,125	\$ 9,467	\$ 34,592	\$ 22,116	\$ 9,337	\$ 31,453
Effect of changes in discount rate assumptions	(2,363)	(6)	(2,369)	(3,049)	(210)	(3,259)
Balance as of end of period	\$ 22,762	\$ 9,461	\$ 32,223	\$ 19,067	\$ 9,127	\$ 28,194
Net liability for future policy benefits	\$ 22,762	\$ 7,884	\$ 30,646	\$ 19,067	\$ 7,728	\$ 26,795
Less: reinsurance recoverable ⁽³⁾	(10,360)	(6,016)	(16,376)	(9,580)	(6,139)	(15,719)
Net liability for future policy benefits, net of reinsurance recoverables	\$ 12,402	\$ 1,868	\$ 14,270	\$ 9,487	\$ 1,589	\$ 11,076

- (1) Payout annuities generally only have a single premium received at contract inception. As a result, the liability for future policy benefits generally would not reflect a present value for future premiums for payout annuities.
- (2) "Other" consists of activity related to long-term care insurance, variable annuities, traditional life insurance, preneed insurance, and fixed-rate annuity products. Mortality and morbidity risks associated with the long-term care insurance have been ceded to a third-party reinsurer.
- (3) Reinsurance recoverables associated with the liability for future policy benefits is net of the effect of changes in discount rate assumptions of \$384 million and \$(285) million for the years ended December 31, 2025, and 2024, respectively.

The following table summarizes the amount of gross premiums related to traditional and limited-payment contracts recognized in the consolidated statements of income (loss) for the years ended December 31, 2025, and 2024:

(\$ in millions)	Gross premiums	
	Years ended December 31,	
	2025	2024
Payout annuities	\$ 4,300	\$ 3,577
Other	853	8,943
Total products	\$ 5,153	\$ 12,520

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of December 31, 2025, and December 31, 2024:

	As of December 31, 2025	
	Payout annuities	Other
Weighted-average interest rates, original discount rate	4.22 %	5.25 %
Weighted-average interest rates, current discount rate	5.19 %	5.11 %
Weighted-average liability duration (years, current rates)	8.30	9.10

	As of December 31, 2024	
	Payout annuities	Other
Weighted-average interest rates, original discount rate	3.81 %	4.89 %
Weighted-average interest rates, current discount rate	5.44 %	5.51 %
Weighted-average liability duration (years, current rates)	8.45	9.46

The following reflects the undiscounted ending balance of expected future gross premiums and expected future benefits and payments for traditional and limited-payment contracts as of December 31, 2025, and December 31, 2024:

(\$ in millions)	As of December 31, 2025	
	Payout annuities	Other
Expected future benefit payments, undiscounted	\$ 38,990	\$ 16,462
Expected future benefit payments, discounted (original discount rate)	25,125	9,467
Expected future benefit payments, discounted (current discount rate)	22,762	9,461
Expected future gross premiums, undiscounted	—	2,388
Expected future gross premiums, discounted (original discount rate)	—	1,891
Expected future gross premiums, discounted (current discount rate)	—	1,880

(\$ in millions)	As of December 31, 2024	
	Payout annuities	Other
Expected future benefit payments, undiscounted	\$ 33,415	\$ 16,509
Expected future benefit payments, discounted (original discount rate)	22,116	9,337
Expected future benefit payments, discounted (current discount rate)	19,067	9,127
Expected future gross premiums, undiscounted	—	2,073
Expected future gross premiums, discounted (original discount rate)	—	1,614
Expected future gross premiums, discounted (current discount rate)	—	1,568

Significant inputs, judgments and assumptions used in measuring future policyholder benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates, mortality and, for life insurance, lapse rates. Global Atlantic reviews its assumptions at least annually, and more frequently if necessary. Accordingly, as part of the annual assumption review conducted during the years ended December 31, 2025 and 2024, assumptions were revised for an increase in expected mortality on certain payout annuities and pension risk transfer products, which resulted in a \$52 million and a \$28 million increase, respectively, to net income before taxes, respectively.

For the years ended December 31, 2025 and 2024, we recognized \$(437) million and \$238 million, in other comprehensive income (loss) (gross of the impact of reinsurance), respectively, due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025 and 2024, there were no changes to the methods used to determine the discount rates.

Additional liability for annuitization, death, or other insurance benefits

The following tables reflect the additional liability for annuitization, death, or other insurance benefits roll-forward for the years ended December 31, 2025, and 2024:

	Years ended	
	December 31, 2025	December 31, 2024
(\$ in millions)		
Balance as of beginning of period	\$ 7,630	\$ 7,251
Effect of changes in cash flow assumptions	4	(16)
Effect of changes in experience	(73)	(59)
Adjusted balance as of beginning of period	\$ 7,561	\$ 7,176
Issuances	24	23
Assessments	699	693
Benefits paid	(532)	(504)
Interest	254	242
Balance as of end of period	\$ 8,006	\$ 7,630
Less: impact of unrealized investment gains and losses	82	138
Less: reinsurance recoverable, end of period	1,755	1,586
Balance, end of period, net of reinsurance recoverable and impact of unrealized investment gains and losses	\$ 6,169	\$ 5,906

The additional liability for annuitization, death, or other insurance benefits relates primarily to secondary guarantees on certain interest-sensitive life products, and preneed insurance.

The following reflects the amount of gross assessments recognized for the additional liability for annuitization, death, or other insurance benefits in the consolidated statements of income (loss) for the years ended December 31, 2025, and 2024:

	Gross assessments	
	Years ended December 31,	
	2025	2024
(\$ in millions)		
Total amount recognized within revenue in the consolidated statements of income (loss)	\$ 701	\$ 711

The following reflects the weighted average duration and weighted average interest rate for the additional liability for annuitization, death, or other insurance benefits as of December 31, 2025, and December 31, 2024:

	As of	
	December 31, 2025	December 31, 2024
Weighted-average interest, current discount rate	3.30 %	3.29 %
Weighted-average liability duration (years)	24.79	26.51

Significant inputs, judgments, and assumptions used in measuring the additional liabilities for annuitization, death, or other insurance benefits

Significant policyholder behavior assumption inputs to the calculation of the additional liability for annuitization, death, or other insurance benefits include mortality, lapse rates, investment yields, and interest margin. Global Atlantic reviews its assumptions at least annually, and more frequently if necessary. Accordingly, as part of the annual assumption review conducted during the years ended December 31, 2025, assumptions for higher mortality, lapse rates, and investment yields were updated, which resulted in a \$4 million increase to net income before taxes. During the years ended December 31, 2024 assumptions for lapse rates, investment yields, and interest margin were updated, which resulted in a \$16 million decrease in net income before taxes.

Market risk benefits

The following table presents the balances of, and changes in, market risk benefits:

(\$ in millions, except for percentages and policyholder information)	Years ended					
	December 31, 2025			December 31, 2024		
	Fixed-indexed annuity	Variable-and other annuities	Total	Fixed-indexed annuity	Variable-and other annuities	Total
Balance as of beginning of period	\$ 816	\$ 184	\$ 1,000	\$ 870	\$ 251	\$ 1,121
Balance as of beginning of period, before impact of changes in instrument-specific credit risk	\$ 717	\$ 150	\$ 867	\$ 792	\$ 224	\$ 1,016
Issuances	115	(1)	114	59	—	59
Interest	41	8	49	42	10	52
Attributed fees collected	123	87	210	105	89	194
Benefit payments	(9)	(8)	(17)	(7)	(7)	(14)
Effect of changes in interest rates	8	21	29	(177)	(79)	(256)
Effect of changes in equity markets	(46)	(52)	(98)	(18)	(69)	(87)
Effect of actual experience different from assumptions	11	8	19	48	(16)	32
Effect of changes in other future expected assumptions	49	(43)	6	(127)	(2)	(129)
Balance as of end of period before impact of changes in instrument-specific credit risk	\$ 1,009	\$ 170	\$ 1,179	\$ 717	\$ 150	\$ 867
Effect of changes in instrument-specific credit risk	132	38	170	99	34	133
Balance as of end of period	\$ 1,141	\$ 208	\$ 1,349	\$ 816	\$ 184	\$ 1,000
Less: reinsurance recoverable as of the end of the period	—	(10)	(10)	—	(11)	(11)
Balance as of end of period, net of reinsurance recoverable	\$ 1,141	\$ 198	\$ 1,339	\$ 816	\$ 173	\$ 989
Net amount at risk	\$ 5,425	\$ 1,248	\$ 6,673	\$ 4,697	\$ 1,288	\$ 5,985
Weighted-average attained age of contract holders (years)	71	71	71	71	70	71

The following reflects the reconciliation of the market risk benefits reflected in the preceding table to the amounts reported in an asset and liability position, respectively, in the consolidated balance sheets as of December 31, 2025, and December 31, 2024:

(\$ in millions)	As of December 31, 2025			As of December 31, 2024		
	Asset	Liability	Net	Asset	Liability	Net
Fixed-indexed annuities	\$ 1	\$ 1,142	\$ (1,141)	\$ 2	\$ 818	\$ (816)
Variable- and other annuities	—	208	(208)	—	184	(184)
Total	\$ 1	\$ 1,350	\$ (1,349)	\$ 2	\$ 1,002	\$ (1,000)

Significant inputs, judgments, and assumptions used in measuring market risk benefits

Significant policyholder behavior and other assumption inputs to the calculation of the market risk benefits include interest rates, instrument-specific credit risk, mortality rates, surrender rates, and utilization rates. Global Atlantic reviews its assumptions at least annually, and more frequently if necessary. Accordingly, as part of the annual assumption review conducted during the year ended December 31, 2025, assumptions were updated for higher expected morbidity for certain long-term care-related benefit riders, offset in part by an increase in expected fixed-indexed annuity activations, which resulted in a \$6 million decrease to net income before taxes. During the year ended December 31, 2024, assumptions for fixed-indexed annuities mortality, surrenders, and utilization, and variable annuity activations were updated, which resulted in a \$129 million increase to net income before taxes.

Separate account liabilities

Separate account assets and liabilities consist of investment accounts established and maintained by the Company for certain variable annuity and interest-sensitive life insurance contracts. Some of these contracts include minimum guarantees such as GMDBs and GMWBs that guarantee a minimum payment to the policyholder.

The assets that support these variable annuity and interest-sensitive life insurance contracts are measured at fair value and are reported as separate account assets on the consolidated balance sheet. An equivalent amount is reported as separate account liabilities. Market risk benefit assets and liabilities for minimum guarantees are valued and presented separately from separate account assets and separate account liabilities. For more information on market risk benefits see “–Market risk benefits” in this footnote. Policy charges assessed against the policyholders for mortality, administration, and other services are included in “Policy fees” in the consolidated statements of income (loss).

The following table presents the balances of, and changes in, separate account liabilities:

	Years ended					
	December 31, 2025			December 31, 2024		
	Variable annuities	Interest-sensitive life	Total	Variable annuities	Interest-sensitive life	Total
(\$ in millions)						
Balance as of beginning of period	\$ 3,401	\$ 580	\$ 3,981	\$ 3,565	\$ 542	\$ 4,107
Premiums and deposits	20	12	32	26	13	39
Surrenders, withdrawals, and benefit payments	(485)	(18)	(503)	(552)	(25)	(577)
Investment performance	383	92	475	475	94	569
Other	(104)	(40)	(144)	(113)	(44)	(157)
Balance as of end of period	\$ 3,215	\$ 626	\$ 3,841	\$ 3,401	\$ 580	\$ 3,981
Cash surrender value as of end of period ⁽¹⁾	\$ 3,215	\$ 626	\$ 3,841	\$ 3,401	\$ 580	\$ 3,981

(1) Cash surrender value attributed to the separate accounts does not reflect the impact of surrender charges; surrender charges are attributed to policyholder account balances recorded in the general account.

The following table presents the aggregate fair value of assets, by major investment asset type, supporting separate accounts:

	December 31,		December 31,	
	2025		2024	
(\$ in millions)				
Asset type:				
Managed volatility equity/fixed income blended fund	\$	1,758	\$	1,931
Equity		1,742		1,686
Fixed income		140		146
Money market		201		217
Alternative		—		1
Total assets supporting separate account liabilities	\$	3,841	\$	3,981

8. Closed blocks

Summarized financial information of the Company's closed blocks is as follows:

	As of December 31,	
Balance sheets	2025	2024
(\$ in millions)		
Assets		
Total investments	\$ 1	\$ 1
Cash and cash equivalents	6	9
Reinsurance recoverable	934	941
Deferred income taxes	54	50
Total assets	995	1,001
Liabilities		
Policy liabilities	897	900
Policyholder dividend obligation at fair value	75	76
Policyholder dividends payable at fair value	8	9
Total policy liabilities	980	985
Other liabilities	12	14
Total liabilities	992	999
Excess of closed block liabilities over assets designated to the closed blocks and maximum future earnings to be recognized from closed block assets and liabilities	\$ (3)	\$ (2)

	Years ended	
	December 31,	December 31,
	2025	2024
Statements of income (loss)		
(\$ in millions)		
Revenues		
Premiums and other income	\$ 1	\$ 2
Total revenues	1	2
Benefits and expenses		
Policy benefits and claims	2	(1)
Total benefits and expenses	2	(1)
Net contribution from the closed blocks	(1)	3
Income tax (benefit) expense	(3)	(7)
Net income	\$ 2	\$ 10

Many expenses related to the closed block operations are charged to operations outside the closed blocks; accordingly, the contribution from the closed blocks does not represent the actual profitability of the closed block operations.

The closed blocks of business represent policies acquired through acquisition, which were valued at fair value as of the acquisition date.

9. Reinsurance

The Company maintains a number of reinsurance treaties with third parties whereby the Company assumes annuity and life policies on a coinsurance, modified coinsurance or funds withheld basis. The Company also maintains other reinsurance treaties including the cession of certain annuity, life, and health policies.

The effects of all reinsurance agreements on the consolidated balance sheets were as follows:

	December 31,	
	2025	2024
(\$ in millions)		
Policy liabilities:		
Direct	\$ 97,383	\$ 84,062
Assumed	108,176	101,143
Total policy liabilities	205,559	185,205
Ceded ⁽¹⁾	(47,727)	(45,006)
Net policy liabilities	\$ 157,832	\$ 140,199

(1) Reported within reinsurance recoverable within the consolidated balance sheets.

A key credit quality indicator is a counterparty's A.M. Best financial strength rating. A.M. Best ratings are an independent opinion of a reinsurer's ability to meet ongoing obligations to policyholders. The Company mitigates counterparty credit risk by requiring collateral and credit enhancements in various forms including engaging in funds withheld at interest and modified coinsurance transactions. The following shows the amortized cost basis of the Company's reinsurance recoverable and funds withheld

receivable at interest by credit quality indicator and any associated credit enhancements the Company has obtained to mitigate counterparty credit risk:

A.M. Best Rating ⁽¹⁾	As of December 31, 2025			As of December 31, 2024		
	Reinsurance recoverable and funds withheld receivable at interest	Credit enhancements ⁽²⁾	Net reinsurance credit exposure ⁽³⁾	Reinsurance recoverable and funds withheld receivable at interest	Credit enhancements ⁽²⁾	Net reinsurance credit exposure ⁽³⁾
(\$ in millions)						
A++	\$ 77	\$ —	\$ 77	\$ 27	\$ —	\$ 27
A+	2,106	—	2,106	1,732	—	1,732
A	1,551	—	1,551	2,144	—	2,144
A-	3,634	3,183	451	3,926	3,478	448
B++	2	—	2	1	—	1
Not rated or private rating ⁽⁴⁾	42,977	43,640	—	39,979	40,484	—
Total	\$ 50,347	\$ 46,823	\$ 4,187	\$ 47,809	\$ 43,962	\$ 4,352

(1) Ratings are periodically updated (at least annually) as A.M. Best issues new ratings.

(2) Credit enhancements primarily include funds withheld payable at interest.

(3) Includes credit loss allowance of \$26 million and \$16 million as of December 31, 2025, and December 31, 2024, respectively, held against reinsurance recoverable and funds withheld receivable at interest.

(4) Includes \$43.0 billion and \$40.0 billion as of December 31, 2025, and December 31, 2024, respectively, associated with cessions to co-investment vehicles ("Ivy and other co-investment vehicles") that participate in qualifying reinsurance transactions sourced by Global Atlantic.

As of December 31, 2025, and December 31, 2024, the Company had \$2.3 billion and \$2.5 billion of funds withheld receivable at interest with six counterparties related to modified coinsurance and funds withheld contracts. The assets supporting the funds withheld receivable at interest balance are held in trusts for the benefit of the Company.

The effects of reinsurance on the consolidated statements of income (loss) were as follows:

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Premiums:		
Direct	\$ 1,823	\$ 643
Assumed	3,370	11,916
Ceded	(1,796)	(4,660)
Net premiums	\$ 3,397	\$ 7,899

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Policy fees:		
Direct	\$ 906	\$ 918
Assumed	1,099	1,112
Ceded	(654)	(652)
Net policy fees	\$ 1,351	\$ 1,378

	Years ended	
	December 31,	
	2025	2024
(\$ in millions)		
Policy benefits and claims:		
Direct	\$ 6,684	\$ 4,048
Assumed	8,249	15,949
Ceded	(4,202)	(6,704)
Net policy benefits and claims	\$ 10,731	\$ 13,293

The Company holds collateral for, and provides collateral to, our reinsurance clients. The Company held \$49.0 billion and \$46.6 billion of collateral in the form of funds withheld payable at interest on behalf of our reinsurers as of December 31, 2025, and December 31, 2024, respectively. As of both December 31, 2025, and December 31, 2024, reinsurers held collateral of \$1.1 billion on behalf of the Company. A significant portion of the collateral that the Company provides to its reinsurance clients is provided in the form of assets held in a trust for the benefit of the counterparty. As of December 31, 2025, and December 31, 2024, these trusts held in excess of the \$107.3 billion and \$100.2 billion of assets they are required to hold in order to support reserves of \$104.1 billion and \$96.9 billion, respectively. Of the cash held in trust, the Company classified \$139 million and \$186 million as restricted as of December 31, 2025, and December 31, 2024, respectively.

10. Debt

Debt was comprised of the following:

	December 31, 2025		December 31, 2024	
	Amount	Rate	Amount	Rate
(\$ in millions, except interest rates)				
Revolving credit facility, due May 2029	\$ —	— %	\$ —	— %
Senior notes, due October 2029 ⁽²⁾	500	4.40 %	500	4.40 %
Senior notes, due June 2031	650	3.13 %	650	3.13 %
Senior notes, due June 2033	650	7.95 %	650	7.95 %
Senior notes, due March 2054	750	6.75 %	750	6.75 %
Subordinated debentures, due October 2051	24	4.70 %	750	4.70 %
Subordinated debentures, due October 2054	600	7.95 %	600	7.95 %
Subordinate Debt \$600mm, due Oct 2056	600	7.25 %	—	— %
Total debt – principal	3,774		3,900	
Other debt obligations of consolidated special purpose vehicles ⁽¹⁾⁽⁴⁾	197	6.27 %	70	7.02 %
Purchase accounting adjustments ⁽²⁾	27		34	
Debt issuance costs, net of accumulated amortization ⁽³⁾	(54)		(58)	
Fair value loss of hedged debt obligations, recognized in net income	(124)		(233)	
Total debt	\$ 3,820		\$ 3,713	

- (1) These debt obligations primarily include debt obligations of consolidated co-investment vehicles that are not guaranteed by the Company.
- (2) The amortization of the purchase accounting adjustment was \$7 million and \$6 million for the years ended December 31, 2025, and 2024, respectively.
- (3) The amortization of the debt issuance costs was \$13 million and \$3 million for the years ended December 31, 2025, and 2024.
- (4) Represents a weighted average interest rate.

Principal payments due on debt as of December 31, 2025 are as follows:

	Revolving credit facilities		Notes issued		Other debt obligations		Total	
(\$ in millions)								
2026	\$	—	\$	—	\$	—	\$	—
2027		—		—		197		197
2028		—		—		—		—
2029		—		500		—		500
2030		—		—		—		—
Thereafter		—		3,274		—		3,274
	\$	—	\$	3,774	\$	197	\$	3,971

Tender offer of Global Atlantic 4.70% Subordinated Debentures due 2051

On November 17, 2025, Global Atlantic commenced an at-par cash tender offer for its then outstanding \$750 million aggregate principal amount of 4.70% subordinated debentures due 2051. Upon close of the tender offer on November 21, 2025, Global Atlantic accepted \$726 million aggregate principal amount of such debentured that had been offered for purchase.

Subordinated Debentures due 2056

On November 26, 2025, FinCo issued \$600 million aggregate principal amount of 7.25% fixed-to-fixed rate subordinated debentures maturing on March 1, 2056. The subordinated debentures were issued pursuant to the Subordinated Indenture, dated as of July 6, 2021, among GA FinCo, as issuer, GALD, as guarantor, and U.S. Bank National Association, as trustee, as supplemented by the Third Supplemental Indenture, dated as of November 26, 2025.

The subordinated debentures will bear interest (i) from, and including, November 26, 2025 to, but not including, the initial interest reset date of March 1, 2031 at an annual rate of 7.25% and (ii) from and including March 1, 2031, during each interest reset period, at an annual rate equal to the five-year Treasury rate as of the most recent reset interest determination date, plus 3.55%; provided, that the interest rate during any interest reset period will not reset below 7.25% (which equals the initial interest rate on the Debentures). Interest on the subordinated debentures is payable semi-annually in arrears on March 1 and September 1 of each year, commencing on March 1, 2026, and on the maturity date.

FinCo has the right on one or more occasions to defer the payment of interest on the subordinated debentures due 2056 for up to five consecutive years. During an optional deferral period, interest will continue to accrue at the interest rate on the subordinated debentures due 2056, compounded semi-annually as of each interest payment date, and certain restrictions are placed on FinCo and the Company including with respect to making payments on any indebtedness or guarantees ranking on parity with or junior to the subordinated debentures.

FinCo may elect to redeem the subordinated debentures due 2056 either in whole at any time or in part from time to time during the three-month period prior to, and including, March 1, 2031, or after the initial interest reset date, on any interest payment date, in each case at 100% of the principal amount of the subordinated debentures being redeemed, plus accrued and unpaid interest (including compounded interest, if any) to, but excluding, the redemption date. FinCo also has certain redemption rights related to tax, rating agency and capital events.

Revolving Credit Facility

In May 2024, FinCo terminated its revolving credit facility and replaced it with a new credit agreement with FinCo, as borrower, and the Company, as guarantor, and Wells Fargo Bank, N.A., as administrative agent, that (1) provides for up to \$1.0 billion of revolving borrowings, including up to \$500 million of letters of credit, (2) has a maturity of May 2029, and (3) contains customary events of default, representations and warranties and covenants that are substantially similar to those that were in the terminated revolving credit facility, including the consolidated debt to capitalization and net worth covenants. Interest on any funded borrowings accrues at SOFR plus a spread ranging from 1.225% to 1.975%, based on the Company's long-term issuer credit ratings.

Global Atlantic Insurance Operating Company Revolving Credit Facility

On January 16, 2026, subsequent to the end of the period, the Company and GA FinCo (together, the "GA Guarantors") and certain direct and indirect insurance company subsidiaries of the Guarantors (such insurance company subsidiaries, the "GA OpCo Borrowers", and together with the Guarantors, the "GA OpCo Credit Parties") entered into a credit agreement (the "GA OpCo Credit Agreement") with Wells Fargo Bank, N.A., as administrative agent (the "GA Administrative Agent") and other lenders from time to time party thereto.

The GA OpCo Credit Agreement provides the GA OpCo Borrowers with an unsecured revolving credit facility (the "GA OpCo Credit Facility") in an aggregate principal amount of \$3.00 billion as of January 16, 2026, with the option to request an increase in the facility amount of up to an additional \$500 million, for an aggregate principal amount of \$3.50 billion, subject to certain conditions, including obtaining new or increased commitments from new or existing lenders. The GA OpCo Credit Facility is a

364-day facility, scheduled to mature on January 15, 2027, which may from time to time be extended for additional 364-day periods at the GA OpCo Borrowers' option, subject to the consent of the applicable lenders, and the GA OpCo Borrowers may prepay, terminate or reduce the commitments under the GA OpCo Credit Facility at any time without penalty. Borrowings under the GA OpCo Credit Facility are available for general corporate purposes including working capital. Interest on borrowings under the GA OpCo Credit Facility will be based on either (i) the term Secured Overnight Financing Rate (SOFR), plus a margin based on a corporate ratings-based grid ranging from 1.10% to 1.375%, or (ii) an alternate base rate, plus a margin based on a corporate ratings-based grid ranging from 0.10% to 0.375%.

Certain other terms of the GA OpCo Credit Agreement include: (i) financial covenants that require the Company and certain of its consolidated subsidiaries not to exceed a specified debt-to-total-capitalization ratio and to satisfy a net worth threshold; (ii) customary representations, affirmative covenants and certain negative covenants; and (iii) customary events of default, upon the occurrence of which the lenders will have the ability to accelerate all outstanding loans under the GA OpCo Credit Facility and terminate the commitments.

Debt obligations of consolidated special purpose vehicles and joint ventures

In May 2024, GA Iris FinCo LLC, ("Iris FinCo") an indirect subsidiary of the Company, as borrower, and GA Iris LLC, a consolidated sponsored reinsurance vehicle ("GA Iris") as guarantor, entered into a Senior Unsecured Credit Agreement, ("Iris Credit Facility") with Wells Fargo Bank, N.A. as administrative agent. The Iris Credit Facility provides for up to \$240 million of revolving borrowings (with the option to increase up to an additional \$20 million) and has a maturity date of May 2027. Interest on borrowings will accrue at term SOFR plus a spread ranging from 1.85% to 2.60%. In June 2024, GA Iris, entered into a Subscription Credit Facility Agreement, ("Iris Subscription Facility") with EVERBANK, N.A. The Iris Subscription Facility provides for up to \$100 million of revolving borrowings and has a maturity date of June 2027. Interest on borrowings will accrue at term SOFR plus 2.75%. Neither of these facilities are guaranteed by GALD, KKR or any of their respective subsidiaries (other than GA Iris with respect to the Iris Credit Facility).

In June 2024, GA Iris, entered into a Subscription Credit Facility Agreement, ("Iris Subscription Facility") with EVERBANK, N.A. The Iris Subscription Facility provides for up to \$100 million of revolving borrowings and has a maturity date of June 2027. Neither of these facilities are guaranteed by GALD, KKR or any of their respective subsidiaries (other than GA Iris with respect to the Iris Credit Facility).

Debt Covenants

Borrowings of the Company contain various debt covenants. These covenants do not, in management's opinion, materially restrict the Company's operating business or investment strategies as of December 31, 2025. The Company was in compliance with such debt covenants in all material respects as of December 31, 2025.

11. Composition of other assets, liabilities, income, insurance expenses and general, administrative, and other expenses

Other assets consist of the following:

	December 31, 2025	December 31, 2024
(\$ in millions)		
Deferred tax assets, net	\$ 2,822	\$ 2,837
Goodwill	510	510
Investments in-course of settlement ⁽¹⁾ and derivative collateral receivables	435	142
Miscellaneous assets	322	277
Derivative assets	306	61
Premiums and other account receivables	234	261
Intangible assets	233	344
Operating lease right-to-use assets ⁽²⁾	157	164
Market risk benefit assets	1	2
Current income tax recoverable	—	273
Total other assets	\$ 5,020	\$ 4,871

(1) Primarily includes amounts due from third parties for investments sold for which cash settlement has not occurred.

(2) The non-cancelable operating leases consist of leases for office space and renewal energy forward power purchase agreements in North America. The operating lease costs were \$26 million and \$29 million for both the years ended December 31, 2025, and 2024.

The definite life intangible assets are amortized using the straight-line method over the useful life of the assets which is an average of 10.7 years. The indefinite life intangible assets are not subject to amortization. The amortization expense of definite life intangible assets was \$ 19 million and \$ 19 million for the years ended December 31, 2025, and 2024, respectively.

Other liabilities consist of the following:

	December 31, 2025	December 31, 2024
(\$ in millions)		
Investments in-course of settlement ⁽¹⁾ and derivative collateral liabilities	\$ 926	\$ 347
Accrued expenses ⁽²⁾	892	739
Securities sold under agreements to repurchase	664	261
Derivative liabilities	436	389
Operating lease liabilities ⁽³⁾	176	186
Insurance operations balances in course of settlement	136	191
Accrued employee related expenses	115	107
Current income tax payable	72	—
Accounts and commissions payables	47	31
Tax payable to former parent company	46	49
Interest payable	37	40
Other tax related liabilities	24	22
Total other liabilities	\$ 3,571	\$ 2,362

(1) Primarily includes amounts owed to third parties for investment purchases for which cash settlement has not occurred.

(2) Includes related party balances of \$179 million and \$180 million as of December 31, 2025, and December 31, 2024, respectively.

(3) Operating leases for office space have remaining lease terms that range from approximately 2 years to 9 years, some of which include options to extend the leases for up to 10 years. The weighted average remaining lease terms were 6.8 years and 7.4 years as

of December 31, 2025, and December 31, 2024, respectively. The weighted average discount rates were 4.9% and 4.7% as of December 31, 2025, and December 31, 2024, respectively.

Other income consists of the following:

	Years ended	
	December 31, 2025	December 31, 2024
(\$ in millions)		
Reinsurance expense allowance	\$ 140	\$ 150
Administrative, marketing, and distribution fees	117	86
Miscellaneous income	—	2
Total other income	\$ 257	\$ 238

Insurance expenses consist of the following:

	Years ended	
	December 31, 2025	December 31, 2024
(\$ in millions)		
Commission expense	\$ 306	\$ 473
Reinsurance expense allowance	194	185
Other insurance expenses	76	65
Premium taxes	19	19
Total insurance expenses	\$ 595	\$ 742

General, administrative, and other expenses consist of the following:

	Years ended	
	December 31, 2025	December 31, 2024
(\$ in millions)		
Employee-related expenses	\$ 594	\$ 571
Administrative and professional services ⁽¹⁾	172	184
Total general, administrative, and other expenses	\$ 766	\$ 755

(1) Includes related party balances of \$10 million for both the years ended December 31, 2025, and 2024, respectively.

12. Shareholders' equity

The Company had 304 common shares outstanding, with a par value of \$0.01, and did not have any dividends payable as of December 31, 2025. All 304 shares were held by GAFG, the Company's direct parent, as of December 31, 2025. The maximum number of the Company shares authorized for issuance is 1,000 common shares.

13. Accumulated other comprehensive income (loss)

Information regarding amounts reclassified out of each component of accumulated other comprehensive income (loss) for the years ended December 31, 2025, and 2024 were as follows:

Components of accumulated other comprehensive income (loss)	Consolidated statements of income (loss) and consolidated statements of comprehensive income (loss) location	Years ended	
		December 31,	
		2025	2024
(\$ in millions)			
Net unrealized investment-related gains (losses) on other investments:			
Net unrealized investment losses	Net investment-related gains (losses)		
Net unrealized investment losses, before income tax		\$ (1,926)	\$ (683)
Income tax expense (benefit)		(366)	(138)
Net unrealized investment losses, net of income tax, reclassified		\$ (1,560)	\$ (545)

14. Redeemable non-controlling interests

During the quarter ended September 30, 2024, the Company acquired the remaining outstanding redeemable non-controlling interests in certain renewable energy entities.

15. Equity-based compensation plans

The components of equity-based compensation and long-term incentives expense were as follows:

	Years ended	
	December 31, 2025	December 31, 2024
(\$ in millions)		
KKR equity incentive plan and other equity-classified awards	100	135
Total equity-based compensation expense	\$ 100	\$ 135
Deferred tax asset	\$ 14	\$ 15

No equity-based compensation costs were capitalized during the three months and year ended December 31, 2025, and 2024.

Equity-classified awards

KKR equity incentive plans

Service-vesting awards

Employees of Global Atlantic are eligible for the grant of KKR & Co., Inc. restricted stock units, or "RSUs," under the terms of the KKR & Co., Inc. 2019 Equity Incentive Plan. Awards are generally subject to service-based vesting, typically over a three-to-five-year vesting period. The expense associated with equity-based compensation in connection with KKR equity incentive awards is based on the closing price of KKR & Co. Inc. common stock on the date of grant, discounted for the lack of participation rights in the expected dividends on unvested shares. Expense is recognized on a straight-line basis over the life of the award and assumes a forfeiture rate of up to 4% annually based upon expected turnover by class of recipient.

As of December 31, 2025, there was approximately \$119 million of total estimated unrecognized expense related to unvested Service-Vesting Awards, which is expected to be recognized over the weighted average remaining requisite service period of 1.2 years.

The table below presents the activity related to equity-classified compensation with service-based vesting conditions, for the year ended December 31, 2025:

	Year ended December 31, 2025	
	Shares	Weighted average grant date fair value per share
Outstanding balance, as of beginning of period	4,503,864	\$ 69.60
Granted	419,724	109.24
Forfeitures	(633,266)	70.55
Transfers In/(Out)	19,688	63.74
Vested	(1,753,288)	62.14
Outstanding balance, as of end of period	2,556,722	\$ 80.94

Market condition awards

KKR also grants restricted stock units and restricted holdings units ("RHUs") that are subject to both a service-based vesting condition and a market price based vesting condition (referred to hereafter as "Market Condition Awards") to certain Global Atlantic employees.

The number of Market Condition Awards that will vest depend upon (i) the market price of KKR common stock reaching certain price targets that range from \$95.80 to \$135.80 and (ii) the employee being employed by Global Atlantic on a certain date, which typically ranges from 5 to 6 years from the date of grant (with exceptions for involuntary termination without cause, death, and permanent disability). The market price vesting condition is met when the average closing price of KKR common stock during 20 consecutive trading days meets or exceeds the stock price targets. Holders of the Market Condition Awards do not participate in dividends until such awards have met both their service-based and market price based vesting requirements. Additionally, these awards are subject to additional transfer restrictions and minimum retained ownership requirements after vesting.

Due to the existence of the service requirement, the vesting period for these Market Condition Awards is explicit, and as such, compensation expense will be recognized on (i) a straight-line basis over the period from the date of grant through the date the award recipient is required to be employed by Global Atlantic and (ii) assumes a forfeiture rate of up to 4% annually based upon expected turnover. The fair value of the awards granted is based on a Monte Carlo simulation valuation model. In addition, the grant date fair value assumes that holders of the Market Condition Awards will not participate in dividends until such awards have met all of their vesting requirements.

Below is a summary of the grant date fair value based on the Monte Carlo simulation valuation model and the significant assumptions used to estimate the grant date fair value of these Market Condition Awards:

	Weighted Average	Range
Grant Date Fair Value	\$57.35	\$22.56 - \$61.81
Closing KKR share price as of valuation date	\$79.12	\$37.93 - \$82.85
Risk Free Rate	3.68%	0.41% - 4.41%
Volatility	29.87%	28.00% - 30.00%
Dividend Yield	0.89%	0.84% - 1.53%
Expected Cost of Equity	10.49%	10.45% - 11.00%

As of December 31, 2025, there was approximately \$29 million of total estimated unrecognized expense related to these unvested Market Condition Awards, which is expected to be recognized over the weighted average remaining requisite service period of 1.6 years.

The table below presents the activity related to unvested Market Condition Awards, for the year ended December 31, 2025:

	Year ended December 31, 2025	
	Shares	Weighted average grant date fair value per share
Outstanding balance, as of beginning of period	2,343,950	\$ 52.88
Granted	—	—
Forfeited	(565,094)	46.62
Outstanding balance, as of end of period	1,778,856	\$ 54.87

As of December 31, 2025, all of the Market Condition Awards have met their market price based vesting conditions. These Market Condition Awards remain unvested until their service conditions (as described above) are satisfied.

16. Income taxes

Provision for income taxes

The table below presents the components of the expense for taxes attributable to continuing operations:

	Years ended	
	December 31,	December 31,
	2025	2024
(\$ in millions)		
Current income tax (benefit) expense		
Federal	\$ 485	\$ (77)
State/local	8	7
Total current income tax (benefit) expense	493	(70)
Deferred income tax benefit		
Federal	(728)	(210)
Total deferred income tax benefit	(728)	(210)
Total income tax benefit	\$ (235)	\$ (280)

The table below presents the components of income before income taxes by jurisdiction:

	Years ended	
	December 31,	December 31,
	2025	2024
(\$ in millions)		
Income before income taxes:		
U.S.	\$ (1,184)	\$ (927)
Bermuda	(163)	39
Total income before income taxes	\$ (1,347)	\$ (888)

Following the merger, the Company was re-domesticated from Bermuda to Delaware, and changed its name to Global Atlantic Limited (Delaware). Certain subsidiaries of the Company operating in the U.S. are subject to tax in the U.S. Certain subsidiaries of the Company operate in Bermuda and intend to operate the business such that they are not considered to be treated as engaged in the conduct of a trade or business in the U.S. Because the U.S. tax code, regulations and court decisions do not definitively identify activities that constitute being engaged in a trade or business in the U.S., the Internal Revenue Service, or "IRS," may assert that the Company's non-U.S. subsidiaries are engaged in a trade or business in the U.S. The Company and certain Bermuda subsidiaries file protective U.S. income tax returns and the Company's U.S. subsidiaries file income tax returns with the U.S. federal government and various U.S. state governments.

Global Atlantic Re Limited, or "Global Atlantic Re," a direct subsidiary of the Company based in Bermuda, made an election under Internal Revenue Code, or "IRC," Section 953(d) for 2018 to be treated as a U.S. domestic insurance company and will be filing Form 1120 L. Similarly, Global Atlantic Iris Re Limited, an indirect subsidiary of the Company based in Bermuda, made an IRC Section 953(d) election in 2025, effective beginning tax year 2024, and will be filing Form 1120 L.

On August 16, 2022, the Inflation Reduction Act (the "IRA") was signed into law. The IRA enacted a new 15% corporate minimum tax ("CAMT") on the "adjusted financial statement income" of certain large corporations, which became effective on January 1, 2023. In addition, the IRA enacted a 1% excise tax on corporate stock repurchases completed after December 31, 2022. In 2025, Iris Re computed a \$17.8 million CAMT liability, which resulted in a corresponding CAMT credit that can be used in to offset

any future regular tax. The Company will continue to review and monitor the issuance of additional guidance from the U.S. Treasury and the IRS.

The following table reconciles the U.S. Federal Statutory Tax Rate to the Effective Income Tax Rate under the ASU 2023-09 guidance on income tax disclosures issued in December 2023 for the year ended December 31, 2025:

	Years ended	
	December 31,	
	2025	
(\$ in millions)	Amount	Rate (%)
Statutory U.S. Federal Income Tax Rate	\$ (283)	21.0 %
State and Local Income Tax, net of federal income tax effect (1)	7	(0.5)%
Foreign Tax Effects		
Bermuda		
Tax rate differential	6	(0.4)%
Foreign tax credits	(71)	5.3 %
Other foreign jurisdictions		
Effect of Cross-Border Tax Laws		
US tax on foreign insurance company	89	(6.6)%
Subpart F	16	(1.2)%
Tax Credits	(5)	0.4 %
Change in Valuation Allowances	5	(0.4)%
Nontaxable or Nondeductible Items		
Stock Options Windfall Benefit	(13)	1.0 %
Other	14	(1.0)%
Effective Income Tax	\$ (235)	17.6 %

Deferred income taxes

Deferred income taxes reflect the net effects of temporary differences between financial reporting and tax basis of assets and liabilities. These temporary differences result in taxable or deductible amounts in future years and are measured using the tax rates and laws that will be in effect when such differences are expected to reverse. Valuation allowances are established to reduce deferred tax assets to the amount that more-likely-than-not will be realized.

In 2022, changes in market conditions, including rapidly rising interest rates, impacted the unrealized tax gains and losses in the available for sale securities portfolios of Global Atlantic, resulting in deferred tax assets related to net unrealized tax capital losses for which the carryforward period has not yet begun. As such, when assessing recoverability, Global Atlantic considered our ability and intent to hold the underlying securities to recovery. Based on all available evidence, Global Atlantic concluded that a valuation allowance should be established on a portion of the US deferred tax assets related to unrealized tax capital losses that are not more-likely-than-not to be realized, which represents the portion of the portfolio Global Atlantic estimates it would not be able to hold to recovery. In 2024, Global Atlantic concluded that it had the ability to utilize realized capital loss carryforwards prior to their expiration, and to recover its unrealized losses in the available for sale securities portfolio. As a result, Global Atlantic concluded that it was more likely than not that the related US deferred tax assets would be wholly realizable, and consequently released the previously recorded valuation allowance recorded against its deferred income tax assets. Therefore, the valuation allowance of \$89 million was released through the income tax expense line of the statements of income (loss) as of December 31, 2024. As of December 31, 2025, there is no valuation allowance on realized or unrealized capital losses, as management concluded that realization is more likely than not. Global Atlantic Iris Non-life entities (Global Atlantic Iris FinCo LLC and Global Atlantic Iris LLC) have a full valuation allowance of \$4.6 million on its net deferred tax assets, as realization is not more likely than not.

On December 27, 2023, Bermuda enacted a corporate income tax ("Bermuda CIT") that applies a 15% tax to in-scope entities resident in Bermuda or with a Bermuda permanent establishment, effective January 1, 2025. The Company intends to elect to compute its financial accounting net income or loss in accordance with U.S. Statutory Accounting Principles (SAP), an approved financial accounting standard. As of December 31, 2025, the ending Bermuda net DTA was \$38 million with a full valuation allowance as the DTA is not more likely than not to be realized.

The table below presents the significant components of deferred tax assets and liabilities:

	As of December 31,	
	2025	2024
(\$ in millions)		
Deferred tax assets:		
Investments, including derivatives	\$ 258	\$ 868
Net operating loss, and capital loss carryforwards	1,166	813
Insurance reserves	1,172	675
Insurance intangibles	421	461
Other	—	85
Subtotal deferred tax assets	3,017	2,902
Valuation allowance	(43)	(37)
Total deferred tax assets	2,974	2,865
Deferred tax liabilities:		
Loss reserve adjustment (transition rule)	—	28
Other	152	—
Total deferred tax liabilities	152	28
Total deferred tax asset, net	\$ 2,822	\$ 2,837

Tax attributes

As of December 31, 2025, the GALD consolidated group has a U.S. federal net operating loss ("NOL") carryforward of \$573 million; \$56 million will begin to expire in 2034; and the remainder has an indefinite life. The GALD consolidated group also has capital loss carryforwards of \$1.8 billion which will begin to expire in 2027. In addition, Global Atlantic Re Limited had a federal NOL of \$2.4 billion, Global Atlantic Iris Re Limited has a federal NOL of \$289 million, and the Global Atlantic Iris Non-life entities (Global Atlantic Iris FinCo LLC and Global Atlantic Iris LLC) have a federal NOL of \$22 million, all of which have an indefinite life.

Unrecognized tax benefits

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized on settlement. A liability is established for differences between positions taken in a tax return and amounts recognized in the consolidated financial statements. The Company believes that its income tax filing positions and deductions will be sustained on audit and does not anticipate any adjustments that will impact the Company's balance sheets, income statements or cash flows. As of December 31, 2025, and 2024, the Company did not record a liability related to accounting for uncertainty in income taxes.

Status of open tax years

The Company's U.S. domiciled subsidiaries' federal income tax returns are routinely audited by the Internal Revenue Service, or "IRS," and when appropriate, provisions are made in the consolidated financial statements in anticipation of the results of these audits. The tax years under examination by the IRS vary by company; however, the earliest tax year that remains open is 2020.

U.S. withholding tax

As of December 31, 2025, GA has accumulated undistributed earnings generated by certain foreign subsidiaries for which no deferred taxes have been recorded with respect to the outside U.S. federal income tax basis differences on these subsidiaries because of our ability and intent to indefinitely reinvest such earnings unless they can be distributed tax-free. GA will continue to evaluate its capital management plans. It is not practicable for us to determine the amount of unrecognized deferred income tax liability due to the complexity associated with the hypothetical calculation.

17. Dividend restrictions and statutory information

Several of the Company's subsidiaries are regulated insurance companies and subject to laws governing the payment of dividends to shareholders in the U.S. and Bermuda.

The United States of America

The laws and regulations of each of our U.S. insurance subsidiaries' state of domicile require notice to and approval by the applicable state insurance commissioner prior to the declaration or payment of an extraordinary dividend. An extraordinary dividend is any dividend, which, together with other dividends or distributions made within the preceding 12 months, exceeds the greater of: (1) 10% of the insurer's policyholder surplus as of December 31 of the preceding year; or (2) the statutory net gain from operations for the twelve-month period ending on the last preceding December 31. An ordinary dividend is any dividend that does not exceed such amount. Insurance statutes also generally require an insurance company to pay a dividend or distribution out of earned surplus, unless it receives the prior approval of its domiciliary state insurance regulator. These laws and regulations require, among other things, each U.S. insurance subsidiary to maintain minimum solvency requirements and limit the amount of dividends these subsidiaries can pay.

The Company's primary U.S. insurance subsidiary, Commonwealth Annuity and Life Insurance Company, or "CwA," a stock company of the Commonwealth of Massachusetts, is the sole owner of the Company's other U.S. insurance subsidiaries. As a result, if it receives any dividend payments from those subsidiaries it must further dividend those payments in order for the payments to reach the Company. As such, the ordinary dividend capacity at CwA effectively limits the Company's access to the dividend capacity of its other U.S. insurance subsidiaries unless CwA seeks and receives extraordinary dividend approval from CwA's primary insurance regulator, the Massachusetts Division of Insurance.

The following table sets forth statutory and dividend information of CwA:

	As of and for the years ended December 31,	
	2025	2024
(\$ in millions)		
Statutory net (loss) income	\$ 249	\$ (553)
Statutory net gain from operations	347	(302)
Capital and surplus	6,784	6,155
Dividends permitted without approval during the following year	None	None

The Company's U.S. insurance subsidiaries must meet minimum capital and surplus requirements under a risk-based capital, or "RBC," formula. RBC is the standard measurement of an insurance company's required capital on a statutory basis and is based on a formula calculated by applying factors to various assets, premium, and statutory reserve items. The formula is intended to take into account the risk characteristics of the insurer, including asset risk, insurance risk, interest rate risk, and business risk. Regulatory action is tied to maintaining certain levels of a company's surplus deficit under the RBC formula or company action level RBC, or "CAL RBC." All of the Company's U.S. insurance subsidiaries individually exceeded CAL RBC for 2025 and 2024.

Certain of the Company's regulated insurance subsidiaries are required to file financial statements with U.S. state regulatory authorities prepared on an accounting basis prescribed or permitted by their domiciliary state. Statutory surplus computed under those methodologies differ from equity reported in accordance with U.S. GAAP primarily because fixed maturity securities are required to be carried at cost or amortized cost, embedded derivatives on funds withheld reinsurance balances are not recognized, policy acquisition costs are expensed when incurred and asset valuation, and interest maintenance reserves are required to be held. Life insurance reserves are calculated based upon different assumptions and the recognition of deferred tax assets is based on different recoverability assumptions.

The Company's insurance entities cede certain term life and universal life insurance statutory reserves to wholly-owned captives on coinsurance and funds withheld coinsurance bases. The reserves are secured by cash, invested assets, and financing provided by highly rated third parties. As of December 31, 2025, and 2024, the Company's wholly-owned captives assumed statutory reserves of \$7.5 billion and \$7.3 billion, respectively, from the Company's insurance entities. In the states of Vermont and Iowa, the affiliated reinsurers have adopted prescribed practices allowing for the outstanding principal of a contingent note or a parental guarantee serving as collateral in connection with a reinsurance credit to be included in surplus as admitted assets. As of December 31, 2025, and 2024, assets admitted under these practices increased surplus by \$2.6 billion and \$2.4 billion, respectively.

Bermuda

Global Atlantic Re Limited ("Global Atlantic Re") and Global Atlantic Assurance Limited ("GAAL") are Bermuda insurance companies with GAAL operating as a wholly owned subsidiary of Global Atlantic Re. Beginning in 2018, Global Atlantic Re is treated as a U.S. domestic insurance company under IRC Section 953(d) and began filing Form 1120 L for the tax years 2018 and thereafter. Both Global Atlantic Re and GAAL are subject to Bermuda Corporate Income Tax Act 2023 ("CITA"), which introduces a 15% corporate income tax rate for tax years beginning on or after January 1, 2025. Together we refer to both companies as "our Bermuda insurance subsidiaries." Our Bermuda insurance subsidiaries are subject to the Bermuda Insurance Act 1978, as amended and related regulations, or the "Bermuda Insurance Act."

The Bermuda Insurance Act limits the ability of our Bermuda insurance subsidiary to pay dividends or make capital distributions by stipulating certain margin and solvency requirements and by requiring approval from the Bermuda Monetary Authority (the "BMA") prior to a reduction of 15% or more of an insurer's total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer

must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the respective Bermuda insurance subsidiary, at least seven days prior to payment of any dividend which would exceed 25% of an insurer's total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins (a "Bermuda Dividend Affidavit"). Accordingly, our Bermuda insurance subsidiary may distribute up to (1) 100% of statutory surplus plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits our Bermuda insurance subsidiary from declaring or paying any dividends during any financial year if it is in breach of its solvency margin or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Our Bermuda insurance subsidiary is also prohibited from declaring or paying a dividend where it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified. Global Atlantic Re exceeded the enhanced capital requirements.

The following table sets forth statutory and dividend information of Global Atlantic Re:

	As of and for the years ended December 31,	
	2025	2024
(\$ in millions)		
Statutory net income	\$ (97)	\$ 234
Capital and surplus	5,090	4,231
Dividends and capital distributions permitted without approval during the following year	1,675	1,355

Global Atlantic Re did not declare or pay a dividend in 2025. Global Atlantic Re declared and paid a dividend of \$180 million in 2024.

In 2026, Global Atlantic Re has the capacity to declare a dividend of \$1.7 billion, without BMA approval subject to providing the BMA a Bermuda Dividend Affidavit, meeting applicable margin and solvency requirements and complying with Bermuda law more generally.

The Bermuda Insurance Act requires our Bermuda insurance subsidiary to prepare and file statutory financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits our Bermuda insurance subsidiary to not measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires our Bermuda insurance subsidiary to maintain certain measures of solvency and liquidity. The Bermuda statutory financial statements form the basis for assessing our Bermuda insurance subsidiary's liquidity, minimum solvency margin and class of registration. These financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. Economic balance sheet is a principles-based valuation approach to determine an insurer's capital adequacy and is used as the basis for determination of the Bermuda insurance subsidiary's enhanced capital requirement.

18. Related party transactions

The Company has investment management service agreements with KKR. KKR provides investment management services across the Company. The Company recorded expenses for these agreements of \$674 million and \$536 million for the years ended December 31, 2025, and 2024, respectively, and

related payables due to KKR of \$179 million and \$177 million as of December 31, 2025, and December 31, 2024, respectively.

The Company has agreements to lease office space from KKR. The Company recorded expenses for these agreements of \$10 million for both the years ended December 31, 2025, and 2024, respectively, and had \$3 million payable due to KKR as of December 31, 2024.

During the year ended December 31, 2025, Global Atlantic received \$1.2 billion of capital contributions from its ultimate parent in the form of interests in certain debt securities and investment funds. These investments were recognized at their respective fair values as of the date of the contribution. In January 2024, Global Atlantic acquired a non-controlling limited partnership interest in two investment funds from its ultimate parent company KKR, the Diversified Core Infrastructure Fund ("DCIF") and the KKR Property Partners Americas Fund ("KPPA"), for \$555 million and \$353 million, respectively. In addition, Global Atlantic, as lender, entered into a \$1 billion credit agreement with a KKR affiliate. The Company also, in the ordinary course of business, enters into agreements with, or investments in, certain KKR portfolio companies that are affiliated companies for investment management or other services.

Certain of the Company's sponsored co-investment vehicles are controlled by the Company or KKR, its ultimate parent, and therefore are considered affiliates. From time to time, these vehicles may enter into reinsurance agreements with wholly owned subsidiaries of the Company. As of December 31, 2025, the Company reported \$2.0 billion of funds withheld at interest payables under such agreements to these affiliated vehicles.

In 2022, the Company and Panamint Capital, or "Panamint," a utility-scale renewable energy developer, entered into a series of agreements whereby the Company invested in a minority equity position in Panamint and agreed to provide financing to its operations. In addition, the Company has the option to purchase projects sourced by Panamint and finance related redevelopment work. The agreements with Panamint enable the Company to exercise significant influence over the operating and financial policies of Panamint. The Company reported a fixed maturity investment of \$27 million and no equity method investment as of December 31, 2025, and a fixed maturity investment of \$19 million and no equity method investment in Panamint as of December 31, 2024, respectively.

The Company has controlling interests in projects sourced by Panamint that we consolidate. Panamint is operating and will redevelop the projects, in exchange for certain fees and a minority equity stake in the projects. The amount of these purchases of controlling interests totaled \$96 million. These project investments are reported in Other investments.

In 2022, the Company acquired controlling interests in Drawbridge, a \$1.6 billion portfolio of commercial real estate, a portion of which had previously been held by KKR owned fund investments.

On December 13, 2021, the Company acquired an equity interest in Avenue One Holdings ("Avenue One") that enables the Company to exercise significant influence. Avenue One provides services related to certain real estate investments held by the Company, including sourcing, renovating and managing properties. The Company paid \$13 million and \$14 million during the years ended December 31, 2025, and 2024, respectively, to Avenue One for the sourcing, renovation, and management of properties. Amounts related to sourcing and renovating properties are recognized in the cost of the real estate on the balance sheet, and the management fees are recognized in net investment income. As of December 31, 2025, and December 31, 2024, there was a \$466 thousand and \$1 million payable outstanding to Avenue One under the related services agreement.

The Company has provided financing to a related party, Parasol Renewable Energy Holdings, LLC, in which the Company owns a 20% equity share. The financing is used to fund the development of renewable energy projects. The loan used to fund the projects was paid off in December 2022. The Company reported an equity investment of \$18 million as of December 31, 2024.

The Company held related party investments in its portfolio as of December 31, 2025, and December 31, 2024 as follows:

		As of December 31, 2025		
		Asset carrying value	Accrued interest	Total balance sheet amount
Type	Balance sheet classification			
(\$ in millions)				
KKR-issued investments	AFS fixed maturity securities	\$ 5,540	\$ 102	\$ 5,642
KKR-issued investments	Trading fixed maturity securities	1,355	17	1,372
KKR-issued investments	Mortgage and other loan receivables	—	—	—
KKR-issued investments	Real assets	339	—	339
KKR-issued investments	Other investments	2,787	—	2,787
Total related party investments		\$ 10,021	\$ 119	\$ 10,140

Type	Balance sheet classification	As of December 31, 2024		
		Asset carrying value	Accrued interest	Total balance sheet amount
(\$ in millions)				
KKR-issued investments	AFS fixed maturity securities	\$ 5,185	\$ 89	\$ 5,274
KKR-issued investments	Trading fixed maturity securities	939	14	953
KKR-issued investments	Mortgage and other loan receivables	11	—	11
KKR-issued investments	Real assets	332	—	332
KKR-issued investments	Other investments	631	—	631
Total related party investments		\$ 7,098	\$ 103	\$ 7,201

The Company earned net investment losses and net investment-related gains (losses) from related party investments, and from investments managed by related parties, as follows:

	Years ended	
	December 31, 2025	December 31, 2024
(\$ in millions)		
Net investment losses		
KKR investment management fee	\$ (674)	\$ (536)
KKR fixed maturity securities	445	320
Real assets	6	(22)
Other investments	28	56
Avenue One management fees	(4)	(4)
Total net investment losses	\$ (199)	\$ (186)
Net investment-related gains (losses)		
Real assets	\$ —	\$ —
Other investments	119	—
KKR securities	(57)	33
Total net investment-related gains (losses)	\$ 62	\$ 33

19. Commitments and contingencies

Commitments

The Company has operational servicing agreements with third-party administrators for policy administration over certain fixed-rate annuities, universal life, variable annuity, variable universal life, whole life, and term life policies. Additionally, the Company is party to a third-party professional services agreement regarding the management of aspects of the Company's reinsurance portfolio. The Company leases office space for its operations.

As of December 31, 2025, purchase commitments under agreements with third-party administrators and other service providers and lease commitments were as follows:

Years	Amounts (\$ in millions)
2026	\$ 38
2027	28
2028	19
2029	16
2030	16
Thereafter	64
Total	\$ 181

The Company enters into lease contracts, the most significant being leases of office space for its operations and land leases for its consolidated solar and real estate subsidiaries. The Company reports these leases as right-to-use assets with a corresponding lease liability in other assets and other liabilities in the consolidated balance sheets, respectively. The lease liability represents the present value of the lease payments to be made over the lease term and is calculated using a discount rate equal to the Company's incremental borrowing rates, which range from 2.4% to 7.8% depending on the term. As of December 31, 2025, the Company has a right-to-use asset of \$157 million (net of \$17 million in deferred rent and lease incentives) and a corresponding lease liability of \$174 million. As of December 31, 2024, the Company has a right-to-use asset of \$164 million (net of \$21 million in deferred rent and lease incentives) and a corresponding lease liability of \$185 million.

The Company has commitments to purchase or fund investments of \$7.3 billion and \$3.8 billion as of December 31, 2025, and December 31, 2024, respectively. These commitments include those related to mortgage loans, other lending facilities, and real assets. The commitment periods vary, with most extending for the next 3 years, but some extend longer. Some of these investment commitments may be subject to conditions that must be met prior to funding. For those commitments that represent a contractual obligation to extend credit, the Company has recorded a liability of \$31 million for current expected credit losses as of December 31, 2025.

In addition, the Company has entered into agreements to purchase loans. Our obligations under these agreements are subject to change, curtailment, and cancellation based on various provisions including repricing mechanics, due diligence reviews, and performance or pool quality, among other factors.

Contingencies

Guarantees

In the ordinary course of business, Global Atlantic enters into contracts that contain a variety of representations, warranties, covenants, indemnifications, and guarantees, including, for example, related to the purchase or sale of assets and businesses and lease obligations under certain special purpose vehicles. These various arrangements may have a variety of triggering events, such as the occurrence of specified business contingencies, or breaches of representations, warranties or covenants provided by Global Atlantic. These arrangements are typically subject to various time limitations, defined by the contract or by operation of law, such as statutes of limitation. In some cases, the maximum potential obligation is subject to contractual limitations, while in other cases such limitations are not specified or are not applicable.

In connection with the Senior Notes due 2029, 2031, 2033, and 2054 issued by Global Atlantic (Fin) Company, or "FinCo," a Delaware corporation and a subsidiary of the Company, the Company has agreed to fully and unconditionally guarantee the notes on a senior unsecured basis. In December 2024, FinCo also entered into certain interest rate derivative swap agreements related to the Senior Notes due 2029 and 2031. Additionally, in February 2025 and April 2025, FinCo also entered into certain interest rate derivative swap agreements related to the Senior Notes due 2033 and 2054, respectively.

In connection with the Subordinated Debentures due 2051, 2054, and 2056 issued by FinCo, the Company has agreed to fully and unconditionally guarantee the notes on a subordinated, unsecured basis. In September 2025, FinCo entered into certain interest rate derivative swap agreements related to the Subordinated Debentures due 2054. In November 2025, FinCo also entered into certain interest rate derivative swap agreements related to the Subordinated Debentures due 2056.

In connection with the 5-year \$1.0 billion RCF entered into by FinCo, the Company has agreed to jointly and severally guarantee, together with any subsidiary guarantors, payment and performance of FinCo's obligations under the RCF when due if not promptly paid by FinCo for the benefit of the lenders.

In connection with a Tax Benefit Payment Agreement entered into between FinCo, as payor, and Goldman Sachs, as payee, in 2013, GAFLL and GAFG have agreed to guarantee the payment and performance of FinCo, for the benefit of Goldman Sachs. In connection with the KKR transaction, effective February 1, 2021, GAFLL merged with and into GAFG and is no longer a party to the agreement.

The Company has certain contingent funding obligations related to development-stage renewable energy projects in the amount of \$322 million, as of December 31, 2025, with expiration dates occurring between March 2026 and September 2027. For accounting purposes, these contingent funding obligations are considered guarantees of the obligations of the development-stage renewable energy projects.

On January 16, 2026, subsequent to the end of the period, in connection with the 364-day \$3.0 billion GA OpCo Credit Facility entered into by certain direct and indirect insurance company subsidiaries of the Company (as defined above, the "GA OpCo Borrowers"), the Company and FinCo have agreed to jointly and severally guarantee for the benefit of the lenders payment and performance of the GA OpCo Borrowers' obligations under the GA OpCo Credit Facility when due if not promptly paid by the GA OpCo Borrower. The guarantee provided by the Company and FinCo is released when all commitments and obligations under the GA OpCo Credit Facility have been paid in full or when the GA OpCo Credit Facility commitments expire or are terminated in accordance with the terms of the GA OpCo Credit Facility.

Legal matters

The Company is currently and expects to become from time to time involved in litigation and regulatory actions. Litigation, including class actions, or regulatory actions could result in the payment of substantial settlements, increase costs, require changes to operations, divert management attention, cause reputational harm or make it more challenging to attract and retain customers, employees, and agents at the Company. Such matters include pending examinations, including those related to policy administration, and class action lawsuits, including those related to safeguarding of customer data. Given the inherent difficulty of predicting the outcome of the Company's litigation and regulatory matters, particularly in cases or proceedings in which substantial or indeterminate damages or fines are sought, the Company cannot estimate losses or ranges of losses for cases or proceedings where there is only a reasonable possibility that a loss may be incurred.

Although the Company's ultimate legal and financial responsibility and our actual future expenditures to address regulatory, litigation, and related matters cannot be estimated at this time and could prove to be materially different from the amount that we accrue or reserve for, the Company believes that certain liabilities are probable and can be reasonably estimated and accordingly has recorded a total reserve for all regulatory, litigation, and related matters of approximately \$3 million as of both December 31, 2025, and December 31, 2024.

Financing arrangements

The Company has financing arrangements with unaffiliated third parties to support the reserves of its affiliated special purpose reinsurers. Total fees associated with these financing arrangements were \$32 million and \$18 million for the years ended December 31, 2025, and 2024, respectively, and are included in insurance expenses in the consolidated statements of operations. As of December 31, 2025, and December 31, 2024, the total capacity of the financing arrangements with third parties was \$2.6 billion and \$2.4 billion, respectively.

Other than the matters disclosed above, there were no outstanding or unpaid balances from the financing arrangements with unaffiliated third parties as of both December 31, 2025, and December 31, 2024.

20. Subsequent events

The Company evaluated all events and transactions through March 2, 2026, the date the accompanying consolidated financial statements were available to be issued, that would merit recognition or disclosures in the consolidated financial statements, and determined there were none.